ANNUAL REPORT

2010

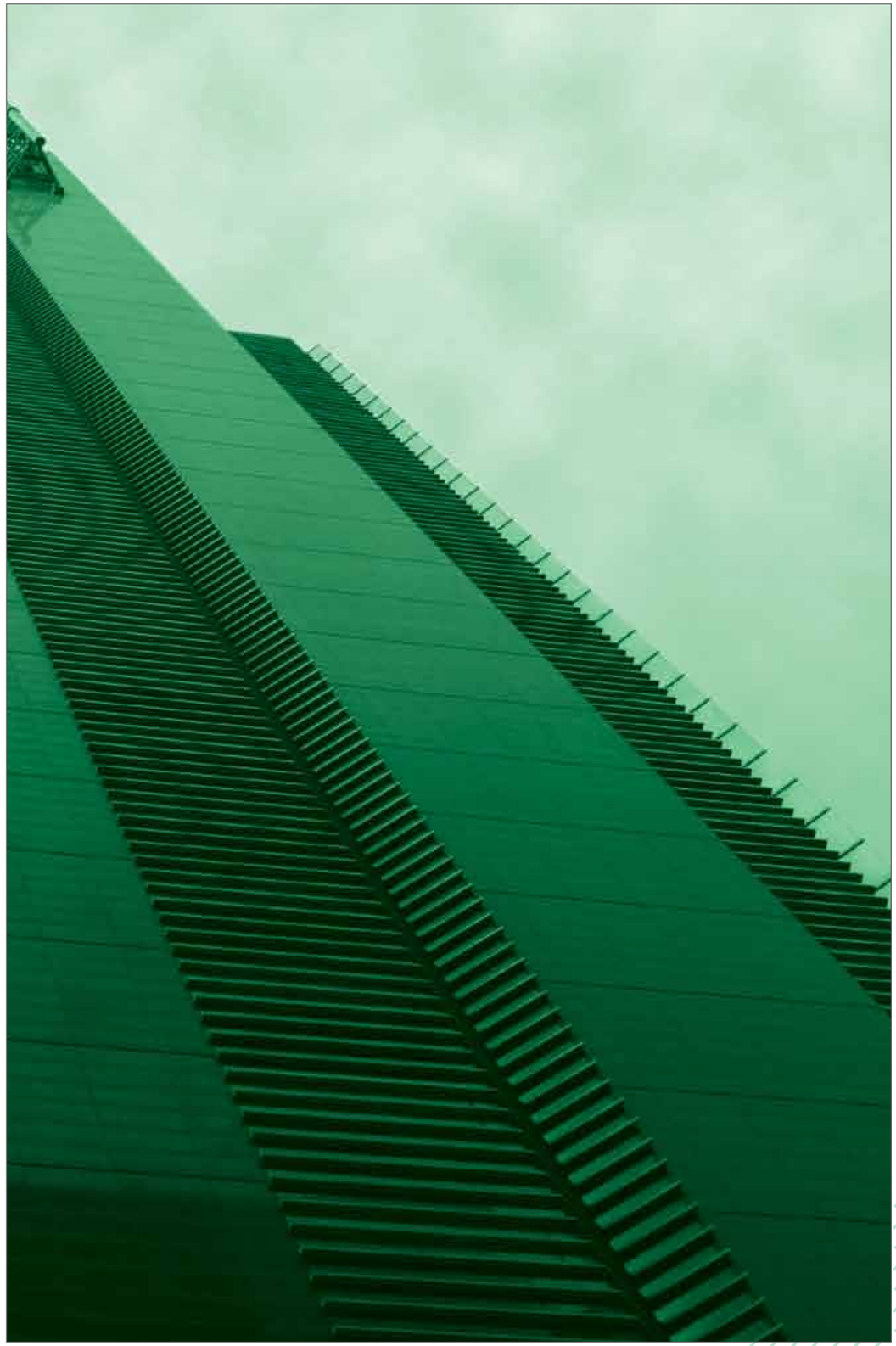
بنك أبوظبي الوطني

NATIONAL BANK OF ABU DHABI

The Number One Bank البنك الرائد *PJSC* ش.م.ع

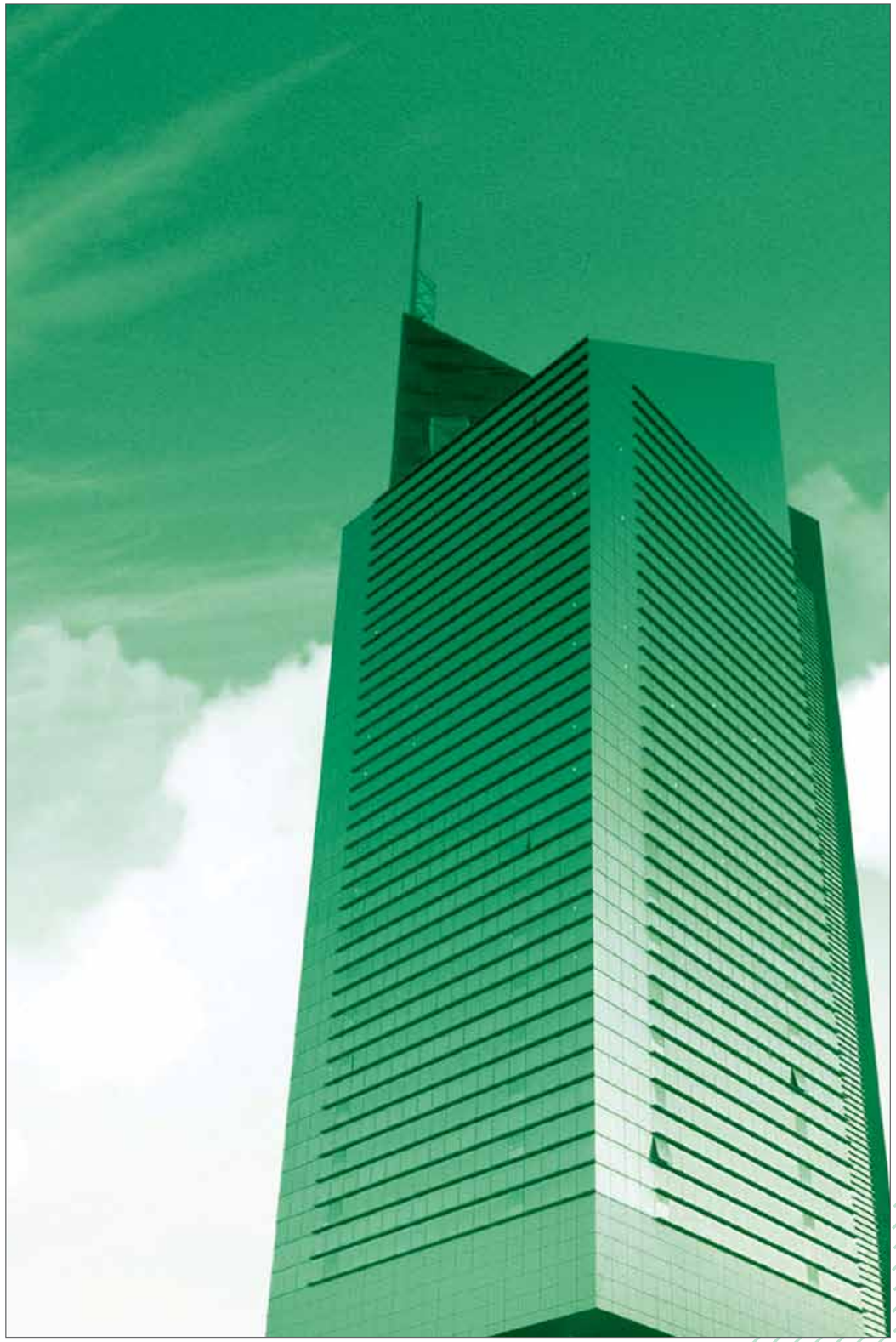


The Late His Highness Sheikh Zayed Bin Sultan Al Nahyan
First President of the United Arab Emirates





His Highness Sheikh Khalifa Bin Zayed Al Nahyan
President of the United Arab Emirates and Ruler of Abu Dhabi





His Highness Lt. General Sheikh Mohamed Bin Zayed Al Nahyan
Crown Prince of Abu Dhabi and Deputy Supreme Commander
of the UAE Armed Forces

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Our Vision
To be recognised as the World's Best Arab Bank

Our Mission
To provide our customers with exceptional service by creating products and delivering services of enduring value to help our customers grow

Our Values
- Value our stakeholders
- Accessible to our customers 24 x 7
- Loyal to our heritage and global in our outlook
- Understand our customers' needs
- Recognise that people are our single biggest asset and empower them
- Teamwork
- Deal with others as we would like them to deal with us

Our Customer Pledge
- We will recognise you
- We will listen to you
- We will understand your needs
- We will dedicate all our energies to serving you
- We will grow with you

Our Corporate Sustainability & Responsibility Policy
Investing in our future. We are committed to doing business in a responsible way by dealing with our customers, investors and other stakeholders honestly and fairly, by valuing our employees, by being accessible and responsive to the communities where we do business and through careful environmental stewardship.

Board of Directors & Senior Management

Board Members



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1 Chairman
H. E. Nasser Ahmed Khalifa Alsowaidi

2 Deputy Chairman
H. E. Dr. Jauan Salem Al Dhaheri

Board Members:

3 H.E. Mohammed Omar Abdulla

4 Mr. Khalifa Sultan Ahmed Al Suwaidi

5 Mr. Hashim Fawwaz Al Kudsi

6 Mr. David Beau

7 Mr. Sultan Bin Rashed Al Dhaheri

8 Sheikh Ahmed Mohammed Sultan Al Dhaheri

9 Sheikh Mohammed Saif Mohammed Al Nahyan

10 Mr. Matar Hamdan Al Ameri

Board Committees

Risk Management Committee (RMC)

Chairman	H.E. Nasser Ahmed Khalifa Alsowaidi
Member	H.E. Dr. Jauan Salem Al Dhaheri
	Mr. Sultan Bin Rashed Al Dhaheri
	Sheikh Ahmed Mohammed Sultan Al Dhaheri
	Mr. Hashim Fawwaz Al Kudsi

Compensation and Nomination Committee (CNC)

Chairman	H.E. Mohammed Omar Abdulla
Member	Mr. Khalifa Sultan Al Suwaidi
	Sheikh Mohammed Saif Mohammed Al Nahyan
	Sheikh Ahmed Mohammed Sultan Al Dhaheri
	Mr. David Beau

Audit Committee (AC)

Chairman	Sheikh Mohammed Saif Mohammed Al Nahyan
Member	Mr. Khalifa Sultan Al Suwaidi
	Mr. David Beau
	Mr. Matar Hamdan Al Ameri

Corporate Governance Committee (CGC)

Chairman	H.E. Nasser Ahmed Khalifa Alsowaidi
Member	H.E. Mohammed Omar Abdulla
	Mr. Khalifa Sultan Al Suwaidi
	Mr. Matar Hamdan Al Ameri

Senior Management

Group Chief Executive	Mr. Michael H. Tomalin
Group Chief Operating Officer	Mr. Abdulla Mohammed Saleh AbdulRaheem
Senior GM Domestic Banking Division	Mr. Saif Ali Mohammed Munakhas Al Shehhi
Senior GM International Banking Division	Mr. Qamber Ali Al Mulla
Senior GM Corporate & Investment Banking Division	Mr. Akram-Mark Yassin
Senior GM & Group Chief Risk Officer	Mr. Abhijit Choudhury
Senior GM Financial Markets Division	Mr. Mahmood Al Aradi
Senior GM Global Wealth	Mr. Rudiger Von Wedel
GM & Group Chief Compliance Officer	Mr. John Garrett
GM & Group Chief Audit Officer	Mr. Malcolm Walker
Managing Director, Abu Dhabi National Islamic Finance	Mr. Aref Ismail Al Khouri

NBAD at a Glance



NBAD at a Glance

Listed on the Abu Dhabi Securities Exchange (ADX), National Bank of Abu Dhabi (NBAD) is an integral systemic bank of the United Arab Emirates (UAE) providing a full range of products and services to the UAE market. NBAD is the largest bank in Abu Dhabi and the second largest bank in the UAE in terms of assets.

NBAD is one of the primary banks to the Abu Dhabi government and public sector companies. The Abu Dhabi government owns 70.5% of NBAD's shares through its investment arm, the Abu Dhabi Investment Council (ADIC).

It is the most internationally diversified bank among the UAE banks with offices in Egypt, Oman, Bahrain, Kuwait, Libya, Sudan and Jordan in the MENA region, Hong Kong in the Far East, London, Paris, and Geneva in Europe and Washington D.C. in the USA. Its largest external market is Egypt where it operates as a full service bank with 28 branches and cash offices. In Oman, the bank has eight branches and cash offices providing a comprehensive range of services throughout the Sultanate.

Since its inception in 1968, NBAD's diversified earnings base has delivered a strong track record. This has been achieved through organic growth. The Group is differentiated by its strong franchise, skilled employees and long-serving management. NBAD employs 4,216 people in the UAE and 1,097 at its international operations worldwide.

As at 31 December 2010, the Bank's:

- Assets were AED 211.4bn (USD 57.6bn)
- Loans and advances to customers were AED 136.8bn (USD 37.3bn)
- Customer deposits were AED 123.1bn (USD 33.5bn)
- Capital resources, enhanced by AED 5.6 billion conversion of UAE Ministry of Finance deposits to Tier-II capital in February 2010, were AED 32.4 billion (USD 8.8bn)
- The Bank's Basel-II capital adequacy ratio was 22.6% (Tier-I at 16.2%)

A diversified business model

NATIONAL BANK OF ABU DHABI

Domestic Banking

- Consumer Banking
- Elite Banking
- Business Banking (SME)

Financial Markets

- Liquidity management & Interest rate products
- Institutional & Corporate Coverage
- Proprietary trading & Investments group

International Banking

- Arab World Banking
  - *Egypt Network*
  - *Oman Network*
  - *Sudan Network*
  - *Bahrain*
  - *Kuwait*
  - *Libya*
  - *Jordan*
- International Banking
  - *United Kingdom*
  - *France*
  - *USA*
  - *Hong Kong/ China*

Corporate & Investment Banking

- Corporate Banking Group
- Wholesale Banking Group
  - *Global Project & Structured Finance*
  - *Syndications & Specialised Portfolio*
  - *Financial Institutions Dept*
  - *Global Trade Finance*
- Investment Banking Group
  - *DCM*
  - *ECM*
  - *Advisory*
- Private Equity
- Abu Dhabi National Property - Real Estate
- Abu Dhabi National Leasing
- Special Asset Advisory

Global Wealth

- Private Banking
- Asset Management Group
  - *Local and Global Funds*
  - *Discretionary Portfolio Management*
- Abu Dhabi Financial Services
  - *Brokerage services*
- Custody services

Islamic Banking

- Abu Dhabi National Islamic Finance
- NBAD Islamic Division

Head Office & Support Functions

Audit, Compliance, Finance, Human Resources, Information Technology, Legal, Operations, Risk Management, Investor Relations, Corporate Communications, Strategic Planning, Securities Services, Corporate Governance & Economic Research

Chairman's Report to the Shareholders

for the Financial Year 2010



On behalf of the Board of Directors of National Bank of Abu Dhabi, I would like to commend and thank our senior management and staff for their efforts in enabling the group to produce good results in a challenging year characterised by difficult economic conditions.

Economic conditions in 2010

Global economic activity continued to recover in 2010 supported by accommodative monetary and fiscal policy around the world. Growth was not uniform. It was generally more rapid in emerging economies and slower in industrialised ones. The policies used to avert a sharper slowdown in the previous two years came under scrutiny as sovereign debt sustainability in industrialised economies began to be questioned. Uncertainty over future prospects convinced policymakers that the recovery could not be taken for granted and forced the deferral of normalisation of the monetary policy stance. Oil price strengthened to close the year at US$ 91 per barrel. The average price of oil was US$ 78 per barrel in 2010, up 29.6% year-on-year. Organisation of Petroleum Exporting Countries (OPEC) maintained production quotas in light of firm prices, but also seasonally high inventory levels.

Economic activity in the United Arab Emirates rebounded modestly reflecting global trends. Hydrocarbon receipts rose as a result of higher oil prices, while oil production remained steady in line with OPEC quotas. Non-oil activity displayed a relative improvement to 2009 based on anecdotal evidence. Downward pressure on property prices and ongoing corporate debt resolution remained challenges weighing on the pace of the recovery. Abu Dhabi spearheaded growth with its continued push to diversify its economic base in line with the 2030 plan. This is reflected in listed Abu Dhabi based banks posting net asset growth of 10.5% year-on-year at end-2010, while the overall banking system grew by 5.7% year-on-year in the same period. The role of Abu Dhabi will continue to grow in regional economic activity.

Inflation was in low single digits 2010 and is expected to remain contained in the medium term in the absence of demand pull factors and managable cost push pressure.

The robust outlook for energy prices means an equally robust outlook for the regional economies. Economic growth should accelerate in the United Arab Emirates in 2011 with the economy projected to benefit from a combination of higher energy prices and potentially higher output.

Financial Performance of the Group

NBAD continues to perform strongly in a subdued and still challenging local and international operating conditions. The Group's business model has been the underlying strength to its sturdy and consistent performance.

Our stringent risk strategies has shielded the Group from the turbulent conditions that swept through our region and internationally. Our credit policies continue to be aligned to support the diversification of the economy – an integral objective of the Abu Dhabi Economic Vision 2030.

We continue to maintain an adequate level of provisions to safeguard the Group and its shareholders from any unforeseen challenges.

We continued our organic growth drive internationally by expanding in Egypt and Oman and strengthened our recently established operations in Hong Kong and Jordan. The Group was among the five international banks and the only Arab Bank to be approved by Bank Negara for a banking license in Malaysia. The Group currently has operations across 13 countries with an international network of 49 units. Our domestic network was increased to 112 branches and cash offices complemented by over 400 ATMs. This expansion strategy is in line with our long-term vision to position the group as the World's Best Arab Bank.

The bank reported net profits of AED 3.68 billion for the financial year ended 31 December 2010, an increase of 22% over last year and operating profits were AED 5.0 billion. Accordingly, the Board of Directors has recommended the distribution of a 30% cash dividend plus 20% bonus shares to shareholders.

The Bank's operating income for the year 2010 reached AED 7.2 billion with net interest income and net income from Islamic financing contracts up 14.8% over last year. Non-interest income increased by 5.6% year-on-year despite the weak local equity markets which affected income in both the Bank's asset management and brokerage businesses. Expenses increased within plan by 15.2% to finance the organic growth in the Bank's franchise, network, IT systems and staff.

The return on shareholders' funds for the year is 19% in line with our target of 20% for 2010. NBAD's medium term strategic objective is to maintain an average return of 20% over the full economic cycle.

Total assets reached AED 211 billion, 7.4% above 2009 levels. Loans and advances reached AED 137 billion, up 3%, and customer deposits, excluding the Ministry of Finance moneys, increased 6.5% to AED 123 billion during the year.

The bank's businesses performed well with operating profit contributions of AED 2.5 billion from our Corporate & Investment Banking business, AED 1.1 billion from Domestic Banking, AED 588 million from International business and AED 712 million from Financial Markets division. Islamic banking's activities contributed AED 96 million to the Group's AED 5.0 billion. Our wealth businesses earned a profit of AED 11 million in difficult market conditions.

As part of its commitment to developing the nation's human resources, the bank recruited 393 UAE nationals during 2010, increasing Emiratisation to 39% from 36%.

In addition to our initiatives undertaken for enhancing corporate sustainability, we are a socially responsible bank and we contribute to good causes. In 2010, our donations and charity contributions amounted to AED 27 million.

My colleagues on the board and its committees have played a critical role in our efforts during 2010. I value their depth of experience and express my appreciation to them and sincerest thanks to all our stakeholders for their continued support.

Finally, on behalf of the shareholders, the members of the Board of Directors and the management and staff of the Bank, I wish to extend our most sincere appreciation and gratitude to His Highness Sheikh Khalifa Bin Zayed Al Nahyan, President of the UAE and Ruler of Abu Dhabi, to His Highness Sheikh Mohammed Bin Rashed Al Maktoum, Vice President and Prime Minister of the UAE and Ruler of Dubai, to His Highness Sheikh Mohamed Bin Zayed Al Nahyan, Abu Dhabi Crown Prince and Deputy Supreme Commander of the UAE Armed Forces and to His Highness Sheikh Mansour Bin Zayed Al Nahyan, Deputy Prime Minister and Minister of Presidential Affairs, for their continued support and interest in the Bank's activities.

Nasser Ahmed Khalifa Alsowaidi
Chairman

Group Chief Executive Review

for the Financial Year 2010



National Bank of Abu Dhabi (NBAD) has grown in its 43 years of existence in line with the phenomenal growth of Abu Dhabi and the wider UAE. In just a decade, the Bank has grown its net profits over 7 times, multiplied its assets nearly 6 times and built its capital base over 10 times. This has been achieved by remaining focused on our long term goals to serve our clients; deliver strong returns for our shareholders, manage risks ; provide exciting, demanding and rewarding careers for our people, and build a franchise to match the growing global importance of the UAE and Abu Dhabi in particular.

Financial Performance

National Bank of Abu Dhabi (NBAD) crossed the equivalent of USD 1 billion mark in net profits for the first time earning AED 3,683 million for the financial year ended 31 December 2010. This represents a strong 22% increase over 2009. Diluted earnings per share were AED 1.40 compared with AED 1.18 per share in 2009.

The bank's assets at AED 211.4 billion represents a growth of 7.4%, compared with the UAE banking sector's assets growth of 5.7% in 2010. Prudent lending policies and slower general economic conditions are reflected in our loan growth of 3.5% to AED 136.8 billion. Excluding the AED 5.6 billion of Ministry of Finance deposits which were converted into Tier-2 capital in the first quarter, deposits grew by a healthy 6.5% to reach AED 123.1 billion.

The quality of the loan book remains good with non-performing loans of AED 3,249 million representing 2.3% of our portfolio. Net impairment charges were AED 1,207 million for the year. In line with UAE Central Bank directives to banks to raise the level of collective provisions from 1.25% to 1.5% of credit risk weighed assets by 2014, we increased our collective provisions by AED 288 million in 2010 to AED 1,892 million representing 1.39% of credit risk-weighted assets.

NBAD's capital resources strengthened to AED 32.4 billion with the capital adequacy ratio increasing to 22.6% from 17.4% a year earlier and a Tier-I capital ratio of 16.2% as at 31 December 2010. NBAD is already well above the current UAE Central Bank minimum requirements as well as on the proposed Basel-III guidelines.

Operating income for the full year 2010 reached AED 7.2 billion, 12.2% up on the AED 6.4 billion in 2009. Net interest income and net income from Islamic financing contracts for the same period rose 14.8% to AED 5.2 billion compared with 2009, The net interest margin was 2.57% in 2010, slightly over the levels recorded for 2009. Net fees and other non-interest income increased by 5.6% to AED 1,929 million notwithstanding subdued equity and debt market conditions.

Operating expenses increased by 15.2% to AED 2,186 million. The Group remains committed to long-term organic growth and continued investment in its franchise and infrastructure to deliver quality products and services to its customers. The cost to income ratio of 30.5% for 2010 remains below the 35% cap, which the Group expects to be maintained in the medium term.

The Group's return on shareholders' funds at 19.3%, is in line with the 20% objective.

NBAD maintained its long term credit ratings which are amongst the strongest combined ratings of any financial institution in the MENA region with ratings from Moody's Aa3, Standard & Poor's A+, Fitch AA-, RAM (Malaysia) AAA and R&I's (Japan) rating of A+.

Domestic Banking Division

Our Domestic Banking Division's (DBD) businesses comprising of the Consumer Banking Group, Elite Banking Group and Business Banking Group, contributed 22.7% or AED 1,131 million to the Group's operating profit in 2010.

Consumer Banking Group (CoBG)

CoBG grew its deposits portfolio by 10% during the year on the back of the bank's strong brand name and diverse distribution channels. A number of innovative products and services were launched.

As part of our continued commitment to get closer to our customers, 12 new branches and 107 new ATMs were added. With 112 branches and 416 ATMs, NBAD's distribution network is among the largest in the country. Our direct banking channels - NBAD Contact Centre, NBAD Direct and NBAD Online - continue to become more popular with our customers.



NBAD Lulu Exchange & NBAD Launch Co-branded Payroll Card "Ratibi"

Elite Banking Group (EBG)

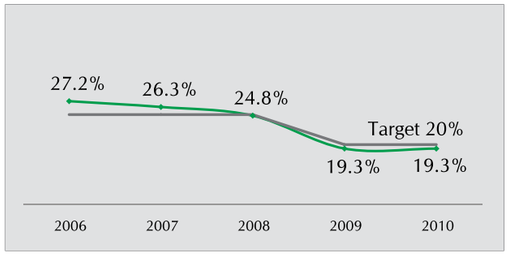
EBG continued to enhance the Elite Banking experience for affluent customers through the opening of 10 new Elite lounges during the year and dedicated Relationship Managers. Deposits grew by 5% while loans grew by 6%.

Business Banking Group (BBG)

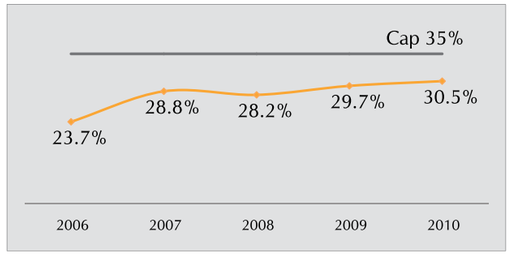
BBG has been established to offer a full range of products and services aimed at the fast-growing SME segment in UAE. It is working on a full product portfolio to support commercial entities and launched its first Business Banking Centre in 2010. It has also signed an MOU with the Khalifa Fund for Enterprise

Five years of strong performance

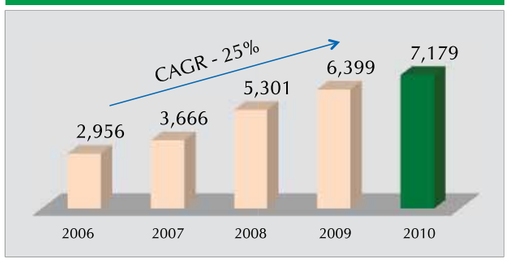
Return on Shareholders' Funds



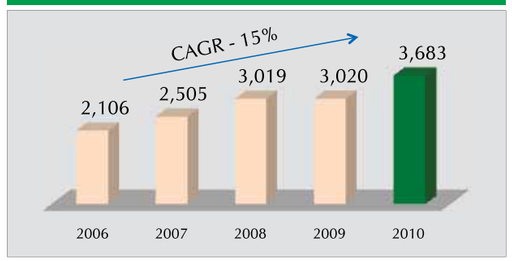
Cost - Income Ratio



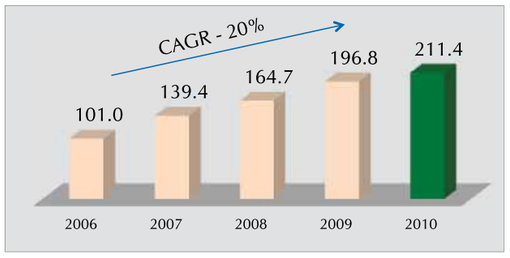
Operating Income (AED Million)



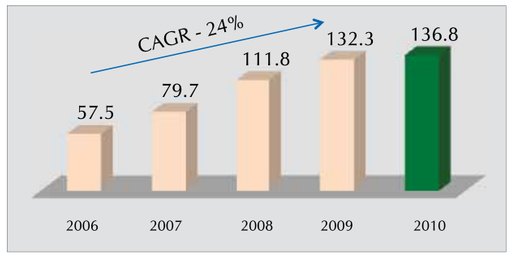
Net Profit (AED Million)



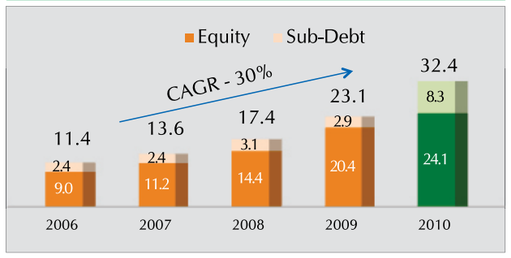
Assets (AED Billion)



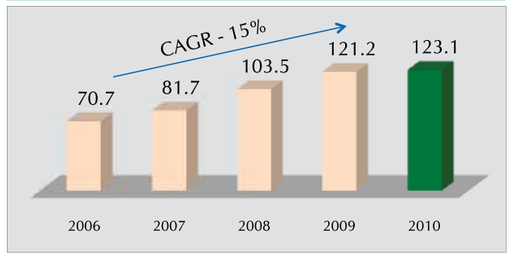
Customer Loans & Advances (AED Billion)



Capital Resources (AED Billion)



Customer Deposits (AED Billion)



Development to process loan applications for eligible borrowers from the Fund.



Inauguration of 1st Business Banking Center in Abu Dhabi Industrial City (ICAD)

Financial Markets Division

As part of our medium term goal of maintaining a solid funding structure, we continued to focus on diversifying our funding sources and extending the duration of our liability base. In March 2010, we launched the GCC's first Financial Institution (FI) EMTN issuance for the year, a $750 million 5-year issue, under our existing EMTN program. The success of the issue in such an uncertain environment is a testimony to the strong investor confidence in NBAD's franchise. We also issued two successful transactions in Malaysia under our newly established Malaysian Ringgit programme, raising a total of MYR 1 billion (approximately AED 1.2 billion) equally distributed between two issues one for 5 years and the other for 10 years. The Financial Market's team also broadened its marketing efforts to reach out investors in Australia, Japan and Europe and conducted non-deal road-shows to meet key investors in these regions. We have plans to establish our *Kangaroo* funding program (Australian Dollar) allowing us to access investors in Australia and New Zealand, and are also working with the Japanese authorities to launch our own *Samurai* program (Japanese Yen) which will allow us to tap the domestic Japanese investor base.

Our efforts to grow the Repo business is reflected in reverse repo balances increasing from AED 557 million to AED 10.9 billion in 2010.

The coverage of our activities was expanded geographically throughout MENA to target Islamic banks, Sovereign Wealth funds and Central Banks as well as the large and sophisticated corporate accounts.

Our investment in IT platform infrastructure continued to provide front-to-back efficiency coupled with advanced monitoring tools.

The business contributed 15% or AED 712 million of operating profits to the Group compared with AED 691 million in 2009.

International Banking Division

International Banking Division (IBD) consisting of our operations across the Arab World and internationally, increased its operating profit by 8% to AED 588 million in 2010 from AED 546 million last year, accounting for 11.8% of the Group's operating profits.

During the year, NBAD expanded the size of its international business to 48 units in 12 countries by opening its first branch in Jordan and adding a new branch in Egypt and Oman.

The Bank is looking to expand into new markets, particularly in Asia and the MENA region in the near future. NBAD was one of the 5 international banks to receive a banking license by Bank Negara in Malaysia in 2010. Subject to certain regulatory requirements, we plan to establish our subsidiary in Malaysia in 2011.



NBAD Regional Office Oman Building

Corporate and Investment Banking Division

The combined business units within Corporate and Investment Banking Division contributed 49.5% or AED 2.5 billion of the Group's operating profit reflecting a growth of 16% year on year.

Corporate Banking Group (CBG)

The Group has maintained its focused approach of capitalising on its relationships with government and public sector entities as well as select strategic business client relationships. This has had the added benefit of making the NBAD franchise synonymous with iconic transactions and UAE landmark projects. We continue to earn the trust of our customers by offering the highest level of expertise and consistency.

Investment Banking Group (IBG)

The year 2010 continued to be a challenging year for the advisory and IPO markets across the Gulf.

The business secured a number of mandates during this year, primarily centered around private placements and strategic advisory with a focus on Abu Dhabi and Egypt.

NBAD successfully secured dominant lead roles in several strategic transactions in 2010, which included deals from UAE, Qatar and Malaysia.

We remain optimistic about the continued development and growth of the regional debt market, and, as a leading UAE financial institution, we will invest heavily in our fixed income platform. Our strategic aim is to become the leading Arab DCM bank of choice, capturing a diverse and complimentary group of highly prestigious corporate, financial institution and government-related clients.

Wholesale Banking Group (WBG)

The Global Project & Structured Finance (GPSF) business unit experienced a record performance closing 14 new deals and maintaining its lead position in project and structured finance in the regional and local syndication market with their participation in lead roles of structuring and co-ordinating bank, bookrunner and mandated lead arranger.

Through GPSF and Syndications' and Specialised Portfolio (SSP) business units, NBAD has been ranked first in the league table rankings by Dealogic as bookrunner and arranger for UAE-based deals.

In addition, NBAD won the *emeafinance* Middle East Banking Award for the "Best Syndicated Loan House-UAE" in 2010.

The Financial Institutions Department (FID), responsible for institutional and correspondent banking relationships, continues to market NBAD as the banking partner of choice for the world's banks doing business in our region.

Our Global Trade Finance (GTF) business diversified its products and services with trade finance teams in London, Paris, Geneva, Hong Kong, UAE, Washington and the wider Arab world to support our clients in an end to end supply chain.

In 2010, the strategic Cash Management Business unit was setup, with a specific focus on Corporate and Financial Institutional clients with the aim of becoming the preeminent provider of cash management services within the UAE and MENA region.

Abu Dhabi National Property (ADNP)

Our property subsidiary achieved significant year-on-year growth increasing both revenues and net profits despite the continued downturn of the UAE real estate market in 2010.

Operating from its new premises in the centre of Abu Dhabi, ADNP is now able to provide best in class real estate services to its clients and has been able to secure significant third party advisory and property management remits throughout the UAE thereby diversifying its business portfolio.

Abu Dhabi National Leasing (ADNL)

Abu Dhabi National Leasing (ADNL) adopted a cautious approach in the wake of distressed market conditions during 2010. The business is positioned to take exposures in specialised assets like aircrafts, vessels, oil and gas support equipment, and power generation infrastructure, in addition to the existing asset categories.

The business was able to increase its revenue by 12%, while keeping the net investment in leased assets constant.

Global Wealth

Global Wealth comprising of our private banking, asset management, brokerage and custody activities also faced a difficult year due to the global and regional slowdown. Nevertheless, the business was able to more than double client assets and revenues.

In 2010, we took the advantage of the continued adverse market conditions to restructure and reposition **Abu Dhabi Financial Services (ADFS)**, our brokerage subsidiary. In this process, we were able to increase our market share and at the same time improve efficiencies within the company. Whilst this restructuring has caused Global Wealth's contribution to NBAD's profit to decline to AED 9 million from AED 15 million in 2009, we believe the business is well positioned to take advantage of the expected return of confidence in the UAE equity markets.

The **Asset Management Group (AMG)** further developed its product capabilities and launched innovative new investment solutions in areas such as exchange traded funds, fixed income and investment advisory.

In 2010, the Bank was granted the first Custodian license in the UAE by ESCA and is currently the only licensed local service provider. The ***Custody*** business aims to expand its geographical reach and product depth.

Our **Private banking** subsidiary in Switzerland, established in 2008, declared its first profit in 2010.

Islamic Banking

Islamic Banking comprising our 100% owned **Abu Dhabi National Islamic Finance (ADNIF)** subsidiary and **NBAD Islamic Division** delivered a strong financial performance with earnings of AED 96 million, 24% higher than 2009, contributing around 2% of NBAD's operating profits.

Islamic Banking's activities enjoyed excellent growth in customer finances compared with 2009 and attracted additional Shariah compliant deposits in 2010. It opened its second branch in Al Ain and launched an Islamic credit card during the year.

Review of Support Departments

IT Department (ITD)

Our strategic objectives require agile business processes, differentiated customer experiences, customer and operational insights and close governance of revenues, costs and risks. In 2010 alone, ITD had to manage 44 ongoing projects and 130 plus business applications.

Communicating with our customers through various channels continues to be one of our priorities. We enhanced our SMS service (Arrow) and expanded our ATM and point-of-sale (POS) network. NBAD's ITD continued to deliver a competitive advantage to NBAD by automating more business processes through applications and enhancing services through expanding IT service management and governance frameworks. Moreover, we implemented many mandated Central Bank initiatives like Enhanced Post Dated Cheques System, Anti Money Laundering, and a new Funds Transfer System.

Risk Management

The impact of adverse credit conditions was managed through proactive monitoring at the account level and enhanced portfolio reviews. Past due collection activities were strengthened. Our non-performing loans ratio reached 2.3% but still with an associated provision coverage of 113% which is relatively favourable compared to the banking sector average. This is a reflection of our prudent lending policies, robust credit portfolio management and planning procedures.

The Bank's effective market risk governance structure, robust management and measurement methodologies, together with thorough analysis of exposures to both traded and non-traded market risk, ensured that market risk remained low. Liquidity and funding risk across the bank continued to be managed effectively by

closely monitoring liquidity gaps and holding liquid assets in excess of an established minimum level at all times. Liquid assets include unencumbered, high-quality assets that are marketable, repo-able as security for borrowings and can be converted to cash in a time frame that meets our liquidity and funding requirements.

The Bank further strengthened its risk infrastructure by continuing to invest in systems to identify, assess, manage and report all material risks. These investments hold the bank in good stead to adopt the advanced approaches under the Basel accord and meet all the regulatory requirements of the Central Bank of UAE.

Corporate Sustainability & Responsibility
As a socially responsible bank, our donations and charity contributions for 2010 amounted to AED 27 million.

Our 2010 corporate sustainability & responsibility activities are available in further detail in our second annual Sustainability Report, published separately and available on our website.

Human Resources
2010 was the first fully operational year for our (NBAD) Academy, a state-of-the-art training and development centre and the most advanced of its kind in the region. The Academy continued to develop the curriculum of programmes available including not only short programmes in leadership, technical expertise and personal effectiveness but also the introduction of educational programmes such as an International Diploma in Banking & Finance and professional qualifications through key international institutes.

The Academy delivered over 30,000 man-days of training during 2010 across all divisions, mostly in the UAE. One of the key projects was the launch of the Al Manara (branch staff certification project), to ensure international standards of service and competence for all management and frontline staff at branches.

AFAQ, the flagship Management Trainee Program for UAE National graduates, successfully recruited, developed and appointed over 60 graduates across all Divisions into positions within the Bank. The programme, which runs for 12 months and is aimed at high potential graduates, leads to a Masters in Finance from 2011.

Awards
The Bank received various accolades during 2010. It was ranked among the '***World's 50 Safest Banks in 2010'*** by Global Finance and the safest bank in the UAE for the second consecutive year. NBAD received the award for ***Best Financial Information*** website in the GCC in 2010.

We also received two very prestigious His Highness Sheikh Mohamed Bin Rashid Al Maktoum awards winning the ***'Best in Finance' and the 'Most Outstanding Performance Award in UAE'***. These awards are a testimony of our constant drive towards customer service excellence and achieving our long-term objectives.

Dividend
At the Annual General Meeting held on 13 March 2011, the shareholders approved the distribution of a stock dividend of 20% and a cash dividend of 30% of the bank's capital for the financial year ended 31 December 2010.

Outlook
2010 was not the easiest year for banks but at the same time it was a year where several milestones were crossed. Our business model and fundamentals remain strong as we progress with our strategic plans. The increase in net profits was 22%, which, for the first time in the history of NBAD, reached the equivalent of US$ 1 billion. We are well positioned to grow our business substantially over the next 10 years targeting an average annual growth of around 16%, although 2011 growth in net earnings is likely to be slower. We also expect a continuing increase in our impaired assets in 2011 and provisions given lower asset prices generally. Although we will need to add to provisions, our top line revenues are expected to remain robust allowing us to provide conservatively and still make an acceptable return for our shareholders. We have adjusted our return on shareholders' funds objective to 20% given the added capital and liquidity requirements of Basle 3, but this still represents a superior return compared with local and international competitors.

A vote of thanks
I would like to extend my sincere appreciation to all NBAD's staff members for their hard work, perseverance and dedication. It is due to the quality and discipline of NBAD's people that we have been able to produce these strong results in extremely challenging and difficult times. I am confident that with NBAD's skills we will continue to deliver the Group's strategy to be recognised as the World's Best Arab Bank.
I would also like to extend my thanks to the board and the board committees for the critical role they played during the year.

Michael H. Tomalin
Group Chief Executive

Our 2010 Trophies



The Best Performance in the Finance Category
Mohammed Bin Rashid Al Maktoum Business Award 2010 –



Most Outstanding Performance Award in the UAE in 2010
Mohammed Bin Rashid Al Maktoum Business Award 2010



Best Bank in the UAE
Euromoney 2010

Consolidated Financial Statements

for the Financial Year 2010

Independent auditors' report

Report on the consolidated financial statements

We have audited the accompanying consolidated financial statements of National Bank of Abu Dhabi PJSC (the "Bank") and its subsidiaries (together referred to as the "Group"), which comprise the consolidated statement of financial position as at 31 December 2010, the consolidated income statement and the consolidated statements of comprehensive income, changes in equity and cash flows for the year then ended, and notes comprising a summary of significant accounting policies and other explanatory information.

Board of Directors' responsibility for the consolidated financial statements

The Board of Directors is responsible for the preparation and fair presentation of these consolidated financial statements in accordance with International Financial Reporting Standards, and for such internal control as the Board of Directors determines is necessary to enable the preparation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

Auditors' responsibility

Our responsibility is to express an opinion on these consolidated financial statements based on our audit. We conducted our audit in accordance with International Standards on Auditing. Those standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether the consolidated financial statements are free from material misstatement. An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the consolidated financial statements. The procedures selected depend on our judgment, including the assessment of the risks of material misstatement of the consolidated financial statements, whether due to fraud or error. In making those risk assessments, we consider internal control relevant to the group's preparation and fair presentation of the consolidated financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by management, as well as evaluating the overall presentation of the consolidated financial statements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Opinion

In our opinion, the consolidated financial statements present fairly, in all material respects, the consolidated financial position of the Group as at 31 December 2010, and of its consolidated financial performance and its consolidated cash flows for the year then ended, in accordance with International Financial Reporting Standards and comply with the relevant Articles of Association of the Bank and the UAE Federal Law No. 8 of 1984 (as amended).

Report on other legal and regulatory requirements

As required by the UAE Federal Law No. 8 of 1984 (as amended), we further confirm that we have obtained all information and explanations necessary for our audit, that proper financial records have been kept by the Group and that the contents of the Chairman's report which relate to these consolidated financial statements are in agreement with the Group's financial records. We are not aware of any violation of the above mentioned Law and the Articles of Association having occurred during the year ended 31 December 2010 which may have had a material adverse effect on the business of the Group or its financial position.

KPMG
Munther Dajani
Registration No. 268

1 February 2011

Consolidated statement of financial position

As at 31 December 2010

	Note	2010 AED'000	2009 AED'000
Assets			
Cash and balances with central banks	7	**18,429,827**	18,056,843
Investments at fair value through profit or loss	8	**1,292,826**	1,094,321
Due from banks	9	**14,163,391**	19,520,709
Reverse repurchase agreements	10	**10,898,457**	557,075
Loans and advances	11	**136,833,496**	132,258,330
Non-trading investments	12	**21,396,005**	18,954,398
Other assets	13	**6,202,716**	4,317,495
Premises and equipment	14	**2,210,552**	2,047,845
Total assets		**211,427,270**	196,807,016
Liabilities			
Due to banks	15	**31,551,346**	30,776,663
Repurchase agreements	16	**2,542,896**	2,570,289
Euro commercial paper	17	**35,053**	175,221
Customers' deposits	18	**123,130,589**	121,205,104
Medium-term borrowings	19	**14,458,665**	13,236,743
Other liabilities	20	**7,283,019**	5,550,094
		179,001,568	173,514,114
Subordinated notes	21	**8,312,286**	2,852,334
Total liabilities		**187,313,854**	176,366,448
Equity			
Share capital	22	**2,391,703**	2,174,275
Statutory and special reserves	22	**3,324,105**	3,215,391
Other reserves	22	**10,089,739**	7,784,164
Government of Abu Dhabi tier 1 capital notes	23	**4,000,000**	4,000,000
Share option scheme	24	**52,739**	18,888
Subordinated convertible notes - equity component	21	**74,925**	79,712
Retained earnings		**4,180,205**	3,168,138
Total equity		**24,113,416**	20,440,568
Total liabilities and equity		**211,427,270**	196,807,016

Nasser Ahmed Khalifa Alsowaidi
Chairman

Michael Tomalin
Group Chief Executive

The notes 1 to 44 are an integral part of these consolidated financial statements.The independent auditors' report is set out on page 36.

Consolidated income statement

For the year ended 31 December 2010

	Note	2010 AED'000	2009 AED'000
Interest income	25	**7,146,858**	6,697,475
Interest expense	26	**(2,129,245)**	(2,255,942)
Net interest income		**5,017,613**	4,441,533
Income from Islamic financing contracts	27	**283,225**	179,856
Depositors' share of profits	28	**(51,998)**	(50,188)
Net income from Islamic financing contracts		**231,227**	129,668
Fee and commission income		**1,460,578**	1,303,737
Fee and commission expense		**(198,705)**	(168,051)
Net fee and commission income	29	**1,261,873**	1,135,686
Net gain on investments	30	**323,398**	222,828
Net foreign exchange gain	31	**273,891**	363,891
Other operating income	32	**70,532**	105,446
		667,821	692,165
Operating income		**7,178,534**	6,399,052
General, administration and other operating expenses	33	**(2,186,002)**	(1,898,363)
Profit before net impairment charge and taxation		**4,992,532**	4,500,689
Net impairment charge	34	**(1,206,771)**	(1,407,813)
Profit before taxation		**3,785,761**	3,092,876
Overseas income tax expense	35	**(102,602)**	(72,939)
Net profit for the year		**3,683,159**	3,019,937
Basic earnings per share (AED)	41	**1.44**	1.21
Diluted earnings per share (AED)	41	**1.40**	1.18

The notes 1 to 44 are an integral part of these consolidated financial statements.
The independent auditors' report is set out on page 36.

Consolidated statement of comprehensive income

For the year ended 31 December 2010

	2010 AED'000	2009 AED'000
Net profit for the year	**3,683,159**	3,019,937
Other comprehensive income		
Exchange difference on translation of foreign operations	**(9,340)**	(13,296)
Change in the fair value reserve	**430,617**	(212,912)
Directors' remuneration	**(4,950)**	(4,452)
Buy back of subordinated convertible notes	**1,726**	1,698
Other comprehensive income / (expenses) for the year	**418,053**	(228,962)
Total comprehensive income for the year	**4,101,212**	2,790,975

The notes 1 to 44 are an integral part of these consolidated financial statements.
The independent auditors' report is set out on page 36.

Consolidated statement of changes in equity

For the year ended 31 December 2010

	Share capital AED'000	Statutory reserve AED'000	Special reserve AED'000	General reserve AED'000	Government of Abu Dhabi Tier 1 capital notes AED'000	Share option scheme AED'000	Fair value reserve AED'000	Foreign currency translation reserve AED'000	Subordinated convertible notes - equity component AED'000	Retained earnings AED'000	Total AED'000
Balance at 31 December 2008	1,976,614	988,307	2,128,253	6,819,463	-	7,214	(632,311)	19,183	85,408	2,964,468	14,356,599
Net profit for the year	-	-	-	-	-	-	-	-	-	3,019,937	3,019,937
Net movement in fair value reserve (note 22)	-	-	-	-	-	-	(212,912)	-	-	-	(212,912)
Directors' remuneration	-	-	-	-	-	-	-	-	-	(4,452)	(4,452)
Foreign currency translation adjustment	-	-	-	-	-	-	-	(13,296)	-	-	(13,296)
Buy back of subordinated convertible notes (note 21)	-	-	-	1,698	-	-	-	-	-	-	1,698
Total comprehensive income for the year	-	-	-	1,698	-	-	(212,912)	(13,296)	(5,696)	3,015,485	2,790,975
Buy back of subordinated convertible notes (note 21)	-	-	-	-	-	-	-	-	(5,696)	-	(5,696)
Options granted to staff (note 24)	-	-	-	-	-	11,674	-	-	-	-	11,674
Dividends paid for 2008 (note 22)	-	-	-	(197,661)	-	-	-	-	-	(592,984)	(592,984)
Bonus shares issued (note 22)	197,661	-	-	-	-	-	-	-	-	-	-
Tier 1 capital introduced during the year (note 23)	-	-	-	-	4,000,000	-	-	-	-	-	4,000,000
Payment on Tier 1 capital notes (note 23)	-	-	-	-	-	-	-	-	-	(120,000)	(120,000)
Transfer to statutory reserve (note 22)	-	98,831	-	-	-	-	-	-	-	(98,831)	-
Transfer to general reserve (note 22)	-	-	-	2,000,000	-	-	-	-	-	(2,000,000)	-
Balance at 31 December 2009	**2,174,275**	**1,087,138**	**2,128,253**	**8,623,500**	**4,000,000**	**18,888**	**(845,223)**	**5,887**	**79,712**	**3,168,138**	**20,440,568**
Net profit for the year	-	-	-	-	-	-	-	-	-	3,683,159	3,683,159
Net movement in fair value reserve (note 22)	-	-	-	-	-	-	430,617	-	-	-	430,617
Directors' remuneration	-	-	-	-	-	-	-	-	-	(4,950)	(4,950)
Foreign currency translation adjustment	-	-	-	-	-	-	-	(9,340)	-	-	(9,340)
Buy back of subordinated convertible notes (note 21)	-	-	-	1,726	-	-	-	-	-	-	1,726
Total comprehensive income for the year	-	-	-	1,726	-	-	430,617	(9,340)	-	3,678,209	4,101,212
Buy back of subordinated convertible notes (note 21)	-	-	-	-	-	-	-	-	(4,787)	-	(4,787)
Options granted to staff (note 24)	-	-	-	-	-	33,851	-	-	-	-	33,851
Dividends paid for 2009 (note 22)	-	-	-	(217,428)	-	-	-	-	-	(217,428)	(217,428)
Bonus shares issued (note 22)	217,428	-	-	-	-	-	-	-	-	-	-
Payment on Tier 1 capital notes (note 23)	-	-	-	-	-	-	-	-	-	(240,000)	(240,000)
Transfer to statutory reserve (note 22)	-	108,714	-	-	-	-	-	-	-	(108,714)	-
Transfer to general reserve (note 22)	-	-	-	2,100,000	-	-	-	-	-	(2,100,000)	-
Balance at 31 December 2010	**2,391,703**	**1,195,852**	**2,128,253**	**10,507,798**	**4,000,000**	**52,739**	**(414,606)**	**(3,453)**	**74,925**	**4,180,205**	**24,113,416**

The notes 1 to 44 are an integral part of these consolidated financial statements. The independent auditors' report is set out on page 36.

Consolidated statement of cash flows

For the year ended 31 December 2010

	Note	2010 AED'000	2009 AED'000
Cash flows from operating activities			
Profit before taxation		**3,785,761**	3,092,876
Adjustments for:			
Depreciation	14	**121,144**	101,120
Accreted interest		**11,130**	11,901
Profit on buyback of subordinated debt	21	**(26,669)**	(55,403)
Write-offs and impairment charge	34	**1,457,453**	1,552,633
Foreign currency translation adjustment		**(101,560)**	139,560
Share option scheme		**33,851**	11,674
Write back of provisions for loans and advances	34	**(199,405)**	(115,992)
		5,081,705	4,738,369
Change in investments at fair value through profit or loss		**(214,758)**	201,320
Change in due from banks and central banks		**(1,656,274)**	661,531
Change in reverse repurchase agreements		**(10,341,382)**	3,110,518
Change in loans and advances		**(5,701,673)**	(21,759,667)
Change in other assets		**(1,665,135)**	1,099,566
Change in due to banks		**774,683**	4,979,667
Change in repurchase agreements		**(27,393)**	(1,965,056)
Change in customers' deposits		**7,530,347**	17,723,959
Change in other liabilities		**1,660,535**	444,339
		(4,559,345)	9,234,546
Overseas income tax paid, net of recoveries	20	**(96,783)**	(110,040)
Net cash (used in)/ from operating activities		**(4,656,128)**	9,124,506
Cash flows from investing activities			
Purchase of non-trading investments		**(9,489,972)**	(7,062,459)
Proceeds from sale/maturity of non-trading investments		**7,475,152**	3,091,066
Purchase of premises and equipment, net of disposals		**(323,349)**	(867,269)
Net cash used in investing activities		**(2,338,169)**	(4,838,662)
Cash flows from financing activities			
Net movement of Euro commercial paper		**(140,168)**	101,224
Issue of medium term borrowings		**5,128,037**	5,144,053
Repayment of medium term borrowings		**(4,022,274)**	(641,405)
Proceeds from issue of Tier 1 capital notes	23	**-**	4,000,000
Buy back of subordinated convertible notes		**(154,478)**	(159,100)
Dividends paid	22	**(217,428)**	(592,984)
Payment on Tier I capital notes	23	**(240,000)**	(120,000)
Net cash from financing activities		**353,689**	7,731,788
Net (decrease)/increase in cash and cash equivalents		**(6,640,608)**	12,017,632
Cash and cash equivalents at 1 January		**27,617,187**	15,599,555
Cash and cash equivalents at 31 December	36	**20,976,579**	27,617,187

The notes 1 to 44 are an integral part of these consolidated financial statements.The independent auditors' report is set out on page 36.

1 Legal status and principal activities

National Bank of Abu Dhabi PJSC (the "Bank") was established in Abu Dhabi in 1968 with limited liability and is registered as a Public Joint Stock Company in accordance with the United Arab Emirates Federal Law No. 8 of 1984 (as amended) relating to Commercial Companies. Its registered office address is P. O. Box 4, Abu Dhabi, United Arab Emirates.

The consolidated financial statements as at and for the year ended 31 December 2010 comprise the Bank and its subsidiaries (together referred to as the "Group"). The Group is primarily engaged in corporate, retail, private and investment banking activities, Islamic banking activities; and carries out its operations through its local and overseas branches, subsidiaries and representative offices located in United Arab Emirates, Bahrain, Egypt, France, Oman, Kuwait, Sudan, Libya, the United Kingdom, Switzerland, Hong Kong, Jordan and the United States of America.

The Group's Islamic banking activities are conducted in accordance with Islamic Sharia'a laws issued by the Sharia'a Supervisory Board.

The consolidated financial statements were authorised for issue by the Board of Directors on 1 February 2011.

2 Basis of preparation

(a) Statement of compliance

The consolidated financial statements have been prepared in accordance with the International Financial Reporting Standards (IFRSs) and the requirements of UAE Federal Law No. 8 of 1984 (as amended).

(b) Basis of measurement

The consolidated financial statements are prepared under the historical cost basis except for the following:

- derivative financial instruments are measured a fair value;
- investments at fair value through profit or loss are measured at fair value;
- non-trading investments classified as available for sale are measured at fair value;
- the carrying values of recognised assets and liabilities that are hedged items in fair value and cash flow hedges, and are otherwise carried at amortised cost, are adjusted to record changes in fair values attributable to risks that are being hedged;
- non-financial assets acquired in settlement of loans and advances are measured at the lower of their fair value less costs to sell and the carrying amount of the loan and advances.

(c) Functional and presentation currency

These consolidated financial statements are presented in United Arab Emirates Dirhams ("AED"), which is the Bank's functional currency. Items included in the financial statements of each of the Bank's overseas subsidiaries and branches are measured using the currency of the primary economic environment in which they operate. Except as indicated, information presented in AED has been rounded to the nearest thousand.

(d) Use of estimates and judgements

The preparation of consolidated financial statements requires management to make judgements, estimates and assumptions that affect the application of accounting policies and reported amounts of assets and liabilities, income and expense. Actual results may differ from these estimates.

2 Basis of preparation (continued)

(d) Use of estimates and judgements (continued)

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimate is revised and in any future periods affected.

Information about significant areas of estimation uncertainty and critical judgements in applying accounting policies that have the most significant effect on the amount recognised in the consolidated financial statements are described in note 5.

(e) Changes in accounting policies

There were no changes in the accounting policies of the Bank during the year.

3 Significant accounting policies

The accounting policies set out below have been applied consistently to all periods presented in these consolidated financial statements and have been applied consistently by Group entities.

(a) Basis of consolidation

(i) Subsidiaries

Subsidiaries are entities controlled by the Group. Control exists when the Group has the power to govern the financial and operating policies of an entity so as to obtain benefits from its activities. The financial statements of subsidiaries are included in the consolidated financial statements from the date that control commences until the date that control ceases.

The consolidated financial statements of the Group comprise the Bank and its fully owned subsidiaries as listed below:

	Country of incorporation
Abu Dhabi International Bank Inc.	Curacao, Netherlands Antilles
Abu Dhabi Financial Services LLC	Abu Dhabi, United Arab Emirates
Abu Dhabi National Leasing LLC	Abu Dhabi, United Arab Emirates
Abu Dhabi National Properties LLC	Abu Dhabi, United Arab Emirates
NBAD Trust Company (Jersey) Limited	Jersey, Channel Islands
NBAD Private Bank (Suisse) SA	Geneva, Switzerland
Abu Dhabi National Islamic Finance Company	Abu Dhabi, United Arab Emirates
Ample China Holding Limited	Hong Kong, China
Abu Dhabi Brokerage Egypt	Egypt

3 Significant accounting policies (continued)

(a) Basis of consolidation (continued)

(ii) Special purpose entities

Special purpose entities are entities that are created to accomplish a narrow and well defined objective. The financial statements of special purpose entities are not included in the Group's consolidated financial statements except when the substance of the relationship is that the Group controls the special purpose entity. Information about the Group's special purpose entities is set out in note 43.

(iii) Fund management

The Group manages and administers assets held in trust or in fiduciary capacity on behalf of investors. The financial statements of these funds are not included in these consolidated financial statements. Information about the Group's fund management and fiduciary activity is set out in note 42.

(iv) Transactions eliminated on consolidation

The carrying amount of the Bank's investment in each subsidiary and the equity of each subsidiary is eliminated on consolidation. All significant intra-group balances, and unrealised income and expenses arising from intra-group transactions are eliminated on consolidation.

(b) Financial assets and liabilities

(i) Recognition

The Group initially recognises loans and advances, customers' deposits, medium term and subordinated debt on the date that they are originated. All other financial assets and liabilities are initially recognised on the statement of financial position when, the Group becomes a party to the contractual provisions of the instrument.

All *regular way* purchases and sales of financial assets are recognised on the settlement date, i.e. the date the asset is delivered to or received from the counterparty. *Regular way* purchases or sales of financial assets are those that require delivery of assets within the time frame generally established by regulation or convention in the market place.

(ii) Derecognition

The Group derecognises a financial asset when the contractual rights to the cash flows from the financial asset expire, or when it transfers the rights to receive the contractual cash flows on the financial asset in a transaction in which substantially all the risks and rewards of ownership of the financial asset are transferred.

The Group derecognises a financial liability when its contractual obligations are discharged or cancelled or expired.

The Group enters into transactions whereby it transfers assets recognised on its consolidated statement of financial position, but retains either all or substantially all of the risks and rewards of the transferred assets or a portion of them. In such transactions, the transferred assets are not derecognised from the consolidated statement of financial position. Transfers of assets with retention of all or substantially all risks and rewards include repurchase transactions (note 16).

The Group also derecognises certain assets when it writes off balances pertaining to the assets deemed to be uncollectible (note 4).

(iii) Designation at fair value through profit or loss

The Group has designated financial assets and liabilities at fair value through profit or loss when either:

- the assets or liabilities are managed, evaluated and reported internally on a fair value basis; or
- the designation eliminates or significantly reduces an accounting mismatch which would otherwise arise.

3 Significant accounting policies (continued)

(b) Financial assets and liabilities (continued)

(iv) Held for trading

Trading assets are those assets that the group acquires for the purpose of selling in the near term, or holds as part of a portfolio that is managed together for short-term profit taking.

Trading assets are initially recognised and subsequently measured at fair value in the statement of financial position with transaction costs taken directly to the consolidated income statement. All changes in fair value are recognised as part of net trading income in the consolidated income statement. Trading assets are not reclassified subsequent to their initial recognition.

(v) Designation as available for sale and held-to-maturity

The Group has non-derivative financial assets designated as available for sale when these are not classified as loans and receivables, held-to-maturity investments or financial assets at fair value through profit or loss.

Held-to-maturity investments are non-derivative assets with fixed or determinable payments and fixed maturity that the Group has the positive intent and ability to hold to maturity, and which are not designated as at fair value through profit or loss or as available for sale.

(vi) Offsetting

Financial assets and liabilities are set off and the net amount presented in the statement of financial position when, and only when, the Group has a legal right to set off the amounts and intend either to settle on a net basis, or to realise the asset and settle the liability simultaneously.

(vii) Amortised cost measurement

The amortised cost of a financial asset or liability is the amount at which the financial asset or liability is measured at initial recognition, minus principal repayments, plus or minus the cumulative amortisation using the effective interest method of any difference between the initial amount recognised and the maturity amount, minus any reduction for impairment.

(viii) Fair value measurement

The determination of fair values of financial assets and liabilities is based on quoted market prices or dealer quotations for financial instruments traded in active markets. A market is regarded as active if quoted prices are readily and regularly available and represent actual and regularly occurring market transactions on an arm's length basis. Quoted bid prices are used for financial assets and quoted ask prices are used for financial liabilities.

For financial instruments not traded on an active market, fair value is determined based on recent transactions, brokers' quotes or a widely recognised valuation technique.

Valuation techniques include using recent arm's length transactions between knowledgeable, willing parties (if available), reference to the current fair value of other instruments that are substantially the same, discounted cash flow analyses and option pricing models. The chosen valuation technique makes maximum use of market inputs, relies as little as possible on estimates specific to the Group, incorporates all factors that market participants would consider in setting a price, and is consistent with accepted economic methodologies for pricing financial instruments. Inputs to valuation techniques reasonably represent market expectations and measures of the risk-return factors inherent in the financial instrument.

The best evidence of the fair value of a financial instrument at initial recognition is the transaction price, i.e., the fair value of the consideration given or received, unless the fair value of that instrument is evidenced by comparison with other observable current market transactions in the same instrument (i.e., without modification or repackaging) or based on a valuation technique whose variables include only data from observable markets.

3 Significant accounting policies (continued)

(b) Financial assets and liabilities (continued)

(ix) Identification and measurement of impairment

An assessment is made at each reporting date and periodically during the year to determine whether there is any objective evidence that financial assets not carried at fair value through profit or loss, are impaired. Financial assets are impaired when objective evidence indicates that a loss event has occurred after the initial recognition of the asset and that the loss event has an impact on the future cash flows of the asset that can be estimated reliably.

Objective evidence that financial assets (including equity securities) are impaired can include significant financial difficulty of the borrower or issuer, default or delinquency by a borrower, restructuring of a loan or advance by the Group on terms that the Group would not otherwise consider, indications that a borrower or issuer will enter bankruptcy, the disappearance of an active market for a security, or other observable data relating to a group of assets such as adverse changes in the payment status of borrowers or issuers in the group, or economic conditions that correlate with defaults in the group. In addition, for an investment in an equity security, a significant or prolonged decline in its fair value below its cost is objective evidence of impairment.

The Group considers evidence of impairment at both a specific asset and collective level. All individually significant assets are assessed for specific impairment. All individually significant assets found not to be specifically impaired are then collectively assessed for any impairment that has been incurred but not yet identified. Assets that are not individually significant are collectively assessed for impairment by grouping together financial assets with similar risk characteristics.

In assessing collective impairment the Group uses statistical modelling of historical trends of the probability of default, timing of recoveries and the amount of loss incurred, adjusted for management's judgement as to whether current economic and credit conditions are such that the actual losses are likely to be greater or less than suggested by historical modelling. Default rates, loss rates and the expected timing of future recoveries are regularly benchmarked against actual outcomes to ensure that they remain appropriate.

Impairment losses on financial assets carried at amortised cost are measured as the difference between the carrying amount of the financial asset and the present value of estimated cash flows discounted at the original effective interest rate. Impairment losses are recognised in the consolidated income statement and reflected in an allowance account against such financial assets. When a subsequent event causes the amount of impairment loss to decrease, the decrease in impairment loss is reversed through the consolidated income statement.

Impairment losses on available for sale investment securities are recognised by transferring the difference between the amortised acquisition cost and current fair value out of other comprehensive income to the consolidated income statement. When a subsequent event causes the amount of impairment loss on available-for-sale debt security to decrease, the impairment loss is reversed through the consolidated income statement.

Impairment losses on an unquoted equity instrument that is carried at cost because its fair value cannot be reliably measured, is measured as the difference between the carrying amount of the financial asset and the present value of estimated future cash flows discounted at the current market rate of return for a similar financial asset. Such impairment losses shall not be reversed.

3 Significant accounting policies (continued)

(c) Cash and cash equivalents

For the purpose of consolidated statement of cash flows, cash and cash equivalents comprise cash, balances with central banks and due from banks with original maturities of less than three months, which are subject to insignificant risk of changes in fair value, and are used by the Group in the management of its short-term commitments.

Cash and cash equivalents are carried at amortised cost in the statement of financial position.

(d) Investments at fair value through profit or loss

These are financial assets classified as held for trading or designated as such upon initial recognition. These are initially recognised and subsequently measured at fair value with transaction costs taken directly to the consolidated income statement. All related realised and unrealised gains or losses are included in net investment income.

(e) Due from banks

These are stated at amortised cost, less any allowance for impairment.

(f) Loans and advances

Loans and advances are non-derivative financial assets with fixed or determinable payments that are not quoted in an active market and that the Group does not intend to sell immediately or in the near term.

These are initially measured at fair value (being the transaction price at inception) plus incremental direct transaction costs and subsequently measured at amortised cost using the effective interest method, adjusted for effective fair value hedges, net of interest suspended and provisions for impairment.

(g) Islamic financing and investing contracts

i) Definitions

Ijara

Ijara consists of Ijara muntahia bitamleek.

Ijara muntahia bitamleek is an agreement whereby the Group (the lessor) conveys to the customer (the lessee), in return for a specific rent, the right to use a specific asset for a specific period of time, against payment of fixed periodical and variable rental. Under this agreement, the Group purchases or constructs the asset and rents it to the customer. The contract specifies the leasing party and the amount and timing of rental payments and responsibilities of both parties during the term of the lease. The customer provides the Group with an undertaking to settle the rental amount as per the agreed schedule.

The Group retains the ownership of the assets throughout the entire lease term. At the end of the lease term, the Group sells the leased asset to the customer at a nominal value based on a sale undertaking by the Group.

Murabaha

An agreement whereby the Group sells to a customer a commodity, which the Group has purchased and acquired, based on promise received from the customer to buy the item purchased according to specific terms and conditions. The selling price comprises the cost of the commodity and an agreed profit margin.

Mudaraba

A contract between the Group and a customer, whereby one party provides the funds (Rab Al Mal) and the other party (the Mudarib) invests the

3 Significant accounting policies (continued)

(g) Islamic financing and investing contracts (continued)

funds in a project or a particular activity and any generated profits are distributed between the parties according to the profit shares that were pre-agreed upon in the contract. The Mudarib is responsible for all losses caused by his misconduct, negligence or violation of the terms and conditions of the Mudaraba; otherwise, losses are borne by Rab Al Mal.

Wakala

An agreement whereby the Group provides a certain sum of money to an agent (Wakkil) who invests it in Sharia's compliant transactions according to specific conditions in return for a certain fee (a lump sum of money or a percentage of the amount invested).

ii) Revenue recognition

Ijara

Income from Ijara is recognised on a declining-value basis, until such time a reasonable doubt exists with regard to its collectability.

Murabaha

Income from Murabaha is recognised on a declining-value basis, until such time a reasonable doubt exists with regard to its collectability.

Mudaraba

Income or losses on Mudaraba financing are recognised on an accrual basis if they can be reliably estimated. Otherwise, income is recognised on distribution by the Mudarib, whereas the losses are charged to the consolidated income statement on their declaration by the Mudarib.

Wakala

Estimated income from Wakala is recognised on an accrual basis over the period, adjusted by actual income when received. Losses are accounted for on the date of declaration by the agent.

(h) Non-trading investments

Included in non-trading investments are available for sale assets which are initially recognised at fair value plus incremental transaction costs directly attributable to the acquisition.

After initial recognition, these investments are remeasured at fair value. For investments which are not part of an effective hedge relationship, unrealised gains or losses are recognised in other comprehensive income until the investment is derecognised or until the investment is determined to be impaired, at which time the cumulative gain or loss previously recognised in other comprehensive income, is included in the consolidated income statement for the year. For investments which are part of an effective fair value hedge relationship, any unrealised gain or loss arising from a change in fair value is recognised directly in the consolidated income statement to the extent of the changes in fair value being hedged.

For the purpose of recognising foreign exchange gains and losses, a monetary available for sale financial asset is treated as if it were carried at amortised cost in the foreign currency. Accordingly, for such a financial asset, exchange differences are recognised in the consolidated income statement.

For unquoted equity investments where fair value cannot be reliably measured, these are carried at cost less provision for impairment in value. Upon subsequent derecognition, the profit or loss on sale is recognised in the consolidated income statement for the year.

Included in non-trading investments are held-to-maturity assets which are carried at amortised cost less impairment.

3 Significant accounting policies (continued)

(i) Reverse repurchase agreements

Assets purchased with a simultaneous commitment to resale at a specified future date (reverse repos) are not recognised. The amount paid to the counterparty under these agreements is shown as reverse repurchase agreements in the consolidated statement of financial position. The difference between purchase and resale price is treated as interest income and accrued over the life of the reverse repurchase agreement and charged to the consolidated income statement using the effective interest method.

(j) Premises and equipment

(i) Recognition and measurement

All items of premises and equipment are measured at cost less accumulated depreciation and impairment losses, if any. Capital projects in progress are initially recorded at cost, and upon completion are transferred to the appropriate category of premises and equipment and thereafter depreciated.

Cost includes expenditures that are directly attributable to the acquisition of the asset. Purchased software that is integral to the functionality of the related equipment is capitalised as part of that equipment.

Gains and losses on disposal of an item of premises and equipment are determined by comparing the proceeds from disposal with the carrying amount of premises and equipment and are recognised net within other operating income in the consolidated income statement.

ii) Depreciation

Depreciation is recognised in the consolidated income statement on a straight-line basis over the estimated useful lives of all premises and equipment. Freehold land and capital work in progress are not depreciated.

The estimated useful lives of assets for the current and comparative period are as follows:

Buildings	20 to 50 years
Office furniture and equipment	1 to 5 years
Alterations to premises	4 years
Safes	10 to 20 years
Computer systems and equipment	3 to 7 years
Vehicles	3 years

Depreciation methods, useful lives and residual values are reassessed at every reporting date.

(iii) Impairment

The carrying amounts are reviewed at each reporting date for indication of impairment. If any such indication exists then the asset's recoverable amount is estimated. The recoverable amount of an asset or cash generating unit is the greater of its value in use and its fair value less costs to sell. In assessing value in use, the estimated future cash flows are discounted to their present value using a discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. An impairment loss is recognised in the consolidated income statement to the extent that carrying values do not exceed the recoverable amounts.

(k) Collateral pending sale

Non-financial assets acquired in settlement of loans and advances are recorded as assets held for sale and reported in "Other assets". The asset acquired is recorded at the lower of its fair value less costs to sell and the carrying amount of the loan (net of impairment allowance) at the date of exchange. No depreciation is provided in respect of assets held for

3 Significant accounting policies (continued)

(k) Collateral pending sale (continued)

sale. Any subsequent write-down of the acquired asset to fair value less costs to sell is recorded as an impairment loss and included in the consolidated income statement. Any subsequent increase in the fair value less costs to sell, to the extent this does not exceed the cumulative impairment loss, is recognised in the consolidated income statement. The Group's collateral disposal policy is in line with the respective regulatory requirement of the regions in which the Group operates.

(l) Due to banks, customers' deposits, Euro commercial paper and medium-term borrowings

Due to banks, customer deposits, Euro commercial paper and medium-term borrowings are initially recognised at their fair value plus transaction costs and subsequently measured at their amortised cost using the effective interest method.

(m) Repurchase agreements

Assets sold with a simultaneous commitment to repurchase at a specified future date (repos) are not derecognised. The liability to the counterparty for amounts received under these agreements is shown as repurchase agreements in the consolidated statement of financial position. The difference between sale and repurchase price is treated as interest expense and accrued over the life of the repurchase agreement and charged to the consolidated income statement using the effective interest method.

(n) Subordinated notes

Subordinated notes include subordinated convertible notes that can be converted into share capital at the option of the holder, where the number of shares issued do not vary with changes in their fair value, are accounted for as compound financial instruments. The equity component of the subordinated convertible notes is calculated as the excess of issue proceeds over the present value of the future interest and principal payments, discounted at the market rate of interest applicable to similar liabilities that do not have a conversion option.

(o) Share option scheme

The grant date fair value of options granted to staff is recognised as staff cost, with a corresponding increase in equity, over the period in which the staff become unconditionally entitled to the options. The amount recognised as an expense is adjusted to reflect the number of share options for which the related service conditions are expected to be met, such that the amount ultimately recognised as an expense is based on the number of share options that do meet the related service and non-market performance conditions at the vesting date.

The fair value of the amount payable to staff in respect of the share appreciation rights that are settled in cash is recognised as an expense with a corresponding increase in liabilities, over the period in which the employees become unconditionally entitled to payment. The liability is remeasured at each reporting date and at settlement date. Any changes in the fair value of the liability are recognised as staff costs in consolidated income statement.

(p) Interest

Interest income and expense are recognised in the consolidated income statement using the effective interest method. The effective interest rate is the rate that exactly discounts the estimated future cash flows through the expected life of the financial asset or liability to the carrying amount of the financial asset or liability.

The calculation of the effective interest rate includes all fees paid or received that are an integral part of

3 Significant accounting policies (continued)

the effective interest rate. Transaction costs include incremental costs that are directly attributable to the acquisition or issue of a financial asset or liability.

Interest income and expense presented in the consolidated income statement include:

- interest on financial assets and liabilities at amortised cost on an effective interest basis.
- interest on available-for-sale investment securities on an effective interest basis.
- interest on held for trading securities on an effective interest basis.

(q) Fee and commission

The Group earns fee and commission income from a diverse range of services provided to its customers. Recognition of revenue for fee and commission income depends on the purposes for which the fees are assessed and the basis of accounting for the associated financial instrument. Fee and commission income is accounted for as follows:

- income which forms an integral part of the effective interest rate of a financial instrument is recognised as an adjustment to the effective interest rate (for example, loan commitment fees) and recorded in "Interest income";
- income earned from the provision of services is recognised as revenue as the services are provided (for example, loan processing fees, investment management fees and loan syndication fees); and
- income earned on the execution of a significant act is recognised as revenue when the act is completed (for example, commission on the allotment of shares to a client, placement fees for arranging a loan between the borrower and an investor).

Fee and commission expense relates mainly to transaction and service fees which are expensed as the services are received.

(r) Net investment income

Net investment income comprise gains less losses relating to realised and unrealised gains and losses on investments at fair value through profit or loss, realised gains and losses on non-trading investments and dividend income. Dividend income is recognised when the right to receive payment is established.

(s) Foreign currency

(i) Foreign currency transactions

Transactions in foreign currencies are translated into the respective functional currencies of the Group entities at spot exchange rates at the dates of the transactions.

Monetary assets and liabilities denominated in foreign currencies at the reporting date are retranslated to the functional currency at the spot exchange rates at the reporting date. The foreign currency gain or loss on monetary items is the difference between amortised cost in the functional currency at the beginning of the period, adjusted for effective interest and payments during the period, and the amortised cost in foreign currency translated at the exchange rate at the end of the period. Foreign currency differences arising on retranslation are recognised in profit or loss.

(ii) Foreign operations

The activities of subsidiaries and branches based outside the UAE are not deemed an integral part of the head office operations, as they are financially and operationally independent of the head office. The assets and liabilities of the subsidiaries and overseas branches are translated into UAE Dirhams

3 Significant accounting policies (continued)

(s) Foreign currency (continued)

at rates of exchange at the reporting date. Income and expense items are translated at average rates, as appropriate, at the dates of transactions. Exchange differences (including those on transactions which hedge such investments) arising from retranslating the opening net assets, are taken directly to foreign currency translation adjustment account in other comprehensive income.

(t) Overseas income tax

Income tax expense is provided for in accordance with fiscal regulations of the respective countries in which the Group operates and is recognised in the consolidated income statement. Income tax expense is the expected tax payable on the taxable income for the year, using tax rates enacted or substantively enacted at the reporting date and any adjustment to tax payable in respect of previous years.

Deferred tax is provided using the liability method on all temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for taxation purposes. Deferred tax is not recognised for the following temporary differences: the initial recognition of goodwill, the initial recognition of assets or liabilities in a transaction that is not a business combination and that affects neither accounting nor taxable profit or loss, and differences relating to investments in subsidiaries to the extent that they probably will not reverse in the foreseeable future. Deferred tax is measured at the tax rates that are expected to apply to the period when the asset is realised or the liability is settled, based on laws that have been enacted at the reporting date.

A deferred tax asset is recognised only to the extent that it is probable that future taxable profits will be available against which the asset can be utilised. The carrying amount of deferred tax assets is reviewed at each reporting date and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred tax asset to be utilised.

(u) Zakat

Zakat represents business zakat payable by the Group to comply with the principles of Sharia'a and approved by the Sharia'a Supervisory Board.

The Group's appointed Zakat Committee is mandated to recommend zakat distribution.

(v) Derivative financial instruments and hedging

Derivatives are initially recognised, and subsequently measured at fair value with transaction costs taken directly to the consolidated income statement. The fair value of a derivative is the equivalent of the unrealised gain or loss from marking to market the derivative or using valuation techniques, mainly discounted cash flow models.

Derivatives with positive fair values (unrealised gains) are included in other assets and derivatives with negative fair values (unrealised losses) are included in other liabilities.

The method of recognising the resulting fair value gains or losses depends on whether the derivative is held for trading, or is designated as a hedging instrument and, if so, the nature of the risk being hedged. All gains and losses from changes in fair value of derivatives held for trading are recognised in the consolidated income statement. When derivatives are designated as hedges, the Group classifies them as either: (i) fair value hedges which hedge the exposure to changes in the fair value of a recognised asset or liability; (ii) cash flow hedges which hedge exposure to variability in cash flows that is either attributable to a particular risk associated with a recognised asset or liability. Hedge accounting is applied to derivatives designated as hedging instruments in a fair value or cash flow, provided certain criteria are met.

Hedge accounting

It is the Group's policy to document, at the inception of a hedge, the relationship between hedging instruments and hedged items, as well as risk management objective and strategy. The policy also requires documentation of the assessment, at inception and on an ongoing basis, of the effectiveness of the hedge. Hedge accounting is discontinued when the hedging instrument expires or is sold, terminated or exercised, or no longer qualifies for hedge accounting.

Fair value hedge

In relation to fair value hedges, any gain or loss from remeasuring the hedging instrument to fair value, as well as related changes in fair value of the item being hedged, are recognised immediately in the consolidated income statement.

Cash flow hedge

In relation to effective cash flow hedges, the gain or loss on the hedging instrument is recognised initially in other comprehensive income and transferred to the consolidated income statement in the period in which the hedged transaction impacts the consolidated income statement. Gain or loss, if any, relating to the ineffective portion is recognised immediately in the consolidated income statement. If the hedged transaction is no longer expected to occur, the net cumulative gain or loss recognised in other comprehensive income is transferred to the consolidated income statement.

Other derivatives

All gains and losses from changes in the fair values of derivatives that do not qualify for hedge accounting or are not designated as such are recognised immediately in the consolidated income statement as a component of net investment income or net foreign exchange gain.

(w) Provisions

A provision is recognised if, as a result of a past event, the Group has a present legal or constructive obligation that can be estimated reliably, and it is probable that an outflow of economic benefits will be required to settle the obligation. Where the effect of time value of money is material, provisions are determined by discounting the expected future cash flows, at a pre-tax rate, that reflects current market assessments of the time value of money and, where appropriate, the risks specific to the liability.

(x) Staff terminal benefits

UAE operations: UAE nationals employed by the Group are registered in the scheme managed by Abu Dhabi Retirement Pensions & Benefits Fund in accordance with Law number (2) of 2000. Staff terminal benefits for expatriate employees are accounted for on the basis of their accumulated services at the reporting date and in accordance with the Group's internal regulations, which comply with the UAE federal labour law.

An actuarial valuation is not performed on staff terminal and other benefits as the net impact of the discount rate and future salary and benefits level on the present value of the benefits obligation are not expected by management to be significant.

Foreign operations: the Group provides for staff terminal benefits for its employees based overseas in accordance with the applicable regulations in those jurisdictions.

(y) Directors' remuneration

In accordance with the Ministry of Economy and Commerce interpretation of Article 118 of Federal Law No. 8 of 1984 (as amended), Directors' remuneration has been treated as an appropriation from equity.

(z) Fiduciary activities

Assets held in trust or in a fiduciary capacity are not treated as assets of the Group and, accordingly, are not included in these consolidated financial statements.

3 Significant accounting policies (continued)

(aa) Financial guarantees

Financial guarantees are contracts that require the Group to make specified payments to reimburse the holder for a loss it incurs because a specified party fails to meet its obligation when due in accordance with the contractual terms.

Financial guarantee contracts which were previously asserted explicitly as insurance contracts continue to be accounted as such under IFRS 4.

For other financial guarantee contracts, financial guarantees are initially recognised at their fair value (which is the premium received on issuance). The received premium is amortised over the life of the financial guarantee. The guarantee liability is subsequently carried at the higher of this amortised amount and the present value of any expected payment (when a payment under the guarantee has become probable). The premium received on these financial guarantees is included within other liabilities.

(ab) Earnings per share

The Group presents basic and diluted earnings per share (EPS) data for its ordinary shares. Basic EPS is calculated by dividing the profit or loss attributable to ordinary shareholders of the Bank by the weighted average number of ordinary shares outstanding during the year. Diluted EPS is determined by adjusting the profit or loss attributable to ordinary shareholders and the weighted average number of ordinary shares outstanding for the effects of all dilutive potential ordinary shares, which comprise subordinated convertible notes and share options granted to staff.

(ac) Segment reporting

An operating segment is a component of the Group that engages in business activities from which it may earn revenues and incur expenses, including revenues and expenses that relate to transactions with any of the Group's other components.

All operating segments' operating results are reviewed regularly by the Group's Chief Executive to make decisions about resources to be allocated to the segment and assess its performance, and for which discrete financial information is available.

Segment results that are reported to the Chief Executive include items directly attributable to a segment as well as those that can be allocated on a reasonable basis. Head office segment is comprised of head office as well as aggregated individually insignificant segments.

(ad) Lease payments

Payments made under operating leases are recognised in the consolidated income statement on a straight-line basis over the term of the lease. Lease incentives received are recognised as an integral part of the total lease expense, over the term of the lease.

(ae) New standards and interpretations not yet adopted

A number of new standards, amendments to standards and interpretations are not yet effective for the year ended 31 December 2010, and have not been applied in preparing these consolidated financial statements:

Amended IAS *24 Related Party Disclosures (revised 2009)* – The revised IAS *24 Related Party Disclosures* amends the definition of a related party and modifies certain related party disclosure requirements for government-related entities. The amendment is effective for annual periods beginning on or after 1 January 2011, with retrospective application required. The amendment will have no effect on the Group's reported results or financial position.

IFRS 9 *Financial Instruments* – published on 12 November 2009 as part of phase I of the IASB's comprehensive project to replace IAS 39, deals with classification and measurement of financial assets. The requirements of this standard represent a significant change from the existing requirements in IAS 39 in respect of financial assets. The standard contains two primary measurement categories for financial assets: amortised cost and fair value.

3 Significant accounting policies (continued)

The standard requires that derivatives embedded in contracts with a host that is a financial asset within the scope of the standard are not separated; instead the hybrid financial instrument is assessed in its entirety as to whether it should be measured at amortised cost or fair value.

The standard is effective for annual periods beginning on or after 1 January 2013. Earlier application is permitted. The Group is currently in the process of evaluating the potential effect of this standard. Given the nature of the Group's operations, this standard is expected to have a pervasive impact on the Group's financial statements.

4 Financial risk management

(a) Introduction and overview

The Group has exposure to the following risks from financial instruments:

- credit risk
- liquidity risk
- market risks
- operational risks

This note presents information about the Group's exposure to each of the above risks, the Group's objectives, policies and processes for measuring and managing risk, and the Group's management of capital.

Risk management framework

The Board of Directors (the "Board") has overall responsibility for the establishment and oversight of the Group's risk management framework and they are assisted by two board committees (Risk Management Committee and Audit Committee), and three management committees (Assets and Liabilities Committee, Group Credit Committee and Operational Risk Management Committee).

(b) Credit risk

Credit risk is the risk that a customer or counterparty to a financial asset fails to meet its contractual obligations and cause the Group to incur a financial loss. It arises principally from the Group's loans and advances, due from banks, reverse repurchase agreements and non-trading investments.

For risk management purposes, credit risk arising on trading investments is managed independently, and reported as a component of market risk exposure.

Management of credit risk

The Group uses an internal risk rating system to assess the credit quality of borrowers and counterparties. Each exposure in the Sovereign, Banks and Corporate asset classes is assigned a rating. The risk rating system has 11 grades, further segregated into 24 notches. Grades 1-7 are performing, Grade 8 is Other Loans Especially Mentioned (OLEM) and Grades 9 -11 are non – performing each with a rating description.

In addition, the Group manages the credit exposure by obtaining security where appropriate and limiting the duration of exposure. In certain cases, the Group may also close out transactions or assign them to other counterparties to mitigate credit risk. Credit risk in respect of derivative financial instruments is limited to those with positive fair values.

Impairment:

The Group measures its exposure to credit risk by reference to the gross carrying amount of financial assets less amounts offset, interest suspended and impairment losses, if any. The carrying amount of financial assets represents the maximum credit exposure.

4 Financial risk management (continued)

(b) Credit risk (continued)

	Due from Banks		Loans and advances		Non-trading investments	
	2010	2009	**2010**	2009	**2010**	2009
	AED'000	AED'000	**AED'000**	AED'000	**AED'000**	AED'000
Individually impaired						
Substandard	-	-	**2,054,985**	961,141	-	-
Doubtful	**979**	979	**558,651**	554,127	**20,055**	20,055
Loss	**-**	-	**994,079**	810,924	-	-
Gross amount	**979**	979	**3,607,715**	2,326,192	**20,055**	20,055
Interest suspended	**-**	-	**(358,624)**	(639,519)	-	-
Specific allowance						
for impairment	**(979)**	(979)	**(1,771,860)**	(1,053,422)	**(16,712)**	(16,712)
Carrying amount	**-**	-	**1,477,231**	633,251	**3,343**	3,343
Past due but not impaired						
Carrying amount	**-**	-	**3,217,298**	3,342,278	-	-
Interest suspended	**-**	-	**(52,465)**	(18,247)	-	-
Carrying amount	**-**	-	**3,164,833**	3,324,031	-	-
Past due comprises:						
Less than 30 days	**-**	-	**202,089**	392,083	-	-
31 – 60 days	**-**	-	**45,979**	36,386	-	-
61 – 90 days	**-**	-	**443,935**	2,037	-	-
More than 90 days	**-**	-	**2,472,830**	2,893,525	-	-
Carrying amount	**-**	-	**3,164,833**	3,324,031	-	-
Neither past due nor impaired	**14,163,391**	19,520,709	**134,083,653**	129,905,136	**21,392,662**	18,951,055
Collective allowance						
for impairment			**(1,892,221)**	(1,604,088)		
Carrying amount	**14,163,391**	19,520,709	**136,833,496**	132,258,330	**21,396,005**	18,954,398

4 Financial risk management (continued)

(b) Credit risk (continued)

Impaired loans and advances and non-trading investments

Impaired loans and advances and non-trading investments are financial assets for which the Group determines that it is probable that it will be unable to collect all principal and interest due according to the contractual terms of the loan agreements. The Group financial assets that are neither past due nor impaired fall within the grade 1 – 7 in accordance with the Group's internal credit risk grading system.

Past due but not impaired

Past due but not impaired are accounts where either contractual principal or interest are past due or when the accounts show some potential weakness in the borrower's financial position and creditworthiness, and requires more than normal attention. Such potential weakness is specifically monitored to ensure that the quality of the asset does not deteriorate in the near future affecting negatively the Group's credit position. On this class of asset the Group believes that specific impairment is not appropriate at the current condition, but interest is suspended in certain cases.

Loans with renegotiated terms

Loans with renegotiated terms are loans that have been restructured due to either deterioration in the borrower's financial position and where the Group has made concessions that it would not otherwise consider or the loans are performing but the terms have been amended. Once the loan is restructured it remains in this category for a minimum period of twelve months until it performs satisfactory on the revised terms. In the last twelve months, the Group has renegotiated the following exposures:

	2010	2009
	AED'000	AED'000
Renegotiated loans	**2,734,460**	**3,183,155**

Accounts with re-negotiated terms amounting to AED 604,444 thousand (*2009: AED 556,907 thousand*) are included in past due but not impaired.

Allowances for impairment

The Group establishes an allowance for impairment losses on assets carried at amortised cost that represents its estimate of incurred losses in its loan portfolio. The main components of this allowance are a specific loss component that relates to individually significant exposures, and a collective loan loss allowance for losses that have been incurred but not identified, established for groups of homogeneous assets with similar risk characteristics that are indicative of the debtor's ability to pay amounts due according to the contractual terms on the basis of a credit risk evaluation or grading process that considers asset type, industry, geographical location, collateral type, past due status and other relevant factors. Future cash flows in a group of financial assets that are collectively evaluated for impairment are estimated on the basis of historical loss experience for assets with credit risk characteristics similar to those in the group.

Individually assessed loans are required to be classified as impaired as soon as there is objective evidence that an impairment loss has been incurred. Objective evidence of impairment includes observable data such as when contractual payment of principal or interest is overdue or there is known difficulties in the cash flows of counterparties, credit rating downgrades or original terms of the contractual repayment are unable to be met.

Write-off policy

The Group writes off a loan or investment balance (and any related allowances for impairment losses) when the Risk Management Committee determines that the loans or investments are uncollectible. This is determined after all possible efforts of collecting the amounts have been exhausted.

4 Financial risk management (continued)

(b) Credit risk (continued)

Collateral

The Group holds collateral against loans and advances and investments in the form of mortgage interests over property, other securities over assets, cash deposits and guarantees. The Group accepts sovereign guarantees and guarantees from well reputed local or international banks, well established local or multinational large corporate and high net-worth private individuals. Collateral generally is not held against due from banks, and no such collateral was held at 31 December 2010 or 2009.

An estimate of the fair value of collateral and other security enhancements held against loans and advances (including Islamic financing) is shown below:

	2010 **AED'000**	2009 AED'000
Against individually impaired		
Property	**1,439,780**	446,673
Equities	**177,423**	142,337
Other	**51,900**	45,048
	1,669,103	634,058
Against past due but not impaired		
Property	**3,632,722**	6,037,155
Equities	**641,599**	884,422
Other	**101,913**	214,473
	4,376,234	7,136,050
	6,045,337	7,770,108

During the year 2010 and 2009, the Group repossessed a negligible amount of collateral that was held as security against loans and advances.

4 Financial risk management (continued)

(b) Credit risk (continued)

Concentrations of risk

The Group monitors concentrations of credit risk by industry sector, counterparty and geographic location. An analysis of concentrations of credit risk at the reporting date is shown below:

	Loans and advances	
	2010 **AED'000**	2009 AED'000
Concentration by industry sector:		
Agriculture	**103,532**	102,153
Energy	**25,043,930**	23,773,748
Manufacturing	**6,584,048**	6,871,383
Construction	**6,640,482**	8,037,233
Real estate	**23,983,154**	21,490,257
Trading	**5,262,079**	8,539,818
Transport	**5,929,186**	6,752,251
Banks	**4,236,794**	1,062,590
Other financial institutions	**6,942,760**	6,906,678
Services	**13,869,731**	9,861,209
Government	**16,949,791**	16,732,726
Personal loans for consumption	**16,442,419**	15,056,757
Personal loans others	**8,499,603**	10,100,290
Others	**421,157**	286,513
	140,908,666	135,573,606
Less: allowance for impairment	**(3,664,081)**	(2,657,510)
Less: interest suspended	**(411,089)**	(657,766)
Net loans and advances	**136,833,496**	132,258,330

4 Financial risk management (continued)

(b) Credit risk (continued)

	Due from banks		Non-trading investments	
	2010 AED'000	2009 AED'000	**2010 AED'000**	2009 AED'000
Concentration by counter party:				
Government	-	-	**5,245,962**	4,627,565
Supranational	-	-	**36,768**	-
Public sector	-	-	**3,390,161**	1,968,049
Banks	**14,164,370**	19,521,688	**11,465,305**	11,104,711
Corporate sector	**-**	-	**1,274,521**	1,270,785
	14,164,370	19,521,688	**21,412,717**	18,971,110
Less: Allowance for impairment	**(979)**	(979)	**(16,712)**	(16,712)
Total carrying amount	**14,163,391**	19,520,709	**21,396,005**	18,954,398

The concentration by sector for loans and advances is disclosed in note 11.

	Due from banks		Loans and advances		Non-trading investments	
	2010 AED'000	2009 AED'000	**2010 AED'000**	2009 AED'000	**2010 AED'000**	2009 AED'000
Concentration by location:						
UAE	**4,074,505**	4,532,762	**106,478,359**	102,298,465	**10,372,416**	7,846,364
Europe	**5,581,562**	12,719,622	**15,005,846**	15,240,981	**5,212,152**	7,268,510
Arab countries	**3,014,020**	1,822,168	**12,899,501**	13,544,900	**3,610,728**	2,359,572
USA	**841,985**	239,793	**674,829**	688,607	**816,306**	910,160
Asia	**632,079**	204,957	**1,195,792**	84,235	**-**	-
Others	**19,240**	1,407	**579,169**	401,142	**1,384,403**	569,792
	14,163,391	19,520,709	**136,833,496**	132,258,330	**21,396,005**	18,954,398

Concentration by location for loans and advances and due from banks is measured based on the residential status of the borrower. Concentration by location for non-trading investments is measured based on the location of the issuer of the security.

4 Financial risk management (continued)

(b) Credit risk (continued)

Settlement risk

The Group's activities may give rise to risk at the time of settlement of transactions and trades. Settlement risk is the risk of loss due to the failure of a counter party to honour its obligations to deliver cash, securities or other assets as contractually agreed.

Derivative related credit risk

Credit risk in respect of derivative financial instruments arises from the potential for a counterparty to default on its contractual obligations and is limited to the positive market value of instruments that are favourable to the Group, which are included in other assets. The positive market value is also referred to as the "replacement cost" since it is an estimate of what it would cost to replace transactions at prevailing market rates if a counterparty defaults. The majority of the Group's derivative contracts are entered into with other financial institutions.

Commitments and contingencies related credit risk

Credit risk arising from commitments and contingencies is discussed in note 37.

(c) Liquidity risk

Liquidity or funding risk is the risk that the Group will encounter difficulty in meeting obligations associated with financial liabilities. Liquidity risk can be caused by market disruptions or credit downgrades which may cause certain sources of funding to dry up immediately.

Management of liquidity risk

The Group's approach to managing liquidity risk is to ensure that, management has diversified funding sources and closely monitors liquidity to ensure adequate funding. The Group maintains a portfolio of short-term liquid assets, largely made up of short-term liquid trading investments, and inter-bank placements. All liquidity policies and procedures are subject to review and approval by ALCO.

Exposure to liquidity risk

The key measure used by the Group for measuring liquidity risk is the ratio of net liquid assets, i.e., total assets by maturity against total liabilities by maturity.

Details of the Group's net liquid assets is summarised in the table below by the maturity profile of the Group's assets and liabilities based on the contractual repayment arrangements and does not take account of the effective maturities as indicated by the Group's deposit retention history. The contractual maturities of assets and liabilities have been determined on the basis of the remaining period at the reporting date to the contractual maturity date. The maturity profile is monitored by management to ensure adequate liquidity is maintained.

4 Financial risk management (continued)

(c) Liquidity risk (continued)

The maturity profile of the assets and liabilities at 31 December 2010 was as follows:

	Total	Up to 3 months	3 months to 1 year	1 to 3 years	3 to 5 years	over 5 years	Unspecified maturity
	AED'000	AED'000	AED'000	AED'000	AED'000	AED'000	AED'000
Assets							
Cash and balances with central banks	**18,429,827**	11,309,721	7,029,532	57,539	-	33,035	-
Investments at fair value through profit or loss	**1,292,826**	1,292,826	-	-	-	-	-
Due from banks	**14,163,391**	11,522,235	2,636,611	4,545	-	-	-
Reverse repurchase agreements	**10,898,457**	10,486,628	411,829	-	-	-	-
Loans and advances	**136,833,496**	29,141,848	12,164,823	26,579,103	18,531,968	50,415,754	-
Non-trading investments	**21,396,005**	1,254,594	2,177,423	2,323,627	5,062,410	10,577,951	-
Other assets	**6,202,716**	4,778,634	1,002,320	113,809	171,115	136,838	-
Premises and equipment	**2,210,552**	-	-	-	-	-	2,210,552
	211,427,270	**69,786,486**	**25,422,538**	**29,078,623**	**23,765,493**	**61,163,578**	**2,210,552**
Liabilities and equity							
Due to banks	**31,551,346**	28,870,318	2,589,203	91,825	-	-	-
Repurchase agreements	**2,542,896**	2,542,896	-	-	-	-	-
Euro commercial paper	**35,053**	-	35,053	-	-	-	-
Customers' deposits	**123,130,589**	103,099,653	14,444,607	3,074,843	2,479,214	32,272	-
Medium-term borrowings	**14,458,665**	-	-	6,463,841	6,939,162	1,055,662	-
Other liabilities	**7,283,019**	5,567,513	1,348,078	92,966	139,777	134,685	-
Subordinated notes	**8,312,286**	-	-	-	-	8,312,286	-
Equity	**24,113,416**	-	-	-	-	-	24,113,416
	211,427,270	**140,080,380**	**18,416,941**	**9,723,475**	**9,558,153**	**9,534,905**	**24,113,416**
Undrawn commitments to extend credit	**24,364,556**	2,729,890	2,466,361	7,040,426	543,594	11,584,285	-
Financial guarantees	**10,066,405**	615,232	2,857,006	3,103,250	899,885	2,591,032	-

4 Financial risk management (continued)

(c) Liquidity risk (continued)

The maturity profile of the assets and liabilities at 31 December 2009 was as follows:

	Total	Up to 3 months	3 months to 1 year	1 to 3 years	3 to 5 years	over 5 years	Unspecified maturity
	AED'000	AED'000	AED'000	AED'000	AED'000	AED'000	AED'000
Assets							
Cash and balances with central banks	**18,056,843**	13,260,737	4,762,825	-	-	33,281	-
Investments at fair value through profit or loss	**1,094,321**	1,094,321	-	-	-	-	-
Due from banks	**19,520,709**	16,757,880	2,762,829	-	-	-	-
Reverse repurchase agreements	**557,075**	557,075	-	-	-	-	-
Loans and advances	**132,258,330**	39,322,750	13,193,766	15,765,784	21,727,173	42,248,857	-
Non-trading investments	**18,954,398**	2,110,822	1,085,120	3,785,010	4,965,151	7,008,295	-
Other assets	**4,317,495**	3,410,786	766,040	49,932	81,017	9,720	
Premises and equipment	**2,047,845**	-	-	-	-	-	2,047,845
	196,807,016	**76,514,371**	**22,570,580**	**19,600,726**	**26,773,341**	**49,300,153**	**2,047,845**
Liabilities and equity							
Due to banks	**30,776,663**	29,032,554	1,744,109	-	-	-	-
Repurchase agreements	**2,570,289**	2,438,391	-	-	131,898	-	-
Euro commercial paper	**175,221**	175,221	-	-	-	-	-
Customers' deposits	**121,205,104**	98,592,904	12,312,366	5,232,169	5,067,448	217	-
Medium-term borrowings	**13,236,743**	784,523	3,605,051	3,117,458	5,444,113	285,598	-
Other liabilities	**5,550,094**	4,250,823	1,090,266	81,676	113,631	13,698	-
Subordinated notes	**2,852,334**	-	-	-	-	2,852,334	-
Equity	**20,440,568**	-	-	-	-	-	20,440,568
	196,807,016	**135,274,416**	**18,751,792**	**8,431,303**	**10,757,090**	**3,151,847**	**20,440,568**
Undrawn commitments to extend credit	**31,889,711**	1,558,165	7,954,513	4,668,860	1,884,165	15,824,008	-
Financial guarantees	**4,631,117**	302,573	432,442	1,364,491	1,781,405	750,206	-

4 Financial risk management (continued)

(c) Liquidity risk (continued)

The previous table shows undiscounted cash flows on the Group's assets, liabilities, undrawn loan commitments and issued financial guarantee contracts on the basis of their earliest possible contractual maturity.

(d) Market risk

Market risk is the risk that the Group's income and / or value of a financial instrument will fluctuate because of changes in market prices such as interest rates, foreign exchange rates and market prices of equity.

Management of market risk

The Board of Directors has set risk limits based on sensitivity analysis and notional limits which are closely monitored by the Risk Management Division, reported weekly to Senior Management and discussed fortnightly by the Assets and Liabilities Committee.

The Group separates its exposure to market risk between trading and non-trading portfolios. Trading portfolios include positions arising from market making and proprietary position taking, together with financial assets and liabilities that are managed on a fair value basis.

Interest rate risk

Interest rate risk arises from interest bearing financial instruments and reflects the possibility that changes in interest rates will adversely affect the value of the financial instruments and the related income. The Group manages this risk principally through monitoring interest rate gaps and by matching the re-pricing profile of assets and liabilities.

Overall interest rate risk positions are managed by using derivative instruments to manage overall position arising from the Group's interest bearing financial instruments. The use of derivatives to manage interest rate risk is described in note 38.

The substantial portion of the Group's assets and liabilities are re-priced within one year. Accordingly there is a limited exposure to interest rate risk.

The effective interest rate of a monetary financial instrument is the rate that, when used in a present value calculation, results in the carrying amount of the instrument. The rate is an original effective interest rate for a fixed rate instrument carried at amortised cost and a current market rate for a floating instrument or an instrument carried at fair value.

4 Financial risk management (continued)

(d) Market risk (continued)

The Group's interest rate sensitivity position and interest rate gap position based on contractual re-pricing arrangements at 31 December 2010 was as follows:

	Total	Up to 3 months	3 to 1 year	1 to 3 years	3 to 5 years	over 5 years	Non interest bearing
	AED'000	AED'000	AED'000	AED'000	AED'000	AED'000	AED'000
Assets							
Cash and balances with central banks	**18,429,827**	5,298,703	7,112,801	57,368	-	5,689	5,955,266
Investments at fair value through profit or loss	**1,292,826**	45,404	68,752	209,840	273,278	217,864	477,688
Due from banks	**14,163,391**	9,885,830	2,636,611	4,545	-	-	1,636,405
Reverse repurchase agreements	**10,898,457**	10,443,480	411,829	-	-	-	43,148
Loans and advances	**136,833,496**	59,782,435	71,424,301	2,002,363	1,098,242	2,380,363	145,792
Non-trading investments	**21,396,005**	7,645,966	3,030,580	985,347	4,511,951	5,118,310	103,851
Other assets	**6,202,716**	-	-	-	-	-	6,202,716
Premises and equipment	**2,210,552**	-	-	-	-	-	2,210,552
	211,427,270	**93,101,818**	**84,684,874**	**3,259,463**	**5,883,471**	**7,722,226**	**16,775,418**
Liabilities and equity							
Due to banks	**31,551,346**	26,687,290	3,015,743	-	-	-	1,848,313
Repurchase agreements	**2,542,896**	2,542,896	-	-	-	-	-
Euro commercial paper	**35,053**	-	35,053	-	-	-	-
Customers' deposits	**123,130,589**	82,248,622	14,024,404	2,931,458	1,998,063	28,491	21,899,551
Medium-term borrowings	**14,458,665**	4,295,433	-	2,168,408	6,939,162	1,055,662	-
Other liabilities	**7,283,019**	-	-	-	-	-	7,283,019
Subordinated notes	**8,312,286**	2,685,378	-	-	-	5,626,908	-
Equity	**24,113,416**	-	-	-	-	-	24,113,416
	211,427,270	**118,459,619**	**17,075,200**	**5,099,866**	**8,937,225**	**6,711,061**	**55,144,299**
On statement of financial position gap		(25,357,801)	67,609,674	(1,840,403)	(3,053,754)	1,011,165	(38,368,881)
Off statement of financial position gap		(8,871,682)	(1,800,690)	4,356,310	5,308,882	1,007,180	-
Total interest rate sensitivity gap		**(34,229,483)**	**65,808,984**	**2,515,907**	**2,255,128**	**2,018,345**	**(38,368,881)**
Cumulative interest rate sensitivity		**(34,229,483)**	**31,579,501**	**34,095,408**	**36,350,536**	**38,368,881**	**-**

4 Financial risk management (continued)

(d) Market risk (continued)

Interest rate risk is also assessed by measuring the impact of reasonable possible change in interest rate movements. The Group assumes a fluctuation in interest rates of 50 basis points (*2009: 50 basis points*) and estimates the following impact on the net profit for the year and equity at that date:

	Net profit for the year AED'000 2010	Equity AED'000 2010	Net profit for the year AED'000 2009	Equity AED'000 2009
Fluctuation in yield	**26,362**	**170,204**	116,571	85,630

The interest rate sensitivities set out above are illustrative only and employ simplified scenarios. They are based on AED 194,652 million (*2009: AED 180,599 million*) interest bearing assets and AED 156,283 million (*2009: AED 148,554 million*) interest bearing liabilities. The sensitivity does not incorporate actions that could be taken by management to mitigate the effect of interest rate movements.

Currency risk

Currency risk is the risk that the value of a financial instrument will fluctuate due to changes in foreign exchange rates and arises from financial instruments denominated in a foreign currency. The Group's functional currency is the UAE Dirham. The Board of Directors has set limits on positions by currency. Positions are closely monitored and hedging strategies are used to ensure positions are maintained within established limits. At 31 December, the Group had the following significant net exposures denominated in foreign currencies:

Currency	Net spot position (short)/long AED'000	Forward position (short)/long AED'000	Total 2010 (short)/long AED'000	Total 2009 (short)/long AED'000
US Dollar	1,452,638	(7,111,591)	**(5,658,953)**	(3,080,199)
UK Sterling Pound	(5,466,195)	5,459,874	**(6,321)**	2,813
Euro	6,188,456	(6,185,310)	**3,146**	136,132
Kuwaiti Dinar	68,227	(68,170)	**57**	213,491
Omani Riyal	338,216	(334,527)	**3,689**	43,524
Saudi Riyal	(6,250,028)	6,227,208	**(22,820)**	(777,708)
Japanese Yen	2,463,552	(2,252,837)	**210,715**	(24,635)
Swiss Franc	399,373	(455,865)	**(56,492)**	(48,818)

The exchange rate of AED against US Dollar is pegged since November 1980 and the Group's exposure to currency risk is limited to that extent. Exposure to other foreign currencies is insignificant.

4 Financial risk management (continued)

(d) Market risk (continued)

The Group's interest rate sensitivity position and interest rate gap position based on contractual re-pricing arrangements at 31 December 2009 was as follows:

Assets	Up to 3 months AED'000	Total AED'000	3 months to 1 year AED'000	1 to 3 years AED'000	3 to 5 years AED'000	over 5 years AED'000	Non interest bearing AED'000
Cash and balances with central banks	4,333,974	**18,056,843**	5,060,687	-	-	262,172	8,400,010
Investments at fair value through profit or loss	211,015	**1,094,321**	99,000	240,668	144,264	52,626	346,748
Due from banks	15,941,748	**19,520,709**	2,762,830	-	-	-	816,131
Reverse repurchase agreements	557,075	**557,075**	-	-	-	-	-
Loans and advances	114,649,070	**132,258,330**	12,870,313	2,588,217	1,075,462	908,333	166,935
Non-trading investments	9,405,661	**18,954,398**	1,572,753	2,590,013	3,614,274	1,659,319	112,378
Other assets	-	**4,317,495**	-	-	-	-	4,317,495
Premises and equipment	-	**2,047,845**	-	-	-	-	2,047,845
	145,098,543	**196,807,016**	**22,365,583**	**5,418,898**	**4,834,000**	**2,882,450**	**16,207,542**
Liabilities and equity							
Due to banks	27,498,183	**30,776,663**	1,876,742	-	-	-	1,401,738
Repurchase agreements	2,438,391	**2,570,289**	-	-	131,898	-	-
Euro commercial paper	175,221	**175,221**	-	-	-	-	-
Customers' deposits	77,640,954	**121,205,104**	12,019,192	5,886,227	4,797,393	1,165	20,860,173
Medium-term borrowings	7,471,202	**13,236,743**	-	2,055,980	3,423,963	285,598	-
Other liabilities	-	**5,550,094**	-	-	-	-	5,550,094
Subordinated notes	2,852,334	**2,852,334**	-	-	-	-	-
Equity	-	**20,440,568**	-	-	-	-	20,440,568
	118,076,285	**196,807,016**	**13,895,934**	**7,942,207**	**8,353,254**	**286,763**	**48,252,573**
On statement of financial position gap	27,022,258		8,469,649	(2,523,309)	(3,519,254)	2,595,687	(32,045,031)
Off statement of financial position gap	(4,623,152)		1,437,060	(1,648,937)	4,383,413	451,616	-
Total interest rate sensitivity gap	**22,399,106**		**9,906,709**	**(4,172,246)**	**864,159**	**3,047,303**	**(32,045,031)**
Cumulative interest rate sensitivity	**22,399,106**		**32,305,815**	**28,133,569**	**28,997,728**	**32,045,031**	-

4 Financial risk management (continued)

(d) Market risk (continued)

Equity price risk

Equity price risk arises from the change in fair values of equity investments. The Group manages this risk through diversification of investments in terms of geographical distribution and industry concentration.

(e) Operational risks

Operational risk is the risk of direct or indirect loss arising from a wide variety of causes associated with the Group's processes, personnel, technology and infrastructure, and from external factors other than credit, market and liquidity risks such as those arising from legal and regulatory requirements and generally accepted standards of corporate behaviour. Operational risks arise from all of the Group's operations.

The Group's objective is to manage operational risk so as to balance the avoidance of financial losses and damage to the Group's reputation with overall cost effectiveness and to avoid control procedures that restrict initiative and creativity.

The Board has oversight responsibilities for operational risk management in the Group. These responsibilities are exercised through ORMC with an established framework of policies and procedures to identify, assess, monitor, control, manage and report risks. The ORMC employs clear internal policies and procedures to reduce the likelihood of any operational losses. Where appropriate, risk is mitigated by way of insurance. The framework also provides the interrelation with other risk categories.

Compliance with policies and procedures is supported by periodic reviews undertaken by the Audit and Compliance Division. The results of these reviews are discussed with the management of the business unit to which they relate, with summaries submitted to the Audit Committee and senior management of the Group.

(f) Capital management

The Group's lead regulator, the Central Bank of the UAE, sets and monitors regulatory capital requirements. The overseas branches and subsidiaries are directly supervised by their local regulators.

The Group's objectives when managing capital are:

- safeguard the Group's ability to continue as a going concern and increase the returns for the shareholders; and
- comply with regulatory capital requirements set by the Central Bank of the UAE and the respective regulators where the overseas units operate.

During 2010, the Group's strategy, which was unchanged from 2009, was to:

- increase capital resources by way of issuing convertible subordinated notes that is treated as Tier 2 capital;
- maintain a cap for payment of cash dividend ratio of 40% to increase capital through retention;
- maintain capital adequacy ratios above the minimum specified by the Central Bank of the UAE and Basel accord guidelines;
- maintain the highest credit rating in the Middle East; and
- efficiently allocate capital to various businesses.

The Group has set up a committee, namely, the Bank Equity Committee, to manage the investment of capital funds in sovereign bonds and short term money market placements with either the Central Bank of the UAE or above investment grade financial institutions.

4 Financial risk management (continued)

(f) Capital management (continued)

In implementing current capital requirements, the Group calculates its risk asset ratio in accordance with capital adequacy guidelines established by the Central Bank of the UAE prescribing the ratio of total capital to total risk-weighted assets. Further, the Group also calculates its capital adequacy ratio in accordance with Basel II Accord which was adopted by the Central Bank of the UAE with effect from 31 December 2008.

The Group's regulatory capital adequacy ratios, set by the Central Bank of the UAE at a minimum level of 12% (*2009: 11%*), is analysed into two tiers as follows:

	2010	2009
	AED'000	AED'000
Tier 1 capital		
Ordinary share capital	**2,391,703**	2,174,275
Retained earnings	**4,180,205**	3,168,138
Statutory and special reserve	**3,324,105**	3,215,391
General reserve and share option scheme	**10,560,537**	8,642,388
Foreign currency translation reserve	**(3,453)**	5,887
Subordinated convertible notes - equity component	**74,925**	79,712
Government of Abu Dhabi tier 1 capital notes	**4,000,000**	4,000,000
Total	**24,528,022**	21,285,791
Tier 2 capital		
Fair value reserve	**(414,606)**	(845,223)
Qualifying subordinated liabilities	**8,312,286**	2,852,334
Total	**7,897,680**	2,007,111
Deductions from Tier 1 and Tier 2		
Investments in associates	**(3,450)**	(3,455)
Total	**(3,450)**	(3,455)
Total capital base	**32,422,252**	23,289,447
Risk weighted assets:		
On statement of financial position	**107,314,413**	102,507,502
Off statement of financial position	**33,176,711**	30,160,599
Risk weighted assets	**140,491,124**	132,668,101
Risk asset ratio	**23.08%**	17.55%

4 Financial risk management (continued)

(f) Capital management (continued)

The Group's capital adequacy ratio as per effective regulatory framework, Basel II, at a minimum level of 12% (*2009: 11%*), is analysed into two tiers as follows:

	Basel II 2010 AED'000	Basel II 2009 AED'000
Tier 1 capital		
Ordinary share capital	**2,391,703**	2,174,275
Retained earnings	**4,180,205**	3,168,138
Statutory and special reserve	**3,324,105**	3,215,391
General reserve and share option scheme	**10,560,537**	8,642,388
Foreign currency translation reserve	**(3,453)**	5,887
Subordinated convertible notes - equity component	**74,925**	79,712
Government of Abu Dhabi tier 1 capital notes	**4,000,000**	4,000,000
Total	**24,528,022**	21,285,791
Tier 2 capital		
Fair value reserve	**(414,606)**	(845,223)
Qualifying subordinated liabilities	**8,312,286**	2,852,334
Allowance for collective impairment	**1,892,221**	1,604,088
Total	**9,789,901**	3,611,199
Deductions from capital		
Investments in associates and others	**(76,910)**	(3,455)
Total capital base	**34,241,013**	24,893,535
Risk weighted assets:		
Credit risk	**135,961,126**	128,344,402
Market risk	**3,801,669**	4,934,351
Operational risk	**11,799,293**	9,603,709
Risk weighted assets	**151,562,088**	142,882,462
Risk asset ratio	**22.59%**	17.42%

The Bank and its overseas branches and subsidiaries have complied with all externally imposed capital requirements for all periods presented.

5 Use of estimates and judgements

In the process of applying the Group's accounting policies, management has made the following estimates and judgements, which have the most significant effect on the amounts recognised in the consolidated financial statements.

Key sources of estimation uncertainty

(i) Impairment charge on loans and advances and investments

Impairment losses are evaluated as described in accounting policy 3(b) (ix).

The Group evaluates impairment on loans and advances and investments on an ongoing basis and a comprehensive review on a quarterly basis to assess whether an impairment charge should be recognised in the consolidated income statement. In particular, considerable judgement by management is required in the estimation of the amount and timing of future cash flows when determining the level of impairment charge required. In estimating these cash flows, management makes judgements about counterparty's financial situation and other means of settlement and the net realisable value of any underlying collateral. Such estimates are based on assumptions about several factors involving varying degrees of judgement and uncertainty, and actual results may differ resulting in future changes to such impairment charges.

(ii) Collective impairment charge on loans and advances

In addition to specific impairment charge against individually impaired assets, the Group also maintains a collective impairment allowance against portfolios of loans and advances with similar economic characteristics which have not been specifically identified as impaired. In assessing the need for collective impairment charge, management considers concentrations, credit quality, portfolio size and economic factors. In order to estimate the required allowance, assumptions are made to define the way inherent losses are modelled and to determine the required input parameters, based on historical and current economic conditions.

(iii) Contingent liability arising from litigations

Due to the nature of its operations, the Group may be involved in litigations arising in the ordinary course of business. Provision for contingent liabilities arising from litigations is based on the probability of outflow of economic resources and reliability of estimating such outflow. Such matters are subject to many uncertainties and the outcome of individual matters is not predictable with assurance.

(iv) Share option scheme

The fair value of the share option scheme is determined using the Black- Scholes model. The model inputs comprise share price, exercise price, share price volatility, contractual life of the option, dividend yield and risk-free interest rate.

Critical accounting judgements in applying the Group's accounting policies include:

(a) Financial asset and liability classification

The Group's accounting policies provide scope for financial assets and liabilities to be designated on inception into different accounting categories in certain circumstances:

In classifying financial assets as "fair value through profit or loss", "held for trading", "held-to-maturity" or "available for sale", the Group has determined it meets the description as set out in accounting policy 3(b) (iii, iv and v) respectively.

(b) Qualifying hedge relationships

In designating financial instruments as qualifying

5 Use of estimates and judgements (continued)

(b) Qualifying hedge relationships (continued)

hedge relationships, the Group has determined that it expects the hedge to be highly effective over the life of the hedging relationship.

(c) Valuation of financial instruments

The Group's accounting policy on fair value measurements is discussed in accounting policy 3(b)(viii) and note 6.

6 Financial assets and liabilities

Fair value of financial instruments

All financial assets and liabilities are measured at amortised cost except for derivatives, trading and non-trading investments which are measured at fair value by reference to published price quotations in an active market or from prices quoted by counterparties or through use of valuation techniques such as discounted cash flow method.

Fair value is the amount for which an asset could be exchanged, or a liability settled, between knowledgeable willing parties in an arm's length transaction. Consequently, differences can arise between book values and the fair value estimates. Underlying the definition of fair value is the presumption that the Group is a going concern without any intention or requirement to materially curtail the scale of its operation or to undertake a transaction on adverse terms.

The Group measures fair values using the following fair value hierarchy that reflects the significance of the inputs used in making the measurements:

- Level 1: Quoted market price (unadjusted) in active market for an identical instrument.
- Level 2: Valuation techniques based on observable inputs, either directly (i.e., as prices) or indirectly (i.e., derived from prices). This category includes instruments valued using: quoted market prices in active markets for similar instruments; or other valuation techniques where all significant inputs are directly or indirectly observable from market data.
- Level 3: Valuation techniques using unobservable inputs. This category includes all instruments where the valuation technique includes input not based on observable data and the unobservable input have a significant impact on the instrument's valuation.

Valuation techniques include net present value and discounted cash flow models, comparison to similar instruments for which market observable prices exist, Black-Scholes and other valuation models. Assumptions and inputs used in valuation techniques include risk-free and benchmark interest rates, credit spreads and other inputs used in estimating discount rates, bond and equity prices, foreign currency exchange rates, equity and equity index prices and correlations. The objective of valuation techniques is to arrive at a fair value determination that reflects the price of the financial instrument at the reporting date that would have been determined by market participants acting at arm's length.

The fair values of due from banks, due to banks, repurchase agreements and customers' deposits which are predominantly short term in tenure and issued at market rates, are considered to reasonably approximate their book value.

The Group estimates that the fair value of its loans and advances portfolio is not materially different from its book value since majority of loans and advances carry floating market rates of interest and are frequently re-priced. For loans considered impaired, expected cash flows, including anticipated realisation of collateral, were discounted using an appropriate rate and considering the time of collection, the net result of which is not materially different from the carrying value.

Fair value of financial instruments (continued)

The table below sets out the Group's classification of each class of financial assets and liabilities and their carrying amounts as at 31 December 2010:

	Designated at fair value through profit or loss AED'000	Held for trading AED'000	Available for sale AED'000	Held to maturity AED'000	Loans and advances AED'000	Other amortised cost AED'000	Carrying amount AED'000
Cash and balances with central banks	-	-	-	-	-	18,429,827	**18,429,827**
Investments at fair value through profit or loss	-	1,292,826	-	-	-	-	**1,292,826**
Due from banks	-	-	-	-	-	14,163,391	**14,163,391**
Reverse repurchase agreements	-	-	-	-	-	10,898,457	**10,898,457**
Loans and advances	-	-	-	-	136,833,496	-	**136,833,496**
Non-trading investments	-	-	19,559,505	1,836,500	-	-	**21,396,005**
Other assets	2,367,250	-	-	-	-	3,806,967	**6,174,217**
	2,367,250	**1,292,826**	**19,559,505**	**1,836,500**	**136,833,496**	**47,298,642**	**209,188,219**
Due to banks	-	-	-	-	-	31,551,346	**31,551,346**
Repurchase agreements	-	-	-	-	-	2,542,896	**2,542,896**
Euro commercial paper	-	-	-	-	-	35,053	**35,053**
Customers' deposits	-	-	-	-	-	123,130,589	**123,130,589**
Medium-term borrowings	-	-	-	-	-	14,458,665	**14,458,665**
Other liabilities	2,032,689	-	-	-	-	4,808,193	**6,840,882**
Subordinated notes	-	-	-	-	-	8,312,286	**8,312,286**
	2,032,689	**-**	**-**	**-**	**-**	**184,839,028**	**186,871,717**

6 Financial assets and liabilities (continued)

Fair value of financial instruments (continued)

Fair value hierarchy

The table below analyses financial instruments measured at fair value at the end of the reporting period, by the level in the fair value hierarchy into which the fair value measurement is categorised:

	Level 1	Level 2	Level 3	Total
	AED'000	AED'000	AED'000	AED'000
As at 31 December 2010				
Financial assets held for trading	1,292,826	-	-	**1,292,826**
Available-for-sale financial assets	19,140,267	-	419,238	**19,559,505**
Derivative financial assets	1,699	2,365,551	-	**2,367,250**
Derivative financial liabilities	787	2,031,902	-	**2,032,689**
	20,435,579	**4,397,453**	**419,238**	**25,252,270**
As at 31 December 2009				
Financial assets held for trading	1,094,321	-	-	**1,094,321**
Available-for-sale financial assets	16,703,327	-	414,571	**17,117,898**
Derivative financial assets	115	1,267,127	-	**1,267,242**
Derivative financial liabilities	836	1,206,503	-	**1,207,339**
	17,798,599	**2,473,630**	**414,571**	**20,686,800**

Certain available-for-sale investment securities have been disclosed under Level 3 of the fair value hierarchy as management has recorded these at cost in the absence of observable market data. Management has deemed cost to be a close approximation of their fair value.

The following table shows a reconciliation from the beginning balances to the ending balances for fair value measurements in Level 3:

	2010	2009
	AED'000	AED'000
Available-for-sale financial assets		
Balance as at 1 January	**414,571**	402,818
Purchases	**260,281**	231,521
Settlements	**(255,614)**	(219,768)
Balance as at 31 December	**419,238**	414,571

6 Financial assets and liabilities (continued)

Fair value of financial instruments (continued)

The table below sets out the Group's classification of each class of financial assets and liabilities and their carrying amounts as at 31 December 2009:

	Designated at fair value through profit or loss	Held for trading	Available for sale	Held to maturity	Loans and advances	Other amortised cost	Carrying amount
	AED'000	AED'000	AED'000	AED'000	AED'000	AED'000	AED'000
Cash and balances with central banks	-		-	-	-	18,056,843	**18,056,843**
Investments at fair value							
through profit or loss	-	1,094,321	-	-	-	-	**1,094,321**
Due from banks	-		-	-	-	19,520,709	**19,520,709**
Reverse repurchase agreements	-		-	-	-	557,075	**557,075**
Loans and advances	-		-	-	132,258,330	-	**132,258,330**
Non-trading investments	-		17,117,898	1,836,500	-	-	**18,954,398**
Other assets	1,267,242		-	-	-	3,008,271	**4,275,513**
	1,267,242	**1,094,321**	**17,117,898**	**1,836,500**	**132,258,330**	**41,142,898**	**194,717,189**
Due to banks	-		-	-	-	30,776,663	**30,776,663**
Repurchase agreements	-		-	-	-	2,570,289	**2,570,289**
Euro commercial paper	-		-	-	-	175,221	**175,221**
Customers' deposits	-		-	-	-	121,205,104	**121,205,104**
Medium-term borrowings	-		-	-	-	13,236,743	**13,236,743**
Other liabilities	1,207,339		-	-	-	3,900,915	**5,108,254**
Subordinated notes	-		-	-	-	2,852,334	**2,852,334**
	1,207,339	-	-	-	-	**174,717,269**	**175,924,608**

7 Cash and balances with central banks

	2010 AED'000	2009 AED'000
Cash on hand	**883,438**	727,416
Balances with the Central Bank of the UAE		
cash reserve deposits	**5,132,293**	4,783,929
certificates of deposits	**9,800,000**	8,450,000
other deposits and balances	**-**	2,071,369
Balances with other central banks		
cash reserve deposits	**1,514,883**	1,223,847
other deposits and balances	**1,099,213**	800,282
	18,429,827	18,056,843

Cash reserve deposits are not available for the day to day operations of the Group.

8 Investments at fair value through profit or loss

	2010 AED'000	2009 AED'000
Trading portfolio		
Managed portfolios	**375,395**	211,302
Debt and equity instruments	**917,431**	883,019
	1,292,826	1,094,321

9 Due from banks

	2010 AED'000	2009 AED'000
Current, call and notice deposits	**1,904,919**	1,096,405
Fixed deposits	**11,598,472**	16,782,913
Wakala placements	**660,000**	1,641,391
	14,163,391	19,520,709

10 Reverse repurchase agreements

The Group enters into reverse repurchase agreements in the normal course of business in which the third party transfers financial assets to the Group for short term financing.

The carrying amount of financial assets at the reporting date amounted to AED 10,898 million (*2009: AED 557 million*).

11 Loans and advances

	2010 AED'000	2009 AED'000
Gross loans and advances	**140,908,666**	135,573,606
Less: allowance for impairment	**(3,664,081)**	(2,657,510)
Less: interest suspended	**(411,089)**	(657,766)
Net loans and advances	**136,833,496**	132,258,330

An analysis of gross loans and advances by sector at the reporting date is shown below:

	2010 AED'000	2009 AED'000
Government sector	**16,949,791**	16,732,726
Public sector	**37,698,440**	36,169,590
Banking sector	**4,236,794**	1,062,590
Corporate / private sector	**57,081,619**	56,451,653
Personal / retail sector	**24,942,022**	25,157,047
Gross loans and advances	**140,908,666**	135,573,606

The movement in the allowance for impairment during the year is shown below:

	2010 AED'000	2009 AED'000
At 1 January	**2,657,510**	1,549,782
Charge for the year		
Collective provision	**288,133**	756,004
Specific provision	**1,071,394**	716,746
Recoveries	**(48,962)**	(28,457)
Write-backs during the year	**(199,405)**	(115,992)
Amounts written off	**(104,589)**	(220,573)
At 31 December	**3,664,081**	2,657,510

11 Loans and advances (continued)

Islamic financing

Included in the above loans and advances are the following Islamic financing contracts:

	2010 AED'000	2009 AED'000
Ijara	**6,183,730**	3,955,827
Murabaha	**517,883**	424,541
Mudaraba	**14,699**	17,459
Others	**1,106**	-
Total Islamic financing contracts	**6,717,418**	4,397,827
Less: allowance for impairment	**(59,372)**	(56,540)
Less: suspended profit	**(3,239)**	(32,140)
	6,654,807	4,309,147

The movement in the allowance for impairment during the year is shown below:

	2010 AED'000	2009 AED'000
Balance as at 1 January	**56,540**	38,298
Charge for the year		
Collective provision	**6,736**	20,468
Specific provision	**213**	-
Recoveries		-
Write-backs during the year		-
Amounts written off and other adjustments	**(4,117)**	(2,226)
Balance as at 31 December	**59,372**	56,540

The gross Ijara and the related present value of minimum Ijara payments are as follows:

	2010 AED'000	2009 AED'000
Gross Ijara		
Less than one year	**954,259**	266,430
Between one and five years	**3,683,588**	2,490,004
More than five years	**3,029,182**	2,218,625
	7,667,029	4,975,059
Less: deferred income	**(1,483,299)**	(1,019,232)
Net Ijara	**6,183,730**	3,955,827

11 Loans and advances (continued)

Islamic financing (continued)

	2010 AED'000	2009 AED'000
Net present value of minimum lease payments		
Less than one year	**669,700**	105,239
Between one and five years	**2,870,764**	1,939,894
More than five years	**2,643,266**	1,910,694
	6,183,730	3,955,827

12 Non-trading investments

Available-for-sale investments

	2010 AED'000	2009 AED'000
Unquoted investments	**435,950**	431,283
Less: allowance for impairment	**(16,712)**	(16,712)
	419,238	414,571
Quoted investments	**19,140,267**	16,703,327
Total available for sale investments	**19,559,505**	17,117,898

Unquoted investments comprise unquoted equity securities amounting to AED 24,104 thousand (2009: AED 24,042 thousand) which are carried at cost as their fair value cannot be reliably estimated.

Debt instruments under repurchase agreements included in quoted available for sale investments at 31 December 2010 amounted to AED 2,361 million (2009: AED 3,110 million) (note 16).

Held-to-maturity

	2010 AED'000	2009 AED'000
Unquoted investment	**1,836,500**	1,836,500
Total non-trading investments	**21,396,005**	18,954,398

Held to maturity investment is comprised of a sovereign debt issuance.

13 Other assets

	2010 AED'000	2009 AED'000
Interest receivable	**1,210,740**	835,285
Acceptances	**1,295,000**	1,003,259
Sundry debtors and other receivables	**1,301,227**	1,169,727
Deferred tax asset	**28,499**	41,982
Positive fair value of derivatives (note 38)	**2,367,250**	1,267,242
	6,202,716	4,317,495

14 Premises and equipment

	Land, building and alterations AED'000	Computer systems and equipment AED'000	Furniture, equipment, safes and vehicles AED'000	Capital work - in progress AED'000	Total AED'000
Cost					
At 1 January 2009	1,296,384	285,419	175,034	106,929	1,863,766
Acquisitions	659,296	25,398	35,446	153,361	873,501
Transfer	23,397	37,480	13,214	(74,091)	-
Disposals / write off	(5,392)	(34,665)	(2,838)	-	(42,895)
At 31 December 2009	1,973,685	313,632	220,856	186,199	2,694,372
Acquisitions	117,427	33,663	50,439	175,252	376,781
Transfer	100,340	20,102	1,796	(122,238)	-
Disposals / write off	(21,283)	(14,838)	(17,405)	-	(53,526)
At 31 December 2010	**2,170,169**	**352,559**	**255,686**	**239,213**	**3,017,627**
Accumulated depreciation and impairment losses					
At 1 January 2009	261,065	164,904	118,597	-	544,566
Charge for the year	38,688	39,642	22,790	-	101,120
Disposals	(2,398)	(32,162)	(2,102)	-	(36,662)
Impairment loss (note 34)	37,503	-	-	-	37,503
At 31 December 2009	**334,858**	**172,384**	**139,285**	**-**	**646,527**
Charge for the year	42,399	47,853	30,892	-	121,144
Disposal	(9,038)	(13,593)	(14,966)	-	(37,597)
Impairment loss (note 34)	77,001	-	-	-	77,001
At 31 December 2010	**445,220**	**206,644**	**155,211**	**-**	**807,075**
Carrying amounts					
At 31 December 2009	1,638,827	141,248	81,571	186,199	2,047,845
At 31 December 2010	**1,724,949**	**145,915**	**100,475**	**239,213**	**2,210,552**

15 Due to banks

	2010 AED'000	2009 AED'000
Banks		
Current, call and notice deposits	**770,406**	912,170
Fixed deposits	**20,893,196**	24,515,065
Wakala deposit	**4,080,000**	1,540,000
	25,743,602	26,967,235
Central banks		
Current and call	**5,807,744**	3,809,428
	31,551,346	30,776,663

Due to banks are denominated in various currencies and carry a rate of interest in the range of 0% to 4.20% (2009: 0% to 4.05%).

16 Repurchase agreements

The Group enters into repurchase agreements in the normal course of business by which it transfers recognised financial assets directly to third parties.

The carrying amount of financial assets at the reporting date amounted to

AED 2,361 million (*2009: AED 3,110 million*) (*note 12*) and their associated financial liabilities amounted to AED 2,543 million (*2009: AED 2,570 million*).

17 Euro commercial paper

The Bank established a USD 2,000,000 thousand Euro-Commercial Paper Programme (the "ECP Programme") for the issuance of Euro-commercial paper under an agreement dated 13 September 2006 with Citibank, N.A.

The notes outstanding as at the reporting date are denominated in Singapore Dollar carrying interest rates of 1.01% per annum (*2009: HKD 0.05%*) and maturing less than 12 months (*2009: less than 12 months*).

18 Customers' deposits

	2010 AED'000	2009 AED'000
By account:		
Current accounts	**28,195,567**	27,206,068
Savings accounts	**5,151,931**	3,898,407
Notice and time deposits	**84,877,678**	86,145,757
Certificates of deposit	**4,905,413**	3,954,872
	123,130,589	121,205,104

18 Customers' deposits (continued)

	2010 AED'000	2009 AED'000
By sector:		
Government sector	**32,090,292**	41,954,852
Public sector	**22,140,648**	23,072,481
Corporate / private sector	**41,644,916**	32,318,751
Retail sector	**27,254,733**	23,859,020
	123,130,589	121,205,104

During the year special deposits amounting to AED 5,606 million (31 December 2009: AED 5,606 million) received from the UAE Ministry of Finance with original contractual maturities of 3 and 5 years were converted into Tier 2 notes maturing in December 2016 (see note 21).

Islamic customers' deposits

Included in the above customers' deposits are the following Islamic customer deposits:

	2010 AED'000	2009 AED'000
Wakala deposits	**1,949,307**	1,449,915
Mudaraba deposit	**129,933**	77,119
	2,079,240	1,527,034

19 Medium-term borrowings

	2010 AED'000	2009 AED'000
Club loan and other facilities	**3,489,350**	2,824,651
Medium term notes	**10,969,315**	10,412,092
	14,458,665	13,236,743

19 Medium-term borrowings (continued)

The following medium term notes are outstanding at 31 December:

Currency	Interest	Year of maturity	2010 AED'000	2009 AED'000
CHF	3 M CHF LIBOR + 10bps	Mar 2010	**-**	677,894
CHF	3 M CHF LIBOR + 10bps	Mar 2010	**-**	106,629
JPY	3 M JPY LIBOR	Jun 2010	**-**	119,741
USD	3 M USD LIBOR+30bps	Dec 2010	**-**	3,048,109
GBP	5.875 per cent (fixed)	Feb 2012	**2,080,706**	2,055,980
EUR	3 m EURIBOR + step-up spread	Jun 2012	**168,671**	-
EUR	3m EURIBOR + step-up spread	Jul 2012	**563,842**	620,718
USD	3 M USD LIBOR + 120bps	Oct 2012	**73,570**	73,460
HKD	1.65 per cent (fixed)	Oct 2013	**87,702**	-
USD	4.5 per cent (fixed)	Sep 2014	**3,229,021**	3,122,050
HKD	3.8 per cent (fixed)	Sep 2014	**194,713**	187,541
HKD	3.9 per cent (fixed)	Oct 2014	**119,055**	114,372
USD	4.25 per cent (fixed)	Mar 2015	**2,818,543**	-
MYR	4.75 per cent (fixed)	Jun 2015	**577,830**	-
HKD	3.40 per cent (fixed)	Sep 2017	**141,605**	-
USD	3.71 per cent (fixed)	Sep 2017	**104,732**	-
HKD	4.32 per cent (fixed)	Sep 2017	**145,857**	140,206
HKD	4.45 per cent (fixed)	Sep 2019	**150,844**	145,392
MYR	4.90 per cent (fixed)	Dec 20210	**512,624**	-
			10,969,315	10,412,092

The Group has not had any defaults of principal, interests, or other breaches with respect to its medium term borrowings during 2010 and 2009.

20 Other liabilities

	2010 AED'000	2009 AED'000
Interest payable	**941,507**	558,843
Acceptances	**1,290,312**	1,003,259
Provision for staff terminal benefits	**388,320**	379,531
Accounts payable, sundry creditors and other liabilities	**2,576,374**	2,338,813
Negative fair value of derivatives (note 38)	**2,032,689**	1,207,339
Overseas income tax	**53,817**	62,309
	7,283,019	5,550,094

20 Other liabilities (continued)

The movement in the provision for employees' staff terminal benefits was as follows:

	2010 AED'000	2009 AED'000
Balance at 1 January	**379,531**	325,686
Provided during the year	**72,821**	73,166
Paid during the year	**(64,032)**	(19,321)
Balance at 31 December	**388,320**	379,531

The Group has provided for overseas income tax in accordance with management's estimate of the total amount payable based on tax rates enacted or substantially enacted as at the reporting date. Where appropriate the Group has made payments of tax on account in respect of these estimated liabilities.

The overseas income tax charge for the year is calculated based upon the adjusted net profit for the year. The movement in the provision was as follows:

	2010 AED'000	2009 AED'000
At 1 January	**62,309**	85,921
Charge for the year (note 35)	**88,291**	86,428
Overseas income tax paid, net of recoveries	**(96,783)**	(110,040)
At 31 December	**53,817**	62,309

21 Subordinated notes

	2010 AED'000	2009 AED'000
Subordinated note – Ministry of Finance Tier 2 note	**5,626,908**	-
Subordinated convertible notes	**2,685,378**	2,852,334
	8,312,286	2,852,334

Ministry of Finance Tier 2 note

During the year, special deposits amounting to AED 5,606 million (31 December 2009: AED 5,606 million) received from the UAE Ministry of Finance which were previously classified as customers' deposits were converted into Tier 2 notes, maturing in December 2016 (see note 18). The notes carry a fixed step up coupon and are paid quarterly in arrears. The bank has hedged the interest rate exposure on those notes.

21 Subordinated notes (continued)

	2010 AED'000	2009 AED'000
Liability component		
15 March 2006 issue	**1,099,672**	1,097,429
28 February 2008 issue	**1,585,706**	1,754,905
	2,685,378	2,852,334
Equity component		
15 March 2006 issue	**72,926**	72,926
28 February 2008 issue	**52,984**	52,984
Less: conversion of 15 March 2006 issue	**(40,502)**	(40,502)
Less: Buy back of 28 February 2008 issue	**(10,483)**	(5,696)
	74,925	79,712

15 March 2006 issue:

In accordance with the prospectus of AED 2.5 billion subordinated convertible notes due on 15 March 2016, some of the note holders exercised the option to convert these notes into the ordinary shares of the Bank on 15 March 2008 (second anniversary). The nominal value of notes converted amounted to AED 1,388,475 thousand resulting in an increase in Bank's share capital of AED 55,874 thousand, an increase in special reserve of AED 1,332,601 thousand and a decrease in the equity component of AED 40,502 thousand.

The above mentioned convertible notes are presented in the consolidated statement of financial position as follows:

	2010 AED'000	2009 AED'000
Proceeds from issue of convertible notes	**2,500,000**	2,500,000
Less: amount classified as equity	**(72,926)**	(72,926)
Carrying amount of liability component on initial recognition	**2,427,074**	2,427,074
Add: cumulative accreted interest	**20,571**	18,328
Less: converted liability component	**(1,347,973)**	(1,347,973)
Carrying amount of liability component	**1,099,672**	1,097,429

The Bank has the option to redeem these notes on the fifth anniversary and on a quarterly basis thereafter.

Interest on these notes is calculated on an effective yield basis by applying the effective interest rate for an equivalent non-convertible notes to the liability component of the convertible notes. The effective interest rate as at 31 December 2010 was 2.34% (*2009: 2.191%*).

As a result of the issue of bonus shares, the conversion price has been revised to AED 23.22 per share and communicated to Abu Dhabi Securities Exchange on 16 March 2010.

21 Subordinated notes (continued)

28 February 2008 issue:
Further, on 28 February 2008, the Bank issued AED 2 billion subordinated convertible notes due on 28 February 2018 in accordance with the approval of the Extraordinary General Meeting held on 5 September 2007. The notes bear an interest rate equal to 3 month EBOR less 0.25% paid quarterly.

These convertible notes are presented in the consolidated statement of financial position as follows:

	2010 **AED'000**	2009 AED'000
Proceeds from issue of convertible notes	**2,000,000**	2,000,000
Less: amount classified as equity	**(52,984)**	(52,984)
Carrying amount of liability		
component on initial recognition	**1,947,016**	1,947,016
Add: cumulative accreted interest	**23,916**	17,193
Carrying amount of liability		
bought back	**(385,226)**	(209,304)
Carrying amount of liability component	**1,585,706**	1,754,905

Interest on these notes is calculated on an effective yield basis by applying the effective interest rate for an equivalent non-convertible notes to the liability component of the convertible notes. The effective interest rate as at 31 December 2010 was 2.02% (*2009: 1.80%*).

At the option of the holder, the notes may be converted into ordinary shares of the Bank at any time during the period beginning from 28 May 2008 and ending on the date falling 10 trading days prior to the first call date which being 28 February 2013 at the conversion price of AED 21.02 per ordinary share (subsequent to the issue of bonus shares). The Bank has the option to redeem these notes on the first call date being 28 February 2013.

The subordinated convertible notes form part of Tier II capital of the Bank.

During the year, the Bank purchased back AED 181 million (*2009: AED 215 million*) of this issue from the market for AED 154 million (2009: AED 159 million). As a result, the total outstanding liability and equity components were decreased by AED 175,922 thousand (*2009: AED 209,304 thousand*) and AED 4,787 thousand, (*2009: AED 5,696 thousand*) respectively. Further, a gain on the extinguishment in the amount of AED 26,669 thousand (2009: AED 55,403 thousand) was recognised in the consolidated income statement).

21 Subordinated notes (continued)

Fair value
The carrying amount of the liability component of the convertible notes reflects its current fair value based on discounted cash flows. The Group has not had any defaults of principal, interests, or other breaches with respect to its subordinated convertible notes during 2010 and 2009.

22 Capital and reserves

Share capital

The authorised share capital of the Bank comprise 2,392 million ordinary shares of AED 1 each (*2009: 2,174 million shares of AED 1 each*). The issued and fully paid share capital at 31 December 2010 is comprised of 2,391,703 thousand ordinary shares of AED 1 each (*2009: 2,174,275 thousand ordinary shares of AED 1 each*).

Statutory reserve

The UAE Commercial Companies Law No. (8) of 1984 (as amended) and Article 56 of the Bank's Articles of Association require that 10% of the annual net profit to be transferred to a statutory reserve until it equals 50% of the paid-up share capital. The statutory reserve is not available for distribution to the shareholders.

Special reserve

Transfers to the special reserve are made in accordance with Union Law No. 10 of 1980 and Article 56 of the Bank's Articles of Association under which not less than 10% of the annual net profit is to be transferred to this reserve until it equals 50% of the paid-up share capital. The special reserve is not available for distribution to the shareholders.

Dividends

The following cash dividend was paid by the Group during the year ended 31 December:

	2010 **AED'000**	2009 AED'000
Cash dividend AED 0.1 per ordinary share (*2009: 0.3*)	**217,428**	592,984
10 % bonus shares (*2009: 10% bonus shares*) issued	**217,428**	197,661

Proposed dividends:
On 1 February 2011, a cash dividend of AED 0.3 per ordinary share and bonus shares of 20 % (2009: AED 0.1 cash dividend per ordinary share and 10% bonus share) was proposed by the Board of Directors in respect of 2010 which is subject to the approval of the shareholders at the Annual General Meeting.

22 Capital and reserves (continued)

Other reserves
Other reserves include the following:

(i) General reserve

The general reserve is available for distribution to the shareholders at the recommendation of the Board of Directors to the shareholders. On 15 March 2010 the AGM approved the transfer of AED 2.1 billion (*2009: AED 2 billion*) to general reserve.

(ii) Fair value reserve

The fair value reserve includes the cumulative net change in the fair value of non-trading investments, until the investment is derecognised or impaired, and cash flow hedge reserve.

	2010 AED'000	2009 AED'000
Revaluation reserve – non-trading investment		
At 1 January	**(841,388)**	(846,865)
Increase Decrease / (Decrease/Increase) in unrealised losses during the year	**326,288**	(172,013)
Net realised losses recognised in the consolidated income statement during the year	**100,494**	177,490
At 31 December	**(414,606)**	(841,388)
Hedging reserve – cash flow hedge		
At 1 January	**(3,835)**	214,554
Changes in fair value	**3,835**	(218,389)
At 31 December	**-**	(3,835)
Total at 31 December	**(414,606)**	(845,223)

The cash flow hedges are primarily against the medium term notes. The period when the cash flows are expected to occur and when they are expected to affect profit or loss is same that of the medium term borrowings.

(iii) Foreign currency translation reserve

Foreign currency translation reserve represents the exchange differences arising from retranslating the opening net assets.

23 Government of Abu Dhabi Tier 1 capital notes

Under the Government of Abu Dhabi 2009 Bank capitalisation programme, the Bank issued regulatory Tier 1 capital notes (the "Notes") in the amount of AED 4 billion. The Notes are perpetual, subordinated, unsecured and carry a fixed coupon during the initial period and are paid semi annually in arrears. After the initial period, the Notes attract a coupon rate of 6 month EIBOR plus a fixed margin. The Bank may elect not to pay a coupon at its own discretion. The note holders do not have a right to claim the coupon and an election by the Bank not to service coupon is not considered an event of default.

The issuance was approved in the shareholders Extra Ordinary General Meeting held on 11 March 2009. During the year, a coupon payment election was made by the Bank in the amount of AED 240 million (*2009: AED 120 million*).

24 Share option scheme

The Bank introduced in 2008 a share based payment scheme (the "Scheme") for selected employees which would vest over three years and can be exercised within the three years thereafter.

During the year, in continuation with the existing staff share option scheme, the Bank has granted a new tranche of 4,839 thousand options (*2009: 5,461 thousand options*) to eligible employees.

Each option is generally subject to a 3 year vesting period and 3 year exercise period. The key vesting condition is that the option holder is in continued employment with NBAD on the date of vesting. The options lapse six years after their date of grant irrespective of whether they are exercised or not.

The number of share options are as follows:

	2010 Number of options in thousands	2009 Number of options in thousands
Outstanding at 1 January	**19,796**	14,653
Forfeited during the year	**(693)**	(318)
Exercised during the year	**-**	-
Granted during the year	**4,839**	5,461
Outstanding at 31 December	**23,942**	19,796
Exercisable at 31 December	-	-

As a result of the issue of bonus shares, the exercise price was revised on 24 March 2010 from AED17.28 to AED 15.55 per share (*2009: AED 19.20 to AED 17.28*). All the options outstanding as at 31 December 2010 have an exercise price of AED 15.55 (*2009:AED 17.28*) and an original contractual maturity of 6 years.

25 Interest income

	2010 AED'000	2009 AED'000
Interest from central banks	**78,562**	100,811
Interest from other banks	**383,640**	347,273
Investments at fair value through profit or loss	**13,614**	44,165
Non-trading investments	**857,762**	699,841
Loans and advances to customers	**5,813,280**	5,505,385
	7,146,858	6,697,475

26 Interest expense

	2010 AED'000	2009 AED'000
Interest to banks	**205,751**	449,203
Repurchase agreements with banks	**19,100**	26,314
Euro commercial paper	**221**	856
Customers' deposits	**993,518**	1,394,810
Certificates of deposit	**103,930**	104,330
Medium-term borrowings	**464,444**	182,786
Subordinated notes	**342,281**	97,643
	2,129,245	2,255,942

27 Income from Islamic financing contracts

	2010 AED'000	2009 AED'000
Ijara	**245,073**	142,803
Murabaha	**37,790**	36,833
Mudaraba	**362**	220
	283,225	179,856

28 Depositors' share of profits

	2010 AED'000	2009 AED'000
Wakala Deposit	**49,599**	48,957
Mudaraba Deposit	**1,363**	602
Other Deposit	**1,036**	629
	-	
	51,998	50,188

29 Net fee and commission income

	2010 AED'000	2009 AED'000
Fee and commission income		
Letters of credit	**146,254**	129,117
Letters of guarantee	**223,890**	188,547
Brokerage income, net	**22,083**	37,685
Initial Public Offerings (IPO)	**879**	30
Asset management and investment services	**109,606**	131,380
Risk participation fees	**61,564**	45,253
Retail and corporate lending fees	**659,990**	552,363
Low credit balance fees	**26,053**	23,688
Commission on transfers	**33,262**	25,742
Others	**176,997**	169,932
Total fee and commission income	**1,460,578**	1,303,737
Fee and commission expense		
Brokerage commission	**12,303**	12,999
Handling charges	**4,309**	5,174
Credit card charges	**102,995**	65,535
Other commission	**79,098**	84,343
Total fee and commission expense	**198,705**	168,051
Net fee and commission income	**1,261,873**	1,135,686

Asset management and investment service fees include fees earned by the Group on trust and fiduciary activities where the Group holds or invests assets on behalf of its customers.

30 Net gain on investments

	2010	2009
	AED'000	AED'000
Net realised and unrealised gains on		
investments at fair value through		
profit or loss and derivatives	**198,728**	209,115
Net gain from sale of non-trading investments	**122,479**	10,834
Dividend income	**2,191**	2,879
	323,398	222,828

Interest income on debt instruments classified as investments at fair value through profit or loss as well as debt instruments classified as non-trading investments is presented within interest income.

31 Net foreign exchange gain

	2010	2009
	AED'000	AED'000
Trading and retranslation loss on		
foreign exchange and related derivatives	**(38,297)**	(65,316)
Dealings with customers	**312,188**	429,207
	273,891	**363,891**

32 Other operating income

	2010	2009
	AED'000	AED'000
Gain on buy back of		
issued convertible notes	**26,669**	55,403
Others	**43,863**	50,043
	70,532	105,446

33 General, administration and other operating expenses

	2010	2009
	AED'000	AED'000
Staff costs	**1,491,106**	1,310,357
Other general and administration expenses	**538,963**	461,274
Depreciation	**121,144**	101,120
Donations and charity	**34,789**	25,612
	2,186,002	1,898,363

34 Net impairment charge

	2010	2009
	AED'000	AED'000
Collective provision for		
loans and advances (note 11)	**288,133**	756,004
Specific provision for		
loans and advances (note 11)	**1,071,394**	716,746
Write back of provisions		
for loans and advances (note 11)	**(199,405)**	(115,992)
Recovery of loan loss provisions (note 11)	**(48,962)**	(28,457)
Write-off of impaired loans		
and advances to consolidated income statement	**4,672**	7,762
Recovery of loans previously written off	**(2,315)**	(371)
Provisions for investment	**16,253**	34,618
Impairment of non financial assets* (note 14)	**77,001**	37,503
	1,206,771	1,407,813

*During the year the group modified the assumption in its value in use working for a certain property held for own use, the modification resulted in an additional impairment charge of AED 77,001 thousand (*2009: AED 37,503 thousand*).

35 Overseas income tax expense

In addition to adjustments relating to deferred taxation, the charge for the year is calculated based upon the adjusted net profit for the year at rates of tax applicable in respective overseas locations.

The charge to the consolidated income statement for the year was as follows:

	2010 AED'000	2009 AED'000
Charge for the year (note 20)	**88,291**	86,428
Adjustments relating to deferred taxation	**14,311**	(13,489)
	102,602	72,939

36 Cash and cash equivalents

Cash and cash equivalents included in the consolidated statement of cash flows comprise the following amounts maturing within three months of the date of the acquisition / placement:

	2010 AED'000	2009 AED'000
Cash and balances with central banks	**11,548,833**	13,149,360
Due from banks	**9,427,746**	14,467,827
Cash and cash equivalents	**20,976,579**	27,617,187

37 Commitments and contingencies

	2010 AED'000	2009 AED'000
Letters of credit	**36,744,734**	27,582,601
Letters of guarantee	**47,854,797**	47,081,690
Undrawn commitments to extend credit	**24,364,556**	31,889,711
Financial guarantees	**10,066,405**	4,631,117
	119,030,492	111,185,119

37 Commitments and contingencies (continued)

Capital and operating lease commitments at the reporting date is shown below:

	2010 AED'000	2009 AED'000
Commitments for future capital expenditure	**55,179**	131,480
Commitments for future operating lease payments for premises	**150,981**	127,750
	206,160	259,230
Total commitments and contingencies	**119,236,652**	111,444,349

Letters of credit and guarantee commit the Group to make payments on behalf of customers contingent upon the production of documents or the failure of the customer to perform under the terms of the contract.

Commitments to extend credit represent contractual commitments to extend loans and revolving credits. Commitments generally have fixed expiration dates or other termination clauses and may require a payment of a fee. Since commitments may expire without being drawn upon, the total contracted amounts do not necessarily represent future cash requirements.

At the reporting date, the Group had a commitment to invest in a sovereign debt issuance in the amount of AED Nil thousand (*2009: AED 7,346,000 thousand*).

Commitments for operating lease payments falling due in more than one year amounted to AED 107 million (*2009: AED 91.5 million*).

38 Derivative financial instruments

In the ordinary course of business the Group enters into various types of transactions that involve derivative financial instruments. Derivative financial instruments include forwards, futures, swaps and options.

Forwards and futures contracts are commitments to either purchase or sell foreign currencies, commodities or financial instruments at a specified future date for a specified price.

Swaps are the agreements between the Group and other parties to exchange future cash flows based upon agreed notional amounts. Swaps most commonly used by the Group are interest rate swaps and credit default swaps.

Options are contractual agreements that convey the right, but not the obligation, to either buy or sell a specific amount of a commodity or financial instrument at a fixed price either at fixed future date or at any time within a specified period.

Derivatives are measured at fair value by reference to published price quotations in an active market or counterparty prices or valuation techniques such as discounted cash flows.

The table below shows the positive and negative fair values of derivative financial instruments, which are equivalent to their fair values, together with the notional amounts analysed by the term to maturity. The notional amount is the amount of a derivative's underlying, reference rate or index and is the basis upon which changes in the value of derivatives are measured. The notional amounts indicate the volume of transactions outstanding at year end and are neither indicative of the market risk nor credit risk.

38 Derivative financial instruments (continued)

31 December 2010

	Positive market value AED'000	Negative market value AED'000	Notional amount AED'000	Notional amounts by term to maturity: Less than three months AED'000	From three months to one year AED'000	From one year to three years AED'000	From three years to five years AED'000	Over five years AED'000
Held for trading:								
Interest rate swaps	1,120,006	974,412	108,969,793	13,430,127	23,178,385	29,772,892	17,505,535	25,082,854
Cross currency interest rate swap	385,884	388,155	4,437,549	-	4,437,549	-	-	-
Index linked swap								
Currency swap	-	-	-					
Bond option	271	331	29,440,210	29,440,210	-	-	-	-
Forward purchase of securities	-	-	11,000	11,000	-	-	-	-
Interest rate future	1,428	456	9,627,099	9,627,099	-	-	-	
Structured product	263,892	263,892	24,894,053	-	-	21,882,400	223,700	2,787,953
Currency options and foreign								
exchange forwards	130,289	2,302	108,528,148	69,025,534	34,826,965	4,405,869	269,780	-
	1,901,770	**1,629,548**	**285,907,852**	**121,533,970**	**62,442,899**	**56,061,161**	**17,999,015**	**27,870,807**
Held as fair value hedges:								
Interest rate swaps	450,705	311,284	20,009,247	-	2,175,103	5,509,173	7,110,021	5,214,950
Currency swaps	14,775	91,857	4,321,327	-	80,334	398,070	1,771,666	2,071,257
Total return swaps	-	-	13,752	13,752	-	-	-	-
	465,480	**403,141**	**24,344,326**	**13,752**	**2,255,437**	**5,907,243**	**8,881,687**	**7,286,207**
Held as cash flow hedges:								
Cross currency interest rate swaps	-	-	-	-	-	-	-	-
Total	**2,367,250**	**2,032,689**	**310,252,178**	**121,547,722**	**64,698,336**	**61,968,404**	**26,880,702**	**35,157,014**

38 Derivative financial instruments (continued)

31 December 2009

	Positive market value AED'000	Negative market value AED'000	Notional amount AED'000	Notional amounts by term to maturity: Less than three months AED'000	From three months to one year AED'000	From one year to three years AED'000	From three years to five years AED'000	Over five years AED'000
Held for trading:								
Interest rate swaps	925,062	835,079	55,210,988	-	1,770,660	14,491,672	23,762,385	15,186,271
Cross currency interest rate swap	-	-	2,571,100	2,571,100	-	-	-	-
Currency swap	36,126	-	32,208,509	23,440,238	8,117,777	650,494	-	-
Bond option	-	-	8,059,008	-	8,059,008	-	-	-
Forward purchase of securities	-	-	7,346	7,346		-	-	-
Interest rate future	115	836	1,444,870	1,444,870	-	-	-	-
Structured product	62,240	56,808	20,521,212	1,333,961	14,777,782	1,486,092	801,265	2,122,112
Currency options and foreign								
exchange forwards	31,276	9,748	60,417,421	32,075,294	26,435,363	1,539,464	367,300	-
	1,054,819	**902,471**	**180,440,454**	**60,872,809**	**59,160,590**	**18,167,722**	**24,930,950**	**17,308,383**
Held as fair value hedges:								
Interest rate swaps	51,062	280,258	16,172,256	-	-	7,750,135	7,374,740	1,047,381
Currency swaps	161,361	20,775	5,832,520	5,287,008	269,818	275,694	-	-
	212,423	**301,033**	**22,004,776**	**5,287,008**	**269,818**	**8,025,829**	**7,374,740**	**1,047,381**
Held as cash flow hedges:								
Cross currency interest rate swaps	-	3,835	981,540	821,300	160,240	-	-	-
	-	**3,835**	**981,540**	**821,300**	**160,240**	**-**	**-**	**-**
Total	**1,267,242**	**1,207,339**	**203,426,770**	**66,981,117**	**59,590,648**	**26,193,551**	**32,305,690**	**18,355,764**

38 Derivative financial instruments (continued)

The positive / negative fair value in respect of derivatives represents the gain / loss respectively, arising on fair valuation of the hedging instrument. These amounts are not indicative of any current or future losses, as a similar positive / negative amount has been adjusted to the carrying value of the hedged loans and advances and non-trading investments.

Derivatives held for trading

The Group uses derivatives, not designated in a qualifying hedge relationship, to manage its exposure to foreign currency, interest rate and credit risks. The instruments used mainly include interest rate and currency swaps and forward contracts. The fair values of those derivatives are shown in the table above.

Derivatives held as fair value hedge

The Group uses interest rate swaps, to hedge against the changes in fair value arising from specifically identified interest bearing assets such as loans and advances and non-trading investments. The Group uses forward foreign exchange contracts and currency swaps to hedge against specifically identified currency risks. ▸

Derivatives held as cash flow hedge

The Group uses cross-currency interest rate swaps to hedge the foreign currency and interest rate risk arising from its issuance of medium term borrowing notes in foreign currencies. The Group has substantially matched the critical terms of the cross-currency swaps and the medium term borrowing notes.

39 Related parties

Identity of related parties

Related parties comprise major shareholders, directors and key management of the Group and their related concerns. The terms of these transactions are approved by the Group's management and are made on terms agreed by the Board of Directors or management.

Parent and ultimate controlling party

Pursuant to the provisions of Law No. 16 of 2006 concerning establishment of Abu Dhabi Investment Council (the "Council"), the erstwhile parent transferred its shareholding to the Council with effect from 1 February 2007.

The ultimate controlling party is the government of Abu Dhabi.

Compensation of directors and key management personnel

	2010 AED'000	2009 AED'000
Key management compensation		
Short term employment benefits	**49,140**	48,215
Post employment benefits	**1,241**	1,217
Termination benefits	**1,313**	1,159
Directors' remuneration	**4,950**	4,452

39 Related parties (continued)

During the year, a coupon payment election was made by the Bank in relation to Government of Abu Dhabi Tier 1 capital notes in the amount of AED 240 million (*2009: AED 120 million*).

Terms and conditions

Interest rates earned on loans and advances extended to related parties during the year have ranged from 1% to 13% per annum (*2009:1% to 13.37% per annum*).

Interest rates incurred on customers' deposits placed by related parties during the year have ranged from nil (non-interest bearing accounts) to 2% per annum (*2009: nil to 5 % per annum*).

Fees and commissions earned on transactions with related parties during the year have ranged from 0.50% to 1.00 % (*2009: 0.50% to 1.00%*).

Collaterals against lending to related parties range from being unsecured to fully secure.

Balances

Balances with related parties at the reporting date are shown below:

	Directors and key management AED'000	Major shareholder AED'000	Others AED'000	2010 Total AED'000	2009 Total AED'000
Loans and advances	**872,518**	**198,810**	**1,611,069**	**2,682,397**	2,522,335
Customers' deposits	**398,867**	**2,000**	**21,941,470**	**22,342,337**	18,094,893
Contingent liabilities	**413,092**	**-**	**25,992,612**	**26,405,704**	23,033,890

Others comprise Government of Abu Dhabi entities.

Transactions

Transactions carried out during the year with related parties are shown below:

	Directors and key management AED'000	Major shareholder AED'000	Others AED'000	2010 Total AED'000	2009 Total AED'000
Fee and commission income	**3,965**	**-**	**357**	**4,322**	6,017
Interest income	**31,018**	**9,350**	**80,080**	**120,448**	354,670
Interest expense	**3,593**	**181**	**125,635**	**129,409**	103,041

39 Related parties (continued)
Transactions (continued)

No allowances for impairment have been recognised against loans and advances extended to related parties or contingent liabilities issued in favour of related parties during the year (*2009: AED nil*).

Due to the pervasiveness of the ultimate controlling party and related concerns, it is impractical to fully disclose related party transactions as described by International Accounting Standard 24.

40 Segmental information

During the year, the Group restructured its internal reportable segment in a manner that provides more financial information to the chief operating decision makers. The Group is structured into the following seven major business segments, which form the basis on which the primary segment information is reported:

Domestic Banking

The Domestic Banking Division (''DBD'') is responsib le for three major customer segments together with the associated operations and administration. The DBD is structured on the basis of the Issuer's customer segments and the differing needs of the Issuer's broad customer base.
The DBD comprises of three segments: Consumer Banking, Commercial Banking and Elite Banking.

International Banking

The International Banking Division (''IBD'') manages the overseas banking network and credit derivative book. It primarily comprises of both Arab world banking (which includes the Issuer's networks in Bahrain, Egypt, Oman, Kuwait, Sudan and Libya) and international banking (which includes the Issuer's operations in France, Hong Kong , the United Kingdom and the United States of America);

Financial Markets

The Financial Markets Division (''FMD'') is the Groups key access point to the markets globally, it also ensures the liquidity for the entire Group. FMD currently operates through five departments International Capital Markets Department, International Money Markets Department, Foreign Exchange Team, Institutional and Corporate Coverage Department and Mena Equity.

Corporate and Investment Banking

Corporate and Investment Banking Division (''CIBD'') provides corporate and investment clients with strategic advice and bespoke innovative solutions.

40 Segmental information (continued)

The CIBD comprises six business units: Corporate Banking Group, Investment Banking Group, Wholesale Banking Group, Abu Dhabi National Leasing LLC, Abu Dhabi National Properties and Private Equity.

Global Wealth

Global Wealth comprises Private Banking, Asset Management Group (which includes local and global funds as well as discretionary portfolio management) and the Banks wholly-owned stockbroker Abu Dhabi Financial Services.

Islamic Business

Islamic Banking comprises Abu Dhabi National Islamic Finance and the Issuer's Islamic Division.

Head Office

The Group provides centralised human resources, information technology, finance, investor relations, risk management, corporate communications, property, legal, internal audit, collective provisions, operations and administrative support to all of its businesses units. The Head Office, which is run like a business, manages the Groups' free capital.

The accounting policies of the reportable segments are the same as described in notes 2 and 3. Transactions between segments, and between branches within a segment, are conducted at estimated market rates on rates agreed by management. Interest is charged or credited to branches and business segments either at contracted or pool rates, both of which approximate the replacement cost of funds.

Information regarding the results of each reportable segment is included below. Performance is measured based on segment profit before taxation, as included in the internal management reports that are reviewed by the Group's Chief Executive. Segment profit is used to measure performance as management believes that such information is the most relevant in evaluating the results of certain segments relative to other entities that operate within these industries.

40 Segmental information (continued)

	Domestic Banking AED'000	Int'l Banking AED'000	Financial Markets AED'000	Corporate & Investment Banking AED'000	Global Wealth AED'000	Islamic Business AED'000	Head office AED'000	Total AED'000
As at and for the year ended 31 December 2010:								
Operating income	1,760,529	942,179	822,881	2,682,586	174,324	158,238	637,797	**7,178,534**
Net impairment charge	(211,848)	(65,856)	-	(558,486)	(3,292)	(1,735)	(365,554)	**(1,206,771)**
Profit / (loss) before taxation	918,808	522,486	711,738	1,915,358	8,176	94,042	(384,847)	**3,785,761**
Overseas taxation	-	(102,497)	-	-	(105)	-	-	**(102,602)**
Net profit / (loss) for the year	918,808	419,989	711,738	1,915,358	8,071	94,042	(384,847)	**3,683,159**
Segment total assets	34,185,356	36,213,902	76,507,849	92,910,356	4,958,051	7,684,765	38,723,929	**291,184,208**
Inter segment balances								**(79,756,938)**
Total assets								**211,427,270**

Note: Except for Islamic subsidiary the collective provisions of the Group's United Arab Emirates operation are recognised centrally in the Head office accounts and are not allocated to the business units.

40 Segmental Information (continued)

	Domestic Banking AED'000	Int'l Banking AED'000	Financial Markets AED'000	Corporate & Investment Banking AED'000	Global Wealth AED'000	Islamic Business AED'000	Head office AED'000	Total AED'000
As at and for the year ended 31 December 2009:								
Operating income	1,511,537	858,639	795,181	2,270,825	147,685	108,161	707,024	**6,399,052**
Net impairment charge	(188,360)	(117,346)	177	(275,797)	(1,776)	(446)	(824,265)	**(1,407,813)**
Profit / (loss) before taxation	723,690	429,184	691,179	1,856,892	8,040	58,359	(674,468)	**3,092,876**
Overseas taxation	-	(78,814)	-	-	5,875	-	-	**(72,939)**
Net profit / (loss) for the year	723,690	350,370	691,179	1,856,892	13,915	58,359	(674,468)	**3,019,937**
Segment total assets	31,463,106	31,602,154	85,061,442	86,822,705	2,572,203	5,978,862	29,917,945	**273,418,417**
Inter segment balances								**(76,611,401)**
Total assets								**196,807,016**

Note: Except for Islamic subsidiary the collective provisions of the Group's United Arab Emirates operation are recognised centrally in the Head office accounts and are not allocated to the business units.

41 Earnings per share

Earnings per share is calculated by dividing the net profit for the year after deduction of Tier 1 capital notes payment by the weighted average number of ordinary shares in issue during the year as set out below:

	2010 AED'000	2009 AED'000
Basic earnings per share:		
Net profit for the year (AED'000)	**3,683,159**	3,019,937
Less: Payment on Tier 1 capital notes (AED'000)	**(240,000)**	(120,000)
Net profit after payment of Tier 1 capital notes (AED'000)	**3,443,159**	2,899,937
Weighted average number of ordinary shares:		
Ordinary shares as at 1 January of the year ('000s)	**2,174,275**	1,976,614
Effect of bonus shares issued during 2010 ('000s)	**217,428**	217,428
Effect of bonus shares issued during 2009 ('000s)	**-**	197,661
Weighted average number of ordinary shares ('000s)	**2,391,703**	2,391,703
Basic earnings per share (AED)	**1.44**	1.21
Diluted earnings per share:		
Net profit after payment of Tier 1 capital notes (AED'000)	**3,443,159**	2,899,937
Add: Interest on subordinated convertible notes (AED'000)	**72,279**	97,643
Net profit for the year for calculating diluted earnings per share (AED'000)	**3,515,438**	2,997,580
Weighted average number of ordinary shares ('000s)	**2,391,703**	2,391,703
Effect of dilutive potential ordinary shares issued ('000s)	**127,931**	139,512
Effect of share option scheme ('000s)	**-**	-
Weighted average number of ordinary shares in issue for diluted earnings per share ('000s)	**2,519,634**	2,531,215
Diluted earnings per share (AED)	**1.40**	1.18

42 Fiduciary Activities

The Group held assets in trust or in a fiduciary capacity for its customers at 31 December 2010 amounting to AED 3,087 million (*2009: AED 6,380 million*). Furthermore, the Group provides custodian services for some of its customers.

The underlying assets held in a custodial or fiduciary capacity are excluded from the consolidated financial statements of the Group.

43 Special Purpose Entities

The Group has created Special Purpose Entities (SPEs) with defined objectives to carry on fund management and investment activities on behalf of customers. The equity and investments managed by the SPEs are not controlled by the Group and the Group does not obtain benefits from the SPEs' operations, apart from commissions and fee income. In addition, the Group does not provide any guarantees or assume any liabilities of these entities. Consequently, the SPEs' assets, liabilities and results of operations are not included in the consolidated financial statements of the Group. The SPEs are as follows:

Legal name	Activities	Country of incorporation	Holding 2010
NBAD Nominees Limited	Shares registration	England	100%
NBAD Fund Managers (Guernsey) Limited	Equity/Asset Management	Bailiwick of Guernsey	100%
NBAD Global Growth Fund PCC Limited	Equity/Asset Management	Bailiwick of Guernsey	100%
One share PLC	Investment Company	Republic of Ireland	100%
NBAD Private Equity 1	Fund Management	Cayman Island	57.14%
NBAD Deucalion Investment Manager Limited	Fund Management	Cayman Island	50%

44 Comparative figures

Comparative figures have been reclassified to conform with the presentation for the current year.

Risk Management &
Basel II Pillar III Disclosures

Risk Management & Basel II Pillar III Disclosures

National Bank of Abu Dhabi (NBAD) and its subsidiaries, collectively known as the "Group" assesses its capital adequacy based on the Capital Adequacy Standards of the Central Bank of UAE (CBUAE) published in November 2009 for Standardized Approach. The document is adopted from BIS Revised Framework – 'International Convergence of Capital Measurement and Capital Standards'. The framework is structured around three Pillars: Pillar I - Minimum Capital Requirements; Pillar II – the Supervisory Review Process and the Internal Capital Adequacy Assessment Process (ICAAP); and Pillar III - Market Discipline.

Pillar I deals with the computation of Regulatory Capital ratio. It involves criteria based assessment of risk for various asset classes and calculation of Risk Weighted Assets (RWAs) for credit, market and operational risk, to derive the required regulatory capital. All UAE banks are subject to a minimum capital adequacy ratio of 12%, increased from the previous requirement of 11% on 30th June 2010. This is significantly higher than the global required minimum of 8%. Capital adequacy for the Group as on 31st December 2010 was 22.59%, significantly higher than the regulatory minimum.

Credit Risk

Basel II provides three approaches to the calculation of credit risk regulatory capital. NBAD has adopted the Standardized approach that requires banks to use external credit ratings to determine the risk weightings applied to rated counterparties, and groups other counterparties into broad categories and applies standardized risk weightings to these categories.

NBAD is among a group of select banks in the UAE progressing on required developments towards meeting the requirements of Foundation Internal Rating Based Approach to estimate capital requirements. This requires Risk Assessment through validated Internal Rating Based Models, and allows a wider range of Credit Risk Mitigants (Netting, Financial & Physical Collaterals, Guarantees etc.), resulting in a more appropriate bank-specific capital assessment, that incentivizes better risk management practices.

Market Risk

NBAD has adopted the Standardized approach for determining the market risk capital requirement.

Operational Risk

NBAD computes capital by the Basic Indicator Approach. However, it is strengthening its policy, processes and tools to ensure a gradual transition to higher approaches.

Pillar II deals with (a) Supervisory Review of Bank's risk management framework and taking a view on whether additional capital needs to be held for risks not covered under Pillar I (b) Internal Capital Adequacy Assessment Process (ICAAP), which is the Bank's own framework to assess its solvency (Capital and Liquidity) requirements over the next business cycle.

NBAD has submitted its ICAAP document for 2010 to CBUAE. The ICAAP document:

- Defines risk appetite of the bank in terms of KPIs (financial and operational)
- Introspects into business strategies under various adverse scenarios (e.g. Severe Recession, Liquidity Crisis, etc.) to estimate additional solvency requirements (Stress Test) to operate within the bank's Risk Appetite.
- Quantifies additional capital requirements for quantifiable (e.g. concentration risk, Interest Rate Risk on Banking Book) and qualitative risks (e.g. Reputational Risk) over and above the Pillar I requirements.

As per internal estimates, the Bank's current level of capital adequacy is deemed more than sufficient to deal with all these additional risks and under appropriate stressed scenarios.

Pillar III relates to market discipline and requires the Bank to disclose detailed qualitative and quantitative information of its risk management and capital adequacy policies and processes.

Pillar III Qualitative & Quantitative Disclosures

Disclosures under Pillar III follow the guidelines and formats of the Capital Adequacy Standards (Standardized Approach) of the CBUAE. All subsidiaries are consolidated and significant investments deducted as per the Basel II guidelines (also consistent with IFRS guidelines).

Table 1: Subsidiaries and Significant Investments

	Country of Incorporation	% Ownership	Description	Accounting Treatment
Subsidiaries:				
Abu Dhabi International Bank	Curacao, Netherlands Antilles	100%	Banking	Fully Consolidated
Abu Dhabi Financial Services	Abu Dhabi, UAE	100%	Shares & Securities	Fully Consolidated
Abu Dhabi National Leasing	Abu Dhabi, UAE	100%	Leasing	Fully Consolidated
Abu Dhabi National Islamic Finance	Abu Dhabi, UAE	100%	Islamic Finance	Fully Consolidated
NBAD Private Bank (Suisse) SA	Geneva, Switzerland	100%	Private Banking	Fully Consolidated
NBAD Trust Company (Jersey) Ltd	Jersey, Channel Islands	100%	Fund Management	Fully Consolidated
Ample China Holding Limited	Hong Kong, China	100%	Leasing	Fully Consolidated
Abu Dhabi National Properties	Abu Dhabi, UAE	100%	Property Management	Fully Consolidated
Abu Dhabi Brokerage Egypt	Egypt	100%	Brokerage	Fully Consolidated
Significant Investments: NBAD Special Purpose Entities				
NBAD Nominees Ltd.	England	100%	Shares Registration	Deducted from Capital
NBAD Fund Managers (Guernsey Limited)	Bailiwick of Guernsey	100%	Fund Management	Deducted from Capital
NBAD Private Equity 1	Cayman Islands	58%	Fund Management	Not Included
NBAD Global Growth Fund PCC Limited	Bailiwick of Guernsey	100%	Fund Management	Not Included
One Share PLC	Republic of Ireland	100%	Investment	Not Included
NBAD Deucalion Investment Manager Ltd	Cayman Islands	50%	Fund Management	Not Included
Others:				
Misr Iran	Egypt	20%	Construction	Deducted from Capital

Note: 1. There is no major restriction on inter- Group transfer of funds. In certain jurisdictions where these apply it constitute less than 1% of the Group's capital.

The consolidated Eligible Capital for Capital Adequacy computation as per the said guidelines is presented below:

Table 2: Consolidated Capital Structure

	(AED 000)
Tier 1 Capital	
1. Paid up share capital/common stock	2,391,703
2. Reserves	
a. Statutory reserve	1,195,852
b. Special reserve	2,128,253
c. General reserve	10,557,084
d. Retained Earnings	4,180,205
e. Others	74,925
3. Minority interests in the equity of subsidiaries	
4. Innovative capital instruments (GOAD Tier 1 Capital Notes)	4,000,000
5. Other capital instruments	
6. Surplus capital from insurance companies	
Sub-total	**24,528,022**
Less: Deductions for regulatory calculation	
Less: Deductions from Tier 1 capital	
i. Tier 1 Capital - Subtotal	24,528,022
ii. Tier 2 capital	**9,789,901**
iii. Other deductions from capital	76,910
iv. Total eligible capital after deductions	34,241,013

As on 31st December 2010, the capital adequacy ratio of the NBAD Group was:

Table 3: Capital Ratio

a. Total for Top consolidated Group	22.59%
b. Tier 1 ratio only for top consolidated Group	16.18%

Group Risk Governance Structure

Structure and Organization of the Risk Management Function

The Board of Directors (the "Board") has overall responsibility for the establishment and oversight of the Group's risk management framework and they are assisted by two board committees – Risk Management Committee and Audit Committee as well as three management committees shown below.

NBAD Group Governance Structure



Management Level Committees

- **Asset Liability Committee** (ALCO) Chaired by CE
- **Group Credit Committee** (GCC) Chaired by CE
- **Operational Risk Management Committee** (ORMC) Chaired by CE



Risk Managers in International Units/ Subsidiaries have a dual reporting line to Group CRO and the Regional / Subsidiary Head

Board Committees:

a) Risk Management Committee (RMC), comprises members from the Board, and are responsible for recommending and setting the Group's risk strategy and policy guidelines, and thereafter monitoring adherence. RMC is also set-up to monitor the Group's credit, operational and market risks, to take credit decisions above management's discretionary powers and to set market risk limits under which the Group's management operates.

b) Audit Committee (AC) is responsible for independently monitoring compliance with the Group's risk management policies and procedures, and for reviewing the adequacy of the risk management framework. The Group Audit Committee is assisted in these functions by Group Audit and Group Compliance Divisions.

Management committees

The three Management level Risk Committees are:

i. Assets and Liabilities Committee (ALCO);
ii. Group Credit Committee (GCC); and
iii. Operational Risk Management Committee (ORMC).

The management committees are responsible for implementing the risk management framework. The major functions of the three management committees are given below:

i) Assets and Liabilities Committee (ALCO): The principle aim of ALCO is to achieve sustainable and stable profits within a framework of acceptable financial risks, which includes market risk for proprietary trading and investment portfolio, liquidity risk, interest rate risk, and foreign exchange risk for Treasury and Banking Book and capital management.

ii) Group Credit Committee (GCC): GCC is responsible for approving credit proposals under authority delegated by the Board. Credit proposals exceeding the authority of the GCC are referred to the RMC. The GCC also recommends credit policy and strategy issues and periodically monitors the credit portfolio of the Group. The provisioning assessment exercise also forms part of the GCC function. The GCC in turn delegates authority to divisional credit committees.

iii) Operational Risk Management Committee (ORMC): The primary objective of ORMC is to steer and align the operational risk management activities in the bank. ORMC acts as the central point in coordinating various efforts and initiatives that relate to operational risk management including alignment with other operational risk mitigating strategies such as Business Continuity Management, Information Security, Anti Money Laundering, Process improvement, Internal Audit. The ORMC is the main source of operational risk management input for RMC.

A separate Risk Management Division (RMD), reporting to the Risk Management Committee, assists in carrying out the oversight responsibility of the Board. There are three main independent functions of the RMD, which are: (i) Credit Underwriting; (ii) Credit Administration and (iii)Independent Risk Management and (iv) Remedial Management. The Credit underwriting function deals with independent underwriting of domestic, international advances and the management of remedial advances. There is clear segregation between the credit approval and independent risk management, with the Credit Administration function straddling between the two areas, to provide logistical support from an administrative, systems and compliance perspective.

All risk management policies are reviewed and approved regularly by the applicable committee of the Board and / or management to reflect changes in market conditions, products and services offered.

A new function within RMD, Risk Quality Assurance (RQA), reporting directly to the CRO, has been created this year which will perform reviews of Risk Management within NBAD. The major goals of the RQA unit would be to carry out the Credit and Investment Adjudication (CAIA) review which would assess whether the policies, processes and internal controls for underwriting and risk management within the bank are commensurate with the size, nature and complexity of its operations. The review would cover the frameworks and standards set for underwriting criteria, borrower and counterparty risk assessment, monitoring and remedial management. The review would identify deficiencies and recommend solutions as well as quality enhancements in the areas of credit and investment underwriting and risk management.

Credit Risk

Credit risk is the risk that a customer or counterparty to a financial asset fails to meet its contractual obligations and causes the Group to incur a financial loss. It arises principally from the Group's loans and advances, due from banks and non-trading investments.

a) Management of credit risk

The RMC is responsible for sanctioning high value credits and the Group Credit Committee is responsible for the formulation of credit policies and processes in line with growth, risk management and strategic objectives.

The Group's Credit Risk Management framework includes policies & procedures to monitor and manage these risks. The Group Risk Management function ensures centralized oversight for credit risk management including:

- Establishment of authorization structure and limits for the approval and renewal of credit facilities;
- Reviewing and assessing credit exposures in accordance with authorization structure and limits, prior to facilities being committed to customers. Review and renewal of facilities are subject to the same process;
- Diversification of lending and investment activities;
- Limiting concentrations of exposure to industry sectors, geographic locations and counterparties; and
- Reviewing compliance, on an ongoing basis, with agreed exposure limits relating to counterparties, industries and countries and reviewing limits in accordance with risk management strategy and market trends.

The Group uses an internal risk rating system to assess the credit quality of borrowers and counterparties. Each exposure in the Sovereign, Banks and Corporate asset classes is assigned a rating. The risk rating system has 11 grades, further segregated into 24 notches. Grades 1-7 are performing, Grade 8 is Watchlist and Grades 9-11 are non–performing each with a rating description. These grades are also mapped to CBUAE scale of 1 to 5.

- For Sovereign and Banks, rating grades are mapped to Long-Term External Credit Assessment Agency Ratings.
- For Corporate, these are mapped to an Internal Rating Based (IRB) expert system, tuned for GCC conditions.
- Each grade in the rating system is linked to a statistical Probability of Default (PD).

The risk rating system plays a significant role in efficient use of credit risk measurement and management including:

- Risk based pricing and determination of Risk adjusted return on capital
- Risk based monitoring (Frequency and intensity of monitoring)
- Determining risk based delegation of powers at various sanction authority levels
- Impairment testing
- Estimation of collective provisioning
- The rating is also designed to eventually estimate regulatory capital as per Basel II

The rating system is subjected to an annual validation process. The bank, using internal as well as external expertise, reviews the performance of the system. The rating models used are validated by an external third party in line with UAECB guidelines. Modifications to the rating system are carried out annually by incorporating enhancements (from the validation process) and updating models in line with the banks portfolio and general economic trends.

The Group currently uses rating models based on expert judgment but supplements them with statistical analysis. As data availability (both quality and quantity) improves the rating system would tend more towards statistical models, but would retain expert judgment to ensure that models are suitable for banks portfolio and in line with the banks policies and culture.

Retail lending business is governed by product programs vetted by the risk management department and employs credit scoring technique to process small scale, large volume credit decisions. The scores are combined with management judgment to ensure effective ongoing process of approval, review and enhancement.

Global Limit and Collateral Management System: The implementation of the Global Limits and Collateral Management system (GLCMS – Murex MLC) went live in the 4th quarter of 2010. GLCMS delivers significant benefits to the bank by bringing together in one place all of the bank's banking book counterparty limits and utilization. The successful closure of a 2 year effort provides a single customer view which allows for managing and monitoring aggregate limits, setting coverage based limits, netting calculations and having a unique customer number mapped to multiple identifiers in the bank's many transactional systems representing various business lines. The key objectives of the GLCMS are as below:

- Provide a platform for the management of all limit types post credit sanctioning for the banking book of Corporate & Treasury divisions of NBAD
- Provide a platform for the calculation and monitoring of all the Bank's exposures on a gross and mitigant adjusted basis
- Provide a platform for the storage and management of both treasury and banking book related collateral and other mitigation

b) Credit risk monitoring is performed at various levels

i. Monitoring of risk quality (Obligor level): The Group has a process for risk rating review relative to rating grade bands. More frequent reviews are made for the weaker credits and less frequent reviews for the superior credits. The Group has a process of defining and reporting all the potential problem accounts.
ii. Monitoring of risk quality (Portfolio Level): Group monitors the existing portfolio based on the economic sectors, industry, geography, ratings and business lines. These portfolio reports are generated periodically and the senior management is informed on the same.
iii. Monitoring of past dues on principal and interest: All the past dues on principal and interest on loans and advances portfolio of the Group are reported periodically to the senior management. Measures to realize such past dues are initiated with stringent follow up thereafter.
iv. Monitoring of excess over limits: Group has a policy of monitoring of all excesses over limits. The monitoring reports are submitted to the senior management and processes are initiated to realize and regularize such excesses.
v. Monitoring of potential loss accounts (Watchlist): This category comprises of accounts where principal or interest are past due for more than 30 days and which show some potential weakness in the borrower's financial position and credit worthiness, which requires greater follow-up and monitoring.

In addition, the Group manages the credit exposure by obtaining security where appropriate and limiting the duration of exposure. In certain cases, the Group may also close out transactions or assign them to other counterparties to mitigate credit risk. Credit risk in respect of derivative financial instruments is limited to those with positive fair values.

Regular audits of business units and Group credit processes will be undertaken by RQA to strengthen the post facto review of credit and investment underwriting process and to an extent supplement Group Audit and Group Compliance Divisions. The Loan Review Process (LRM) would ensure that credit and investment underwriting operates within a sound, well defined framework with appropriate use of expert judgment. The review would also cover the risk rating framework, methodology and process for managing Credit and Investment transactions as well as monitoring of early warning triggers, remedial action and loss estimation.

c) Concentration Risk

Credit concentration risk refers to the level of exposure to any individual or related group of customers, specific industry or sector, country or geographical locations. The first level of protection against concentration risk is through country and industry thresholds limits set by the RMC and GCC. Credit exposures to individual customers or customer groups is controlled through a risk based delegation of powers (DoP) matrix with borrowers Risk Rating and collateral forming the inputs to the DoP matrix.

Single name Concentration:
Single name concentration is monitored on an individual basis with the top 12 corporate exposures for each country (top 20 for UAE) being reported to the GCC on a quarterly basis. Further, the Group›s internal economic capital methodology for credit risk addresses concentration risk through the application of additional capital charge as part of the ICAAP process.

The Group abides by single obligor limits set by Central Bank of UAE (Circular 16/93), requiring the Banks to seek CBUAE approval for any planned exposure to a single counterparty or groups of connected counterparties exceeding 25% of Total Equity for Commercial PSE exposures and 7% of Total Equity for other entities.

Sector Concentration:
The Bank has consciously adopted measures to diversify the exposures to various sectors. Currently the portfolio is well diversified, with the highest exposure being in Retail / Consumer Banking sector (17.18% of Gross Loans and Advances). Real Estate exposure remains within the limits prescribed by Central Bank of UAE, with sufficient collateral coverage.

The Bank has established Industry limits to ensure portfolio diversification and employs stringent lending guidelines in conjunction with close portfolio monitoring for vulnerable portfolios to systematic downturns.

Geographic, Sectoral, Tenor classification of Gross Credit Exposures

The geographic distribution of Gross Credit Exposures (funded and non-funded) as on 31st December 2010 is as follows:

Table 3: Gross Credit Exposures by Geography as on 31st December 2010

Geographic Distribution	Loans	Debt Securities	Total Funded	Commitments	OTC Derivatives	Other Off- Balance Sheet exposures	Total Non-Funded	(AED 000) Total
United Arab Emirates	106,478,359	10,333,148	116,811,507	21,059,683	61,019,727	48,118,497	130,197,907	247,009,414
GCC (excluding UAE)	7,138,604	2,151,224	9,289,828	825,532	8,985,551	4,263,030	14,074,113	23,363,941
Arab League (excluding GCC)	5,760,897	1,455,491	7,216,388	267,926	1,647,000	1,899,205	3,814,131	11,030,519
Asia	1,195,792	-	1,195,792	-	2,135,703	9,162,998	11,298,701	12,494,493
Africa	22,786	-	22,786	-	-	394,710	394,710	417,496
North America	674,829	773,021	1,447,850	1,432,654	16,823,649	12,354,939	30,611,242	32,059,092
South America	551,395	-	551,395	-	-	5,590	5,590	556,985
Caribbean	-	-	-	-	-	35,822	35,822	35,822
Europe	15,005,846	5,199,247	20,205,093	777,784	157,658,609	19,678,075	178,114,468	198,319,561
Australia	4,960	-	4,960	976	238,273	34,559	273,808	278,768
Others	28	1,380,023	1,380,051	-	-	224,073	224,073	1,604,124
Total	136,833,496	21,292,154	158,125,650	24,364,555	248,508,512	96,171,498	369,044,565	527,170,215

Classification of Gross Credit Exposures (funded and non-funded) by Industry Segments as on 31st December 2010 is as follows:

Table 4: Gross Credit Exposure by Industry Segment as on 31st December 2010

Industry Segment	Loans	Debt Securities	Total Funded	Commitments	OTC Derivatives	Other Off- Balance Sheet exposures	Total Non-Funded	(AED 000) Total
Agriculture, Fishing & related activities	102,189	-	102,189	184,398	-	34,548	218,946	321,135
Crude Oil, Gas, Mining & Quarrying	9,089,408	296,212	9,385,620	300,857	6,169	1,385,968	1,692,994	11,078,614
Manufacturing	6,389,061	55,430	6,444,491	1,501,507	1,237,104	12,574,064	15,312,675	21,757,166
Electricity& Water	15,832,613	614,249	16,446,862	3,857,964	1,802,678	3,588,802	9,249,444	25,696,306
Construction	6,403,141	-	6,403,141	1,806,299	4,953,123	6,320,826	13,080,248	19,483,389
Real Estate	22,874,578	880,971	23,755,549	4,534,130	6,722,273	366,736	11,623,139	35,378,688
Trade	4,903,060	-	4,903,060	814,302	11,132,989	3,938,343	15,885,634	20,788,694
Transport, Storage & Communication	5,877,082	261,509	6,138,591	2,313,502	2,218,417	1,536,638	6,068,557	12,207,148
Banks & Financial Institutions	10,937,355	13,281,791	24,219,146	214,276	215,208,606	34,481,966	249,904,848	274,123,994
Services	13,554,390	656,029	14,210,419	3,833,875	3,403,748	2,138,818	9,376,441	23,586,860
Government	16,945,273	5,245,963	22,191,236	2,403,232	822,830	26,538,709	29,764,771	51,956,007
Retail/Consumer banking	23,511,569	-	23,511,569	1,147,011	228,091	570,788	1,945,890	25,457,459
All Others	413,777	-	413,777	1,453,202	772,484	2,695,292	4,920,978	5,334,755
Total	136,833,496	21,292,154	158,125,650	24,364,555	248,508,512	96,171,498	369,044,565	527,170,215

Gross Credit Exposure (funded and non-funded) breakup by currency as on 31st December 2010 is as follows:

Table 5: Gross Credit Exposures by Type as on 31 December 2010

Currency	Loans	Debt Securities	Total Funded	Commitments	OTC Derivatives*	Other Off-Balance Sheet Exposures	Total Non-Funded	(AED000) Total
Foreign Currency	54,313,062	19,425,071	73,738,133	6,705,831	191,319,642	83,152,108	281,177,581	354,915,714
AED	82,520,434	1,867,083	84,387,517	17,658,724	57,188,870	13,019,390	87,866,984	172,254,501
Grand Total	136,833,496	21,292,154	158,125,650	24,364,555	248,508,512	96,171,498	369,044,565	527,170,215

*Excludes forex derivatives with original maturity of up to 14 days, exchange traded derivatives, inter-branch transactions, etc.

Tenor classification by Contractual Maturity of the Gross Credit Gross Credit Exposures (funded and non-funded) as on 31st December 2010 is as follows:

Table 6: Gross Credit Exposures by Residual Contractual Maturity as on 31st December 2010

Residual Contractual Maturity	Loans	Debt Securities	Total Funded	Commitments	OTC Derivatives	Other Off- Balance Sheet Exposures	Total Non-Funded	(AED000) Total
Less than 3 months	29,141,848	1,254,592	30,396,440	12,031,611	70,633,955	27,912,399	110,577,965	140,974,405
3 months to one year	12,164,823	2,177,423	14,342,246	4,707,013	74,101,286	25,588,259	104,396,558	118,738,804
One to five years	45,111,071	7,386,038	52,497,109	5,742,958	70,352,578	34,127,141	110,222,677	162,719,786
Over five years	50,415,754	10,474,101	60,889,855	1,882,973	33,420,693	8,543,699	43,847,365	104,737,220
Grand Total	136,833,496	21,292,154	158,125,650	24,364,555	248,508,512	96,171,498	369,044,565	527,170,215

Geographic and sectoral distribution of overdue loans and Provisions thereon as on 31st December 2010 is in tables below:

Table 7: Geographic Distribution of Overdue Loans and Provisions

Geographic Distribution	Overdue			(AED'000) Provisions		
	Past Due but not impaired	Individually impaired	Total	Int. in Suspense	Specific	General
United Arab Emirates	3,128,690	3,106,210	6,234,900	325,662	1,553,203	1,473,288
GCC (excluding UAE)	47,687	353,400	401,087	17,423	122,201	115,348
Arab League (excluding GCC)	21,799	98,447	120,246	10,998	93,959	160,070
Asia	-	-	-	-	-	5,738
Africa	-	46,263	46,263	3,239	-	-
North America	893	-	893	-	-	38,372
South America	-	-	-	-	-	-
Caribbean	-	-	-	-	-	-
Europe	18,229	3,395	21,624	1,302	2,497	97,247
Australia	-	-	-	-	-	2,158
Others	-	-	-	-	-	-
Grand Total	3,217,298	3,607,715	6,825,013	358,624	1,771,860	1,892,221

Table 8: Sectoral Distribution of Overdue Loans and Provisions

(AED 000)

Industry Segment	Overdue		(AED'000) Provisions			
	Past Due but not impaired	Individually impaired	Int. in Suspense	Specific	General	Total
Agriculture, Fishing & related activities	2,878	-	-	-	1,337	2,878
Crude Oil, Gas, Mining & Quarrying	-	23,852	1,323	3,954	19,554	23,852
Manufacturing	92,109	81,769	5,486	58,267	131,234	173,878
Electricity & Water	-	1,518	-	-	97,077	1,518
Construction	73,834	304,130	13,145	87,972	126,917	377,964
Real Estate	1,393,711	1,185,322	32,727	645,561	410,778	2,579,033
Trade	341,591	438,256	79,331	144,699	134,989	779,847
Transport, Storage & Communication	62,151	20,710	1,649	10,398	40,057	82,861
Financial Institutions	82,408	37,200	3,495	9,917	228,788	119,608
Services	221,758	408,634	21,321	89,614	183,566	630,392
Government	18,229	-	-	-	4,518	18,229
Retail/consumer banking	928,629	1,106,324	200,147	721,478	506,020	2,034,953
All Others	-	-	-	-	7,386	-
Grand Total	**3,217,298**	**3,607,715**	**358,624**	**1,771,860**	**1,892,221**	**6,825,013**

Movement in the provision for impaired loans for the period January 2010-December 2010 is shown below:

Table 9: Reconciliation of Changes in Provision for Impaired Loans for the Period Jan-Dec 2010

Total	Description	(AED000)
	Opening Balance of Provisions for Impaired Loans	**2,657,510**
Add:	Charge for the year	
	• Specific provisions	1,071,394
	• General provisions	288,133
Add:	Write-off of impaired loans to income statement	4,672
Less:	Recovery of loan loss provisions	(48,962)
Less:	Recovery of loans previously written-off	(2,315)
Less:	Write-back of provisions for loans	(199,405)
	Adjustments of loan loss provisions	(106,946)
	Closing Balance of Provisions for Impaired Loans	**3,664,081**

Adoption of foundation IRB/advanced IRB

The Group has applied to the Central Bank for approval of models as part of its application for migrating to Foundation IRB Approach from Standardised Approach. At present the Group has no plans for migrating to Advanced IRB Approach.

Use of Ratings by External Credit Assessment Institutions (ECAIs):

For banks and sovereign exposures, the risk ratings given by leading External Credit Assessment Institutions – Moody's, Standard and Poor's and Fitch are considered. For PSEs and Corporate exposures, issuer ratings are used, if available. Wherever, multiple ratings are available, mapping provided in the draft guidelines by the supervisor is used for arriving at the required risk weighting under Standardized Approach.

Basel II reporting of Credit Risk Exposures

Credit risk exposures reported under Basel II differs in a number of respects from those reported in the consolidated financial statements.

1. As per the CBUAE Basel II framework, off balance sheet exposures are converted, by applying a credit conversion factor (CCF), into direct credit exposure equivalents.
2. Under the Basel II capital adequacy framework, eligible collateral is applied to reduce exposure.

Credit Risk Mitigation (CRM) & Collateral Valuation

When extending credit facilities, the Group primarily relies on the borrower's ability to pay. Security is the means by which, in the last resort, the Bank should be able to obtain the repayment of outstanding amount owing to it by a customer. It may take many forms,

but any item of security should possess the following attributes:

- It should be of a determinable value
- It should have a stable value
- It should be of a value in excess of the amount it is intended to be securing so as to provide a margin of safety
- It should be readily realizable, i.e. an asset such as a property, should be capable of being readily sold
- It should be enforceable, preferably without needing recourse to the Courts or the involvement of other legal processes

Security with such attributes could be described as being of good quality. Acceptable forms of collateral are defined within the Group risk framework and conservative valuation parameters applied and regularly reviewed to reflect any changes in market conditions. Security structures and legal covenants are also subject to regular review.

Broad types of collateral taken by the bank are Cash, Land and buildings (real estate or realty), Mortgage, Debentures, Stocks and shares, Merchandise, goods etc.

Gross Credit Risk Exposures subject to Credit Risk Mitigation (CRM)

Under the Standardised Approach of Basel II, banks may choose between two options when calculating credit risk mitigation capital relief. The Simple Approach which substitutes the risk weight of the collateral from that of the exposure or the Comprehensive Approach where the exposure is adjusted by the actual value ascribed to the collateral, the latter being more robust as a methodology.

NBAD Group uses the comprehensive method, where Eligible Collateral is in form of Financial Securities (e.g. Cash, High – quality Debt securities, Equities in main index). In addition, on- balance sheet Netting, guarantees by specific protection providers and Credit Derivatives are also allowed as Credit Risk Mitigants (CRM). Basel II guidelines also specify minimum operating and documentation criteria that need to be satisfied for eligibility as Basel II collateral.

Following Table provides On and Off- Balance Sheet exposures for NBAD Group along with the effect of Credit Risk Mitigation in each Basel II asset class.

Table 10: Loan Portfolio as per Standardised Approach as on 31st December 2010

(AED 000)

Asset Class	On Balance Sheet	Off Balance Sheet	Credit Risk Mitigation (CRM)			Risk Weighted Assets
	Gross Outstanding	Net Exposure After Credit Conversion Factors (CCF)	Exposure Before CRM	CRM	After CRM	
Claims on Sovereigns	39,907,096	5,893,565	45,800,661	1,298,679	44,501,982	2,696,667
Claims on Non-Central Government Public Sector Entities (PSEs)	42,568,522	6,745,074	49,313,595	3,199,116	46,114,479	15,059,458
Claims on Multi Lateral Development Banks	36,768	6,462	43,230	-	43,230	-
Claims on Banks	37,373,973	28,986,610	66,359,605	10,185,651	56,173,954	21,073,063
Claims on Securities Firms	1,868,125	477,490	2,345,615	1,073,727	1,271,888	557,731
Claims on Corporates	55,248,729	21,794,734	77,005,602	10,293,485	66,712,117	65,276,360
Claims Included in the Regulatory Retail Portfolio	11,002,953	-	10,963,281	260,837	10,702,444	8,274,283
Claims Secured by Residential Property	1,968,994	-	1,968,994	788	1,968,206	1,648,633
Claims Secured by Commercial Real Estate	11,415,342	-	11,415,342	95,423	11,319,919	11,319,919
Non-Performing Loans	3,607,716	-	1,477,232	13,695	1,463,537	1,558,087
Higher-Risk Categories	-	-	-	-	-	-
Other Assets	9,398,458	-	9,398,274	-	9,398,274	7,218,668
Claims on Securitized Assets	36,994	-	36,994	-	36,994	7,399
Credit Derivatives (Banks Selling Protection)	-	404,030	404,030	-	404,030	1,270,858
Total Claims	**214,433,670**	**64,307,965**	**276,532,455**	**26,421,401**	**250,111,054**	**135,961,126**

The following table shows the rated and unrated exposures in each Basel II asset class for the NBAD group:

Table 11: Loan Portfolio as per Standardised Approach as on 31st December 2010

(AED 000)

	Gross Credit Exposures		
Asset Class	**Rated**	**Unrated**	**Total**
Claims on Sovereigns	45,771,264	29,397	45,800,661
Claims on Public Sector Entities	2,458,519	46,855,076	49,313,595
Claims on Multilateral development banks	43,230	-	43,230
Claims on securities firms	1,730,864	614,751	2,345,615
Claims on Banks	62,846,973	3,512,632	66,359,605
Claims on Corporate	8,213,576	68,792,026	77,005,602
Regulatory & other retail exposure		10,963,281	10,963,281
Residential retail exposure		1,968,994	1,968,994
Commercial Real Estate		11,415,342	11,415,342
Non-Performing Loans		1,477,232	1,477,232
Other assets		9,398,274	9,398,274
Claims on Securitized Assets	36,994	-	36,994
Credit Derivatives (Banks selling protection)	404,030	-	404,030
Grand Total	**121,505,450**	**155,027,005**	**276,532,455**

The following table shows the effect by Basel II CRM type on Exposures:

Table 12: Credit Risk Mitigation: Disclosures for Standardized Approach as on 31st December 2010

	Exposures	Risk Weighted Assets
Gross Exposure prior to Credit Risk Mitigation	276,532,455	152,061,585
Less: Exposure covered by on-balance sheet netting	2,304,308	1,371,200
Less: Exposures covered by Eligible Financial Collateral	20,000,342	12,737,891
Less: Exposures covered by Guarantees	4,116,751	1,991,368
Less: Exposures covered by Credit Derivatives		
Net Exposures after Credit Risk Mitigation	**250,111,054**	**135,961,126**

Market Risk

Market risk for NBAD is the risk that the Group's income and/or value of its financial instruments will fluctuate adversely because of changes in market factors such as interest rates, foreign exchange rates, equity, commodity and option prices.

a) Management of market risks

Market Risk at the Group is managed as per NBAD's "Group Market Risk Policy Framework" approved by the Group ALCO. The framework provides specific guidelines on roles and responsibilities of Market Risk, Governance Structure, Market Risk appetite statement and the limit structure. It spells the way market risk is identified, measured, monitored, controlled and reported.

As a policy the Group takes exposure to only those financial instruments/products for which the Group has appetite and which are approved by Group ALCO. For any new product therefore, sanction has to be obtained via the New Product Approval process which would ensure if necessary infrastructure is there to support the requisite dealing in the product.

Market Risk for the Group is identified and managed on a consolidated basis. The Group's aggregate Market Risk is seen as a consolidation of the Market Risks originating at its Central Treasury at the H.O. and all the Oversees units. The Market Risk appetite of the "Group" is defined in terms of the following limits:

i) Interest rate risk on the Trading Book is addressed through the sensitivity and VaR limits and the Interest rate risk on the Banking book is defined in terms of the Net Interest Income & Market Value of Equity impact for the Group.
ii) Forex risk, on the trading book is addressed through the overnight Net Open Position limits in place defined separately for the pegged currencies and non-pegged currencies.
iii) Equity and options price risks are measured through the VaR, Stop Loss & Sensitivity limits defined around the Trading positions. These are also measured through setting lot size limits for futures and options positions.

The above risk limits are approved by the RMC and are closely monitored by the Market Risk Unit in Risk Management Division. The risk positions against the limits and all limit breaches are routinely reported by Market Risk Unit in RMD to Senior Management and the Group ALCO. The Market Risk Unit functions independent of the risk taking units and reports directly to the G-CRO.

A new Middle Office (MO) was setup in mid-2010 and will become fully operational in 2011. The role of the middle office is to provide support to the front office for trading activities by performing valuations, deal validation and monitoring, performance attribution and hedge effectiveness monitoring. It also assists in risk management by carrying out reporting, reconciliation, data maintenance and invoking escalation procedures as required.

The Group measures the risk weighted assets for Market Risk as per the Standardized approach. Accordingly the components of the Market Risk weighted assets are as given below:

Table 12: Total Risk Weighted Assets for Market Risk under Standardised Approach as on 31st December 2010

(AED 000)

Market Risk	**Amount**
Interest rate risk	2,717,405
Equity position risk	716,532
Foreign exchange risk	358,937
Commodity risk	-
Option Risk	8,795
Total Risk Weighted Assets	3,801,669

The overall controls at the Group level around the Market Risk framework are set by the Group Market Risk Management department. The controls are defined as per the risk appetite. These are set in terms of the products that can be dealt in and the limit structure around these products. The limits are segregated between the trading book and non-trading book positions. Trading book is guided by positions which are marked to market on daily basis. Non-trading book constitutes of investment positions categorized as available for sale or held to maturity. From the limits management perspective, the limits are also set in terms of hard and soft/trigger limits.

Larger NBAD overseas entities/subsidiaries also have independent risk management functions. They are responsible for measuring, monitoring and reporting all market risk exposures to their Local ALCO. These measurements are largely in terms of regional risk limits which are overseen by the Group ALCO at the Group level.

Market Risk reports are generated on a daily basis for the International Money Market desk, International Capital Market desk, Foreign exchange desk and Equity desk. The following measurement techniques/limits are used for the purpose of reporting to senior management:

- Value at Risk (VaR)
- Net Present Value Basis Point (PVBP)
- Fx Net Open Position (NoP)

The Group calculates parametric VaR on the portfolios based on the following inputs:

- Holding Period – 1 day
- Confidence Interval – 95%
- Frequency of Calculation - Daily

Other Market risk reports at the Group level are routinely tabled to ALCO which includes investment portfolio performance report.

b) Management of Interest rate risk

By the nature of its business, the Group is exposed to interest rate risk. Interest rate risk arises from interest bearing financial instruments and reflects the possibility that changes in interest rates will adversely affect the value of the financial instruments and the related income. The Group is exposed to this risk both in its Trading book and Banking book.

The Risk Management Committee of the Board monitors on a periodic basis the interest rate risk taken by the Group. However, the management of interest rate risk is delegated to the Group ALCO. The Group ALCO is responsible for defining the interest rate risk limits and implementing strategies to contain interest rate risk within acceptable levels.

The Group manages this risk principally through monitoring interest rate gaps on a consolidated basis across various maturities and by managing the re pricing profile of rate sensitive assets and liabilities based on expected interest rate view. Overall interest rate risk positions are managed by creating floating rate assets against floating rate liabilities and fixed rate assets against fixed rate liabilities.

The Group uses derivative instruments to manage interest rate risk arising from the Group's financial instruments which are rate sensitive in nature.

The Group measures the impact of interest rate risk on trading book in terms of tenor sensitivities (PVBP) and VaR. On the Banking book the short-term impact of interest rate risk is measured in terms of Net Interest Income (NII) impact or Earnings at Risk (EaR). The long-term impact of the interest rate risk is measured through the changes in Market Value of Equity (MVE).

The substantial portion of the Group's assets and liabilities are re-priced within one year. Accordingly there is a limited exposure to interest rate risk. The Group Market risk team conducts assessment of the interest rate risk exposure by measuring the impact of reasonable possible change in interest rate movements.

Table 13: Interest Rate Risk in the Banking Book

(AED000)

Shift in Yield Curves	Net Interest Income	Regulatory Capital
±200 basis point	+/- 105,449	105,449

Section 4(d) of the Financial Statement computes the impact on Equity and Net Profit owing to a "reasonable" change in interest rates as per IFRS.

The Treasury Middle Office generates the interest rate sensitivity report daily for its Treasury Trading and Banking book positions. The non-Treasury related Banking book positions are monitored through IRS report which captures the contractual re-pricing of various assets and liabilities. The report incorporates behavioral analysis available and is supported by the assumptions approved by Group ALCO. The Group Market risk team conducts assessment of the interest rate risk exposure to evaluate the impact of yield curve shifts on its NII.

c) Management of liquidity risk and Funding Profile

The Group defines its liquidity risk as the potential impact when it does not have sufficient financial resources (liquidity) to meet its obligations when they come due, or will have to do so at excessive cost. The Group›s liquidity risk principally arises due to mismatches in the timing of cash-flow and funding concentration.

The objective of the Liquidity management at the Group level therefore is to ensure that the "Group" has adequate liquidity at all times while meeting the CBUAE and other local UAE regulatory requirements on liquidity risk.

NBAD's Board of Directors has delegated the responsibility for oversight and management of the Group's liquidity risk to RMC (Board level committee). The authority to set specific limits, guidelines and controlling liquidity is delegated by RMC to ALCO (Management level committee). ALCO has delegated the day-to-day liquidity management responsibility to SGM-FMD (Group Treasurer) who is authorized to operate within the parameters and limits as defined by ALCO. In establishing these parameters and monitoring liquidity, ALCO is advised by the SGM-FMD and includes an assessment of the international and local economic/political environment in which the NBAD group operates. Based upon this input, ALCO determines the strategic level of liquidity for the Group.

The management of liquidity at the Group level is in accordance with CBUAE requirements and in terms of the ALCO approved Group Liquidity Management Policy (GLMP). The objective of the GLMP is to provide guidance in measuring, monitoring, managing and reporting liquidity risk. Liquidity of the Bank is managed on a Group basis and Financial Market Division (FMD) is responsible to oversee liquidity management of the Groups units and subsidiaries. On a day-to-day basis, NBAD manages liquidity in a decentralized manner by assigning to the operating units the responsibility for their own liquidity management, including full compliance with their regulatory guidelines. The liquidity requirements of the business units and subsidiaries at NBAD are met through short-term loans from the Group Treasury which covers any short-term fluctuations and longer term funding addressing any structural liquidity requirements. The daily management of liquidity is with the Group Treasury while the medium & long-term liquidity management of the Group is done through the Funding plan. This enables the identification of structural funding gaps and plan for resource raising accordingly.

As a control function the liquidity gap reports along-with the approved liquidity ratios and other exposure reports are tabled to ALCO for information and direction. The Bank's Audit department also performs audit on the functions of the Market risk management department which reports on the liquidity position of the Group to ALCO

The Group strategy to have a stable funding profile is through having a diversified customer base, reduce the regional concentration through having international medium term issuances at favorable rates. The Group maintains a judicious mix /portfolio of short-term high quality unencumbered liquid assets across countries and currencies. These include marketable debt securities, inter-bank and Central Bank placements; securities that can be monetized at short notice at minimal cost. The overseas units and subsidiaries of the Group manage their liquidity positions individually, reporting to regional and Group ALCO.

The liquidity management process includes but is not restricted to the following:

- Preparing and projecting the cash-flow gap reports on residual maturity basis both for the local currency as well as for the currencies where the Bank has "Significant" exposure. This provides a view on the funding structure as it evolves with the balance-sheet growth.
- The Bank has liquidity gap limits in place through which it monitors its actual liquidity position.
- Maintaining a targeted liquidity level by monitoring the Liquidity ratios which have been defined internally both from the regulatory and prudential perspective.
- While constantly striving for the diversification of the funding sources, monitor the concentration risk for the counterparties/depositors.
- In order to have the ability to provide funds at all times and to honour cash outflow obligations the Banks conducts the stress tests and scenario analysis.
- Maintaining a contingency funding plan to enable normal functioning in a stressed liquidity situation.

To manage the Groups liquidity in a contingent crisis situation the Bank has in place an ALCO approved Contingency Funding Plan (CFP). The Groups CFP operates under the supervision of Liquidity Contingency Management Committee (LCMC) which monitors decisions support indicators emanating from the CFP to take necessary corrective actions.

The Group measures its liquidity in terms of regulatory and prudential requirements. This is both for the domestic and overseas operations of the group. As per the regulatory requirement, the Group ALCO monitors:

- Loans to stable ratio
- Cash Reserve ratio.

Prudential requirement includes monitoring:

- Minimum Liquidity Ratio
- Structural Liquidity Gap
- Depositor concentration

The Group monitors the liquidity risk limits of its overseas units as well. The structural liquidity gap limits are closely monitored for time buckets up to 1 month. In case of breach of limits, Group Treasury recommends to ALCO the corrective measures to be taken.

The Group's overseas units report their liquidity position to the regional ALCO which reports to Group ALCO. The reports and ratios as mentioned above are monitored by the Group ALCO. The maturity analysis statement of the Group as on December 31, 2010 is shown in note 4(c) of the consolidated Financial Statement.

d) Management of Equity Price Risk

Equity price risk arises from the changes in fair values of equity investments. The Group manages this risk through diversification of investments in terms of geographical distribution and industry concentration.

Equity Position in the Banking Book as of 31st December 2010

Table 14: Quantitative Details of Equity Position:

(AED000's)

Type	Current Year		Previous Year	
	Publicly Traded	Privately Held	Publicly Traded	Privately Held
Equities	5,946	62,918	6,223	69,843
Collective investment schemes	34,879	0	36,199	0
Any other investment				
Total	**40,825**	**62,918**	**42,422**	**69,843**

Table 15: Realized, Unrealized And Latent Revaluation Gains (Losses) During The Year*:

	(AED000's)
Gains (Losses)	Amount
Realized gains (losses) from sales and liquidations	0
*Unrealized gains (losses) recognized in the balance sheet but not through profit and loss account	(7,053)
**Latent revaluation gains (losses) for investment recorded at cost but not recognized in balance sheet or profit and loss account	0
Total	**(7,053)**

Table 16: Tier I and Tier II Capital Included In * and ** above are as follows:

	(AED000's)
Tier Capital	**Amount**
Amount included in Tier I capital	0
Amount included in Tier II capital	(7,053)
Total	**(7,053)**

Table 17: Capital Requirements by Equity Groupings:

	(AED000's)
Grouping	**Amount**
Strategic investments	7,517
Available for sale	4,932
Held for trading	
Total capital requirement	**12,449**

OPERATIONAL RISK

Operational risk is the risk of direct or indirect loss arising from a wide variety of causes associated with the Group's processes, personnel, technology and infrastructure, and from external factors other than credit, market and liquidity risks such as those arising from legal and regulatory requirements and generally accepted standards of corporate behavior. Operational risks arise from all of the Group's operations and are faced by all business entities.

The Group's objective is to manage operational risk so as to balance the avoidance of financial losses and damage, to the Group's reputation with overall cost effectiveness and to avoid control procedures that restrict initiative and creativity.

The Board has oversight responsibilities for operational risk management in the Group. These responsibilities are exercised through ORMC with established framework of policies and procedures to identify, assess, monitor, control, manage and report risks. The ORMC employs clear internal policies and procedures to reduce the likelihood of any operational losses. Where appropriate, risk is mitigated by way of insurance. The framework also provides the interrelation with other risk categories.

Compliance with policies and procedures is supported by periodic reviews undertaken by Group Audit and Group Compliance Divisions. The results of these reviews are discussed with the management of the business unit to which they relate, with summaries submitted to the Audit Committee and senior management of the Group.

CAPITAL MANAGEMENT

The Central Bank of the UAE sets and monitors regulatory capital requirements for the Group. The overseas branches and subsidiaries are directly supervised by their local regulators.

The Group's objectives for managing capital are to:

- Safeguard the Group's ability to continue as a going concern and increase the returns for the shareholders; and
- Comply with regulatory capital requirements set by the Central Bank of the UAE and the respective regulators where the overseas units operate.

The Group's strategy is to:

- Maintain capital adequacy ratios above the minimum specified by the Central Bank of the UAE and Basel accord guidelines;
- Maintain highest credit rating in the Middle East; and
- Efficiently allocate capital to various businesses.

The Group has set up a committee, namely, the Bank Equity Committee, to manage the investment of capital funds in sovereign bonds and short term money market placements either with the Central Bank of the UAE or other high investment grade financial institutions.

In implementing current capital requirements, the Group calculates its risk asset ratio in accordance with Basel Accord which was adopted by the Central Bank of the UAE.

The group uses an Integrated Stress Testing framework to access the potential implications of adverse financial conditions. The output of the Integrated Stress Testing framework influences the setting up of the bank's risk appetite which is reviewed in the bank's strategy meetings. Furthermore these results influence the risk policies and the risk limits for business units.

Detailed Pillar I capital requirements for the NBAD Group as on 31st December 2010, as per Basel Accord is as in the Table below:

Table 18: Capital Adequacy on 31st December 2010

	(AED000's)
Capital Charge[1]	
Capital Requirements	
1. Credit Risk	
a. Standardised Approach	16,315,335
b. Foundation IRB	
c. Advanced IRB	
2. Market Risk	
a. Standardised Approach	456,200
b. Models Approach	
3. Operational Risk	
a. Basic Indicator Approach	1,415,915
b. Standardised Approach	
c. Advanced Measurement Approach	
Total Capital requirements	**18,187,450**
Capital Ratio	
a. Total for Top consolidated Group	22.59%
b. Tier 1 ratio only for top consolidated Group	16.18%

[1] *12% of the Risk Weighted Assets as per UAE Central Bank*

Corporate Governance Report

1. Summary of NBAD's Approach to Corporate Governance

NBAD is committed to implementing corporate governance practices to a standard derived from an amalgam of UAE guidelines and international best practice, applied in the context of NBAD. In this respect NBAD welcomed the additional guidelines issued during 2010 by OECD Steering Group on Corporate Governance ("OECD") and Basel Committee on Banking Supervision: Principles on Corporate Governance Standards for Banks ("Basel"). The Board recognises that good corporate governance is of critical importance to banks and is an invaluable tool in shaping and enhancing the performance of NBAD.

In response to the continuing evolution of international best practice, NBAD initiated during 2010 an evaluation of its corporate governance framework. The evaluation will be reflected in further corporate governance improvements and enhancements which NBAD will adopt during 2011 and 2012.

NBAD has been continuously improving its corporate governance year on year. The role of the Board Corporate Governance Committee is to maintain this momentum, demonstrating the Board's commitment to continuous corporate governance improvement in a measured response to developments within NBAD, the UAE and globally.

The Board is cognisant that Abu Dhabi Investment Council ("the Council") is the 70.5% shareholder of NBAD but the Board and each director is aware of the duties and responsibilities that the Board and each director owes to all shareholders, the need to ensure all shareholders are treated equally and that decisions are taken for the benefit of shareholders as a whole.

2. The BOARD

2.1 Board Composition

The Board members in 2010 were as set out in the table below:

BOARD MEMBERS – 2010

Board Member	Council Nominated	Independent
H. E. Nasser Ahmed Khalifa Alsowaidi (Chairman)	X	
H. E. Dr. Jauan Salem Al Dhaheri (Deputy Chairman)	X	
H.E. Mohammed Omar Abdulla	X	
Mr. Khalifa Sultan Ahmed Al Suwaidi	X	
Mr. Hashim Fawwaz Al Kudsi	X	
Mr. David Beau	X	X
Mr. Sultan Bin Rashed Al Dhaheri		
Sheikh Ahmed Mohammed Sultan Al Dhaheri		
Sheikh Mohammed Saif Mohammed Al Nahyan		
Mr. Matar Hamdan Al Ameri		X

The Board Committee members in 2010 were as set out in the table below:

BOARD COMMITTEE MEMBERSHIP – 2010

	CNC	AUDIT	CGC	RISK
H. E. Nasser Ahmed Khalifa Alsowaidi (Chairman)			X	X
H. E. Dr. Jauan Salem Al Dhaheri (Deputy Chairman)				X
H.E. Mohammed Omar Abdulla	X		X	
Mr. Khalifa Sultan Ahmed Al Suwaidi	X	X	X	
Mr. Hashim Fawwaz Al Kudsi				X
Mr. David Beau	X	X		
Mr. Sultan Bin Rashed Al Dhaheri				X
Sheikh Ahmed Mohammed Sultan Al Dhaheri	X			X
Sheikh Mohammed Saif Mohammed Al Nahyan	X	X		
Mr. Matar Hamdan Al Ameri		X	X	

The Board contains the appropriate balance of skills, experience, independence and knowledge to enable the Board to discharge its duties and responsibilities.
The Articles of Association provide that the Board should comprise 11 members; currently there is a vacancy and the Board has 10 members. The Board is actively engaged in identifying a suitable candidate that meets its criteria for appointment.
NBAD Articles of Association provide that the Council has the right to elect such number of directors as is proportionate to the percentage of NBAD share capital it holds (70.5%). The remaining directors are elected by the general meeting by cumulative secret ballot without the participation of the Council. The directors elected by the general meeting are Mr. Sultan Bin Rashed Al Dhaheri, Sheikh Ahmed Mohammed Sultan Al Dhaheri and Sheikh Mohammed Saif Mohammed Al Nahyan.

2.2 Role of the Board

The collective responsibility of the NBAD Board and Board Committees is to provide entrepreneurial leadership of NBAD within a framework of prudent and effective controls which enable risk to be assessed and managed. The responsibilities include: (i) strategic direction(ii) scrutinising the performance of management in meeting agreed objectives and accurate reporting of actual performance (iii) monitoring the integrity of the financial information and adequacy of internal controls and risk management (iv) setting NBAD's Values and ethical standards, and (v) determining remuneration of senior management.

Strategic direction

In 2010 the Board continued to set and review NBAD's strategic direction which can be summarized as delivering the objective of being recognised as the World's Best Arab Bank, transforming NBAD from "good" to "great" by focusing on 3 main themes- Growth, Strength and Productivity. The Board will continue to oversee management's focused delivery of this strategy including efficient allocation of NBAD's resources.

Scrutinising performance of management

Throughout 2010 the Board scrutinised the performance of senior management including agreed strategic and financial objectives, business performance, effective risk management, appropriate internal controls and adherence to NBAD's Values and ethics. The Board received reasonable assurance from senior management that NBAD's management information systems provided timely and accurate information.

Controls and risk management

Throughout 2010 the Board has been assiduous in ensuring that senior management balance growth with robust and effective internal controls and a robust and effective risk management framework. The Board's Risk Management Committee receives reports from the CEO, appropriate senior management committees and Risk Management Division ("RMD"). The responsibilities of these senior management committees include the risk management framework which includes credit risk, liquidity risk, market risk, operational risk, business continuity management, AML and counter terrorist financing. Through the Risk Management Committee the Board receives reasonable assurance that it is aware of the material risks facing NBAD and that these known and anticipated risks have been appropriately measured and managed. The Board receives reasonable assurance that the system of internal controls allows NBAD to operate effectively and efficiently and in compliance with applicable laws and regulations.

During 2010 NBAD strengthened its internal audit and compliance functions by separating the internal audit and compliance functions and appointing a new Head of Internal Audit who reports directly to the Board Audit Committee.

Values and ethical standards

The Board recognises the critical importance of the Board, senior management and all employees conducting themselves in accordance with NBAD's Values and ethical standards in all that they do for and on behalf of NBAD. The Board has responsibility for overseeing the culture within NBAD and sets the "tone from the top", which is reinforced by senior management and throughout the organization.

The Board has set and continues to reinforce NBAD's Values and ethical standards. The Values are:

- Value our Stakeholders;
- Accessible to our Customers 24x7;
- Loyal to our Heritage but Global in our outlook;
- Understand our Customers needs;
- Recognize that people are our single biggest asset and empower them;
- Teamwork;
- Deal with others as we would like them to deal with us.

These Values and associated ethical behaviour underpin the entire organization. NBAD has issued extensive and wide ranging policies, rules and procedures to ensure employees understand and abide by its Values and ethical standards including:

- Code of Ethics;
- Employee Handbook;
- Whistleblowing Policy;
- Disclosure Policy;
- Anti-Money Laundering Policy;
- Anti-Fraud Policy;
- Insider Dealing Rules;
- Client and NBAD Confidentiality;
- Conflicts of Interest.

These are available in both English and Arabic and are proactively reinforced with all employees.
The Board receives reasonable assurance from senior management that NBAD conducts its business in a manner which reflects NBAD's Values, ethical standards and in adherence with its rules, policies and procedures.

3. Board Meetings

The Chairman, aided by the CEO, strives to ensure that the Board is well informed about NBAD's business, policies and material issues including all material developments.
The Board met regularly throughout 2010, holding 5 meetings. The Board papers contained all information which the Chairman, aided by CEO, considered necessary and appropriate for the Board to discharge its duties and responsibilities. In addition, between Board meetings, Board members received all information necessary for the proper discharge of their responsibilities.

Details of the Board meetings and individual attendance record are shown on the table below:

BOARD MEETINGS – 2010

Meeting Date	1/2	16/2	27/4	27/7	26/10
H. E. Nasser Ahmed Khalifa Alsowaidi Chairman	X	X	X	-	X
H. E. Dr. Jauan Salem Al Dhaheri Deputy Chairman	X	X	X	X	X
H.E. Mohammed Omar Abdulla	-	X	X	-	X
Mr. Khalifa Sultan Ahmed Al Suwaidi	X	X	X	X	X
Mr. Hashim Fawwaz Al Kudsi	X	X	X	X	X
Mr. David Beau	X	X	X	X	X
Mr. Sultan Bin Rashed Al Dhaheri	X	X	X	X	X
Sheikh Ahmed Mohammed Sultan Al Dhaheri	X	X	X	X	X
Sheikh Mohammed Saif Mohammed Al Nahyan	X	X	X	-	X
Mr. Matar Hamdan Al Ameri (appointed March 2010)	-	-	X	X	X

4. Board Committees

The Board has four Board Committees to which it has delegated responsibilities as set out in the terms of reference of each Committee. Committee membership is shown above. The Board ensures that directors with appropriate skills are aligned to the tasks and responsibilities of each Board Committee. Each Committee has the appropriate balance of skills, experience, independence and knowledge to enable the Committee to properly discharge its duties and responsibilities. The Committees and their primary activities are:

Audit Committee. The Audit Committee is responsible for overseeing the integrity of the financial statements, preparation of the consolidated accounts including changes to accounting policies and practices and adherence to disclosure rules, overseeing relationship with external auditors, overseeing internal audit, ensuring adequacy of financial controls, internal control and risk management frameworks and oversight of NBAD's Values and ethics. The Audit Committee met 14 times in 2010.

Compensation and Nomination Committee. The Compensation and Nomination Committee oversees compensation, succession planning and appointments of senior management as well as overseeing HR policies for NBAD as a whole. The Compensation and Nomination Committee met 5 times in 2010.

Corporate Governance Committee. The Corporate Governance Committee makes recommendations to the Board on appropriate corporate governance policies and practices. The Corporate Governance Committee met 3 times in 2010.

Risk Management Committee. The Risk Management Committee sets and monitors the Group's risk strategy and policy guidelines, sets and monitors the Group's credit, operational and market risks and approves credits above management's delegated authorities. The Risk Management Committee met 13 times in 2010.

Copies of the terms of reference for each Board Committee are available on request from the Secretary to the Board.

5. Role of Chairman and CEO

The role of the Chairman and CEO are split and the positions are held by H.E. Nasser Ahmed Khalifa Alsowaidi as Chairman and Mr Michael H Tomalin as Group Chief Executive. There is a clear division of responsibility between the roles. H.E. Dr Jauan Salem Al Dhaheri serves as Deputy Chairman.

The Chairman is responsible for the leadership of the Board and ensuring that the Board functions are effectively discharged including:

- Effective integration of activities of Board Committees with activities of Board;
- Ensuring quality, clarity, quantity and timeliness of information provided to the Board;
- Ensuring proper conduct of Board meetings;
- Ensuring effective communications with shareholders and stakeholders;
- Maintaining a close and constructive relationship with the CEO.

The CEO has responsibility for the day to day management of NBAD including:

- Implementation of decisions of the Board and strategy determined by the Board;
- Managing the business of NBAD in accordance with strategy approved by the Board;
- Managing systems of risk management and control;
- Managing delivery of targets set by the Board;
- Chairing the Executive Committee and Management Committee.

6. Board Induction.

One director was appointed to the Board during 2010, Mr Matar Hamdan Al Ameri, who was appointed on 15 March 2010. He received a structured induction overseen by the Chairman.

7. Audit

NBAD's external auditor is appointed annually on the grounds of efficiency, reputation and experience. At the 2009 Annual General Meeting, KPMG was appointed external auditor to NBAD. NBAD has adopted a policy, overseen by the Board Audit Committee, which provides reasonable assurance to NBAD that the independence of the external auditors remains unimpeachable. As independent external auditor, KPMG did not during 2010 perform for NBAD any technical, administrative or consultative services or works which would affect its decisions or independence as independent auditor. The Audit Committee critically reviews the detailed draft annual plan of the internal auditors before the audit plan is adopted and receives regular reports from internal audit throughout the year.

8. Senior Management Committees

The Board has delegated the day to day running of NBAD to CEO and senior management. The senior management committees chaired by the CEO are: Executive Committee, Management Committee, Management Compensation & Nominations Committee, Group Credit Committee, Assets & Liabilities Committee, Investment Committee – Bank Equity, Operational Risk Management Committee, Strategy Committee.

In addition the Group Chief Operating Officer chairs the IT Strategy Committee and the Senior General Manager Corporate and Investment Banking chairs the Key Client Committee.NBAD believes that this approach provides optimum management efficiency and ensures that business performance and development is balanced by effective risk management and internal controls.

9. Directors Fees

The fees paid to directors in 2010 are set out in the table below:

Title	Annual Fee in AED	Committee Attendance Fee in AED
Chairman	800,000	2,500
Deputy Chairman	650,000	2,500
Director	500,000	2,500

10. Anticipated Enhancements in 2011

NBAD will adopt further refinements and improvements to its corporate governance framework during 2011 which will be set out in full in the 2011 Annual Report.

Shareholders' Information

Major Shareholders

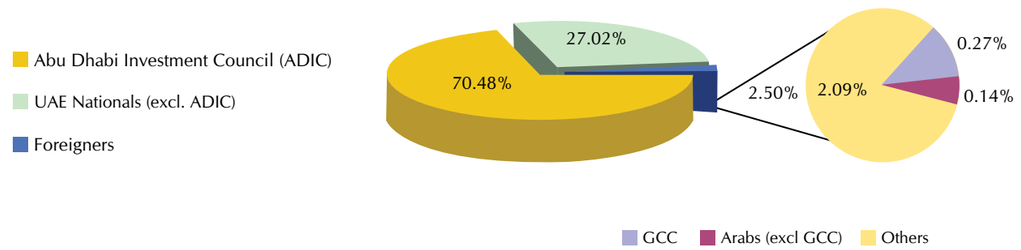
Shareholders holding more than 5% of NBAD shares as at 31 December 2010

Abu Dhabi Investment Council (ADIC)	70.48%

Ownership of NBAD shares by Nationality

Foreign ownership is restricted to 25% of the total shares listed on the exchange.
As of 31 December 2010, foreign ownership in NBAD shares amounted to 2.50%.

NBAD Shareholding as at 31 December 2010



Market Capitalisation (Price @ AED 11.75*)	31 Dec 2010	AED 28.1bn (US$ 7.7bn)
Diluted EPS	Dec 2010	1.40
PE Ratio (on Basic EPS)	Dec 2010	8.2
Price / Book	Dec 2010	1.4
Dividend Yield (AED 0.3 / share)	2010	2.6%
Dividend Cover (Payout %)	2010	5.1x (19.5%)

* Closing price not adjusted for the 20% bonus shares distributed for the financial year ended 31 December 2010
Source: ADX, NBAD Financials

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Telefax: 02 - 5833359
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Telefax: 02 - 5831740
P.O. Box: 11700, Abu Dhabi

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Telefax: 02 - 6663925
P.O. Box: 7644, Abu Dhabi

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Telefax: 02 - 6819122
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Telefax: 02 - 8781331
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Telefax: 02 - 8945558
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Delma, Abu Dhabi

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Telefax: 02 - 8776453
P.O. Box: 11875, Al Ruwais, Abu Dhabi

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Mussafah
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P.O. Box: 8351, Abu Dhabi

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Telephone: 02 - 6816002
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GHQ Officers Club
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*Denotes cash offices

*Denotes cash offices

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Emirates Palace
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Al Qusais
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P.O.Box: 48111, Dubai

Jumeirah
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Telefax: 04 - 3499012
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Mall of the Emirates
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Dubai Mall
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Hor Al Anz (Al Mamzar)
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Al Quoz
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Telefax: 04 - 3397332
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Al Muraqabat Branch
Telephone: 04-2042400
Telefax: 04-2999537
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Mirdif City Center Branch
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Telefax: 04-2840338
P.O. Box: 4436, Dubai

Fujairah

Fujairah
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Telefax: 09 - 2227241
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Dibba Al Hisn
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Telefax: 09 - 2440622
P.O. Box: 149900 – Dibba Al Hisn, Fujairah

*Denotes cash offices
*Denotes cash offices

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Telefax: 09 - 2431188
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Qidfaa
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Telefax: 09 - 2361001
P.O. Box: 12229, Qidfaa, Fujairah

Ras Al Khaimah

Al Nakheel
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Telefax: 07 - 2281305
P.O. Box: 5744, Al Nakheel, Ras Al Khaimah

Ras Al Khaimah
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Sharjah
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Telefax: 09 - 2383735
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Al Tawuun
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Telefax: 06 - 5304739
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Umm Al Quwain

Umm Al Quwain
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Banks District, 6th October City, Egypt

Dandy Mall Branch
Telephone: +202 38282960
Telefax: +202 38282957
Swift: NBAD EG CA OCT
Address: K.M. 28 Cairo Alex. Desert Road,
Unit No. 23, Dandy Mall , Giza, Egypt

Elite Banking Unit - Giza Branch
Telephone: +202 37475000 / 37475300
Telefax: +202 37475296
Swift: NBAD EG CA GZA
Address: Nile Tower – 1st & 3rd Floors,
21 Charles de Gaulle St . Cairo, Egypt

Mohandessin Branch
Telephone: +202 38282945
Telefax: +202 33365569
Swift: NBAD EG CA MHD
Address: 35 Mohie El Din Abu El Ezz Street,
El Mohandessin, Giza, Cairo, Egypt

Talaat Harb Branch
Telephone: +202 27683240
Telefax: +202 23931527
Swift: NBAD EG CA THB
Address: 22, Kasr El Nil Street,
Talaat Harb Sq., Cairo, Egypt

Maadi Branch
Telephone: +20 2 27683200
Telefax: +20 23588945
Swift: NBAD EG CA MAD
Address: Crossing of Roads 151/152
(near Horreya Square) Maadi, Cairo, Egypt

Maadi City Center Branch
Telephone: +202 27683237
Telefax: +202 27683236
Swift: NBAD EG CA MAD
Address: Maadi City Center, Ring Road,
Medinat El Mirage 11435 – Unit No.27,
Katameya Road, Cairo, Egypt

El Choueifat Branch
Telephone: +202 2768380
Telefax: +202 26182701
Swift: NBAD EG CA CHF
Address: El Choueifat School - Main Gate,
New Fifth Urban Community (Kattameya),
New Cairo, Egypt

Heliopolis Branch
Telephone: +20 2 24177627
Telefax: +202 24177632
Swift: NBAD EG CA HLP
Address: 13A, Ramsis Street, From Salah Salem Road,
Heliopolis, Cairo, Egypt

City Stars Heliopolis*
Telephone: +202 37475000
Telefax: +202 24802183
Swift: NBAD EG CA HLP (through Heliopolis branch)
Address: Unit No. 148, City Stars Mall,
Nasr City, Cairo, Egypt

Al Akkad Branch
Telephone: +202 24137830
Telefax: +202 22752376
Switch: 0020-2-22752236 or 22752382
Swift: NBAD EG CA AAKD
Address: 36 Al Akkad Street, Nasr City, Cairo, Egypt

El Obour Branch
Telephone: +202 24137863
Telefax: +202 46104972
Swift: NBAD EG CA OBR
Address: Unit No. 1 & 2, City Club Wall,
Cairo Ismailya Desert Road,
El Obour City, El Qalubia, Egypt

Alexandria Salah Salem Branch
Telephone: +203 4196064
Telefax: +203 4196070
Swift: NBAD EG CA ALX
Address: 28, Salah Salem Street, Alexandria, Egypt

Alexandria Sporting Branch
Telephone: +203 4203401
Telefax: +203 4203409
Swift: NBAD EG CA SPT
Address: 243 El Horreya Street, Sporting,
Alexandria, Egypt

San Stefano Branch
Telephone: +203 4690017 / 29
Telefax: +203 4690028
Address: San Stefano Grand Plaza, Alexandria, Egypt

*Denotes cash offices

Branches - Overseas

Alexandria City Center Branch
Telephone: +203 4196040
Telefax : +203 4196040
Swift: NBAD EG CA SPT
Address: City Centre, Alexandria, Egypt

Port Said Branch
Telephone: +2066 3384400
Telefax: +2066 3384431
Swift: NBAD EG CA PSD
Address: El Salam Tower, Sultan Mahmoud St,
Tahr El Bahar No. 4, Port Said, Egypt

Mansoura Branch
Telephone: +2050 2281200
Telefax: +2050 2281215
Swift: NBAD EG CA MNS
Address: 242 Al Guesh Street, P.O.Box: 350,
Mansoura, Egypt

Tanta Branch
Telephone: +2040 3385800
Telefax: +2040 3385800
Swift: NBAD EG CA TNT
Address: 22 El Geish Street, Al Sarayah Tower, Tanta,
Gharbia – Egypt

Damietta Branch
Telephone: +2057 392201 / 392000
Telefax: +2057 392222
Address: 173 Saad Zaghloul Street,
Damietta, Egypt

Luxor Branch
Telephone: +2095 2399830
Telefax: +2095 2399839
Swift: NBAD EG CA LUX
Address: Khaled Ibn Al Waleed Street,
Sonesta St. George Hotel, Luxor, Egypt

Assiut Branch
Telephone: +2088 2422800
Telefax: +2088 2422811
Swift: NBAD EG CA ASU
Address: 32A, Tanzeam 40 Awaed El Gomhoria Street,
Assiut, Upper Egypt

Sharm El Sheikh Branch
Telephone: +2069 3621950
Telefax: +2069 3621912
Swift: NABD EG CA SHK
Address: Golden Center, Unit No. 19 - Ground Floor,
Al Salam Street - Na´ama Bay, Sharm El Sheikh,
South Sinai, Egypt

Sharm El Sheikh - Cash Office*
Telephone: +2069 3602696
Telefax: +2069 3602693
Address: Sanafir Hotel, Unit No. 2, Na´ama Bay,
Sharm El Sheikh South Sinai - Red Sea, Egypt

Hurghada Branch
Telephone: +2065 3443426
Telefax: +2065 3443446
Swift: NBAD EG CA HRG
Address: West Side Touristic Center Shop 1/3,
Al Mashaia Area, Hurghada, Red Sea, Egypt

Hurghada Cash Office - Titanic Beach Hotel*
Telephone: +2065 3461420 / 29
Telefax: +2065 3461430 / 33
Address: LTI Titanic Beach Hotel–
South Magawish – KM 17,
Sahl Hashish Road, Hurghada, Red Sea, Egypt

Hurghada Senzo Mall Branch
Telephone: +2065 3412133
Telefax: +2065 3412130
Address: Unit No. 1A Senzo Mall, South Magawish,
Safaga Road, Hurghada, Red Sea, Egypt

El Hegaz Branch
Telephone: +202 24137881
Telefax: +202 24137879
Swift: NBADEGCAI-IGZ
Address: 50 Farid Semeika st. El Hegaz square,
Heliopolis, Cairo, Egypt

France

Paris Branch
Telephone: +33 1 53230280
Telefax: +33 1 47208160
Swift: NBAD FR PP
Address: 125, Avenue des Champs Elysees, 75008,
Paris, France

Kuwait

Kuwait Branch
Telephone: +965 22904141
Telefax: +965 22495196
Swift: NBAD KW KW
P.O. Box: 2620, Safat, 13027
Address: Al Bahar Tower, Ahmed Al Jaber Street,
Sharq, Kuwait

Libya

Libya Rep. Office
Telephone: +218 213362283
Telefax: +218 213362284
P.O Box: 259
Address: Al Fateh Tower, 15th Floor,
Office No. 152,
Tripoli, Libya

Oman

Regional Office - Muscat - Oman
Telephone: +968 24761001
Telefax: +968 24761010
Swift: NBAD OMR XXXX
Address: Commercial Business District (CBD),
Building # 320, Way # 4010, Block No.140,
P.O. BOX 303, Muscat, Postal Code 100,
Sultanate of Oman

Oman Main Branch
Telephone: +968 24761000
Telefax: +968 24798929
Address: Commercial Business District (CBD),
Building # 320, Way # 4010, Block No.140,
P.O. BOX 303, Muscat, Postal Code 100,
Sultanate of Oman

Qurum Branch
Telephone: +968 24762200/ 2206
Telefax: +968 24662220
Address: Al Qurum – ROP Parking Area,
P. O. Box: 988 - Postal Code 116,
Sultanate of Oman

Al Khuwair Branch
Telephone: +968 24476700
Telefax: +968 24482329
Address: Al Khuwair – Ice-Skating Building,
Next to Zawawi Mosque,
P. O. Box: 458 - Postal Code 130,
Al Khuwair, Sultanate of Oman

Al Khoudh Branch
Telephone: +968 24533900
Telefax: +968 24545904
Address: Al Khoudh Commercial St. - Building No. 356,
P.O. Box: 1092, Postal Code 132,
Al Khoudh, Sultanate of Oman

Sohar Branch
Telephone: +968 26851800 / 803
Telefax: +968 26845644
Address: Al Waqaiba – Banks Area,
P.O. Box No 25 – Postal Code 321,
Al Tarif, Sultanate of Oman

Nizwa Branch
Telephone: +968 25414700 / 702
Telefax: +968 24761380
Address: Opposite Firq Roundabout,
P. O. Box: 895 - Postal Code 611,
Nizwa, Sultanate of Oman

Salalah Branch
Telephone: +968 23207600
Telefax: +968 23207620
Address: Haffa House, P.O. Box 2715, Postal Code 211,
Central Salalah, Sultanate of Oman

Sur Branch
Telephone: +968 25563100
Telefax: +968 25563120
Swift: NBADOMRXXXX
P.O. Box 421, Postal Code 411, Sur, Sultanate of Oman
Address: On Main Commercial Road, Between Oman
Housing Bank and Sur Plaza Hotel, Sultanate of Oman

Sudan

Sudan Regional Office
Telephone: +249 183 772345 / 778517
Telefax: +249 183 774892 / 761170
Address: P.O.Box 12147, Taka Building, Atbara Street,
Khartoum, Republic of Sudan

Khartoum Branch
Telephone: +249 183 772345 / 778517
Telefax: +249 183 792347 / 747870
Swift: NBAD SD KH
Address: P.O. Box 2465, Taka Building, Atbara Street,
Khartoum, Republic of Sudan

Khartoum North*
Telephone: +249 185 343833
Telefax: +249 185 343227
P. O. Box 1138, Postal Code: 13311
Swift: NBAD SD KH
Address: Sinaat Street, Khartoum North, DAL Food Building
Republic of Sudan

Amarat Branch
Telephone: +249 183 569656 / 604 / 640
Telefax: +249 183 569625
Swift: NBAD SD KH AMR
Address: Street 15, Block 9/10, Plot No. 50/1,
Hilal Sami Building, P.O. Box: 15141, Amarat, Khartoum,
Republic of Sudan

Jordan

Jordan Branch
Telephone.: +962 6 5002222
Telefax: +962 6 5002220
Swift: NBADJOAM
10 Abdul Hameed Sharaf Street, Al Shmeisani
P.O. Box 941110
Amman 11194 - Jordan

Hong Kong

Hong Kong Branch
Telephone: +852 3413 4388
Telefax: +852 3413 4343
Swift: NBADHKHH
18th Floor, Nine Queen's Road Central,
Hong Kong

United Kingdom

London Branch
Telephone: +44 207 3933600
Telefax: +44 207 2354712
Swift: NBAD GB 2L
Address: One Knightsbridge, London SW1X 7 LY, U.K

Subsidiaries

United States of America

Abu Dhabi International Bank N.V.
Telephone: +1 202 8427900
Telefax: +1 202 8427955
Swift: ADIB US 33
Address: 1020, 19th Street, N.W., Suite 500,
Washington D.C. 20036, U.S.A.

Netherlands Antilles

Curacao
Abu Dhabi International Bank N.V.
Telephone: +599 94611299
Telefax: +599 94615392
Address: Kaya W.F.G. (Jombi) Mensing 36
P.O. Box 3141
Curacao

Switzerland

NBAD Private Bank (Suisse) SA
Telephone: +41 22 7075000
Telefax: +41 22 7075010
Address: Quai de l'Ile 5, P.O. Box: 5055,
CH-1211 Geneva 11, Switzerland

Jersey Channel Islands

NBAD Trust Company (Jersey) Limited
Telephone: +44 1534 609000
Telefax: +44 1534 6093333
Address: C/O Mourant Private Wealth,
22 Grenville Street, St. Helier, Jersey JE4 8PX,
P.O. Box: 87, Jersey, Channel Islands

United Arab Emirates

Abu Dhabi National Leasing LLC
Telephone: +971 2 6111629
Telefax: +971 2 6269111
P.O. Box: 4
Address: One NBAD Tower, Sheikh Khalifa Street,
Abu Dhabi, United Arab Emirates

Abu Dhabi National Islamic Finance Pvt. JSC
Telephone: +971 2 4104444
Telefax: +971 2 6222597
Address: P.O. Box 40057, Abu Dhabi,
United Arab Emirates

Abu Dhabi Financial Services Company LLC
Telephone: +971 2 6161600
Telefax: +971 2 6273285
P.O. Box: 28400, Abu Dhabi,
United Arab Emirates

Abu Dhabi National Property Company PJS
Telephone: +971 2 6594888
Telefax: +971 2 6355382
P.O. Box: 3520
Address: Muroor Street, Opposite Madinat Zayed
Shopping Centre, Abu Dhabi, United Arab Emirates